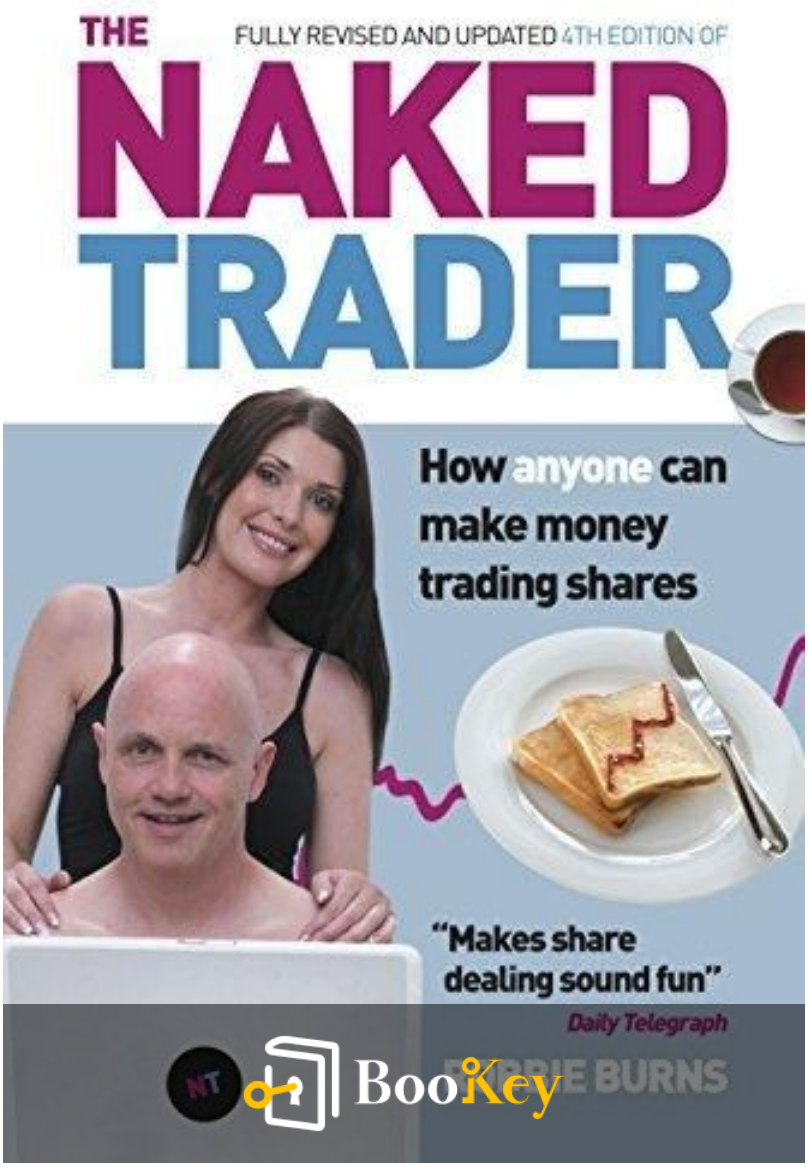
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Burns Robbie



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The Naked Trader

Master Stock Trading with Simple Strategies and Real-Life Success Stories.

Written by Bookey

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About the book

Dive into the exhilarating world of stock market investing with "The Naked Trader" by Robbie Burns. This updated and expanded fourth edition demystifies trading, offering straightforward, jargon-free guidance for anyone looking to invest in shares without feeling overwhelmed. Packed with real-life examples, candid advice, and 20 proven strategies, this engaging book is ideal for beginners and experienced traders alike. Burns shares his secrets to successful trading, including valuable tips to navigate market fluctuations and how to make profits tax-free. Whether you want to earn a little extra on the side or aim for full-time trading success, "The Naked Trader" is your essential companion for making money in the markets while enjoying the journey. So grab a cup of tea and some toast, and get ready to unlock the secrets of savvy trading!

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About the author

Robbie Burns is a seasoned investor and financial educator widely recognized for his expertise in trading and investment strategies, particularly within the stock market. With a background in both finance and a passion for empowering others, Burns has dedicated his career to demystifying complex financial concepts, making them accessible to everyday investors. His engaging writing style and practical insights have resonated with a diverse audience, leading to the creation of his popular book, "The Naked Trader," where he shares valuable techniques and personal anecdotes to help individuals navigate the intricacies of trading. Through his work, Burns has established himself as a trusted voice in the financial community, inspiring countless readers to take control of their financial futures.

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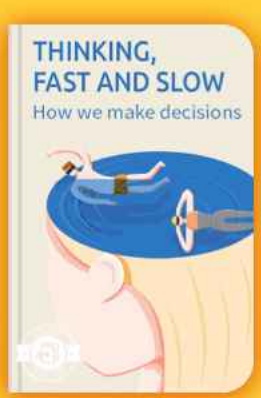
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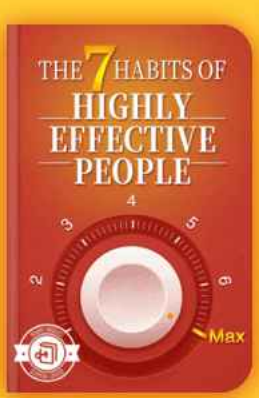
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Chapter 1 Summary : Is this book for you?



Section	Details
Overview	The author shares personal experiences of successfully making money through trading shares, suggesting that others can achieve this as well.
Target Audience	This book is designed for anyone interested in trading shares, from complete beginners to experienced investors looking to improve their strategies.
Content Highlights	Provides straightforward guidance without financial jargon. Covers essential first steps and core information for newcomers. Offers new insights for those already trading based on the author's 14 years of experience. Emphasizes the enjoyment and fun of trading.
New Edition Updates	The fourth edition includes significant new content, making it worthwhile for previous readers to purchase.
Exclusions	While the book touches on technical analysis, it does not delve deeply into this topic, focusing instead on practical trading strategies.
Conclusion	Robbie aims to create an engaging trading guide that is accessible and enjoyable to read, encouraging readers to learn about making money from shares without the complexity often found in other financial literature.

Preface: Introduction to Trading

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Overview

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- Offers new insights for those already trading based on the author’s 14 years of experience.
- Emphasizes the enjoyment and fun of trading.

New Edition Updates

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The fourth edition includes significant new content, making it worthwhile for previous readers to purchase.

Exclusions

While the book touches on technical analysis, it does not delve deeply into this topic, focusing instead on practical trading strategies.

Conclusion

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Example

Key Point:Accessibility of Trading

Example:Imagine sitting at your desk, feeling overwhelmed by the intricate world of stock trading. You open 'The Naked Trader' and discover that you don't need a finance degree to start investing. Robbie simplifies the process by breaking down complex concepts into relatable language and practical strategies, empowering you to take your first steps toward successful trading with confidence and excitement.

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Chapter 2 Summary : Why a fourth edition?



Why a Fourth Edition?

The author explains the necessity for a fourth edition of "The Naked Trader" due to significant changes in the stock market since the last edition in 2011. The author has gained valuable insights and experiences, prompting updates to trading strategies.

Key Changes and Updates

1.
Tax-Free ISAs

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: AIM shares are now included in tax-free ISAs, influencing the author's trading strategies.
2.
Increased Profitability
: The author has achieved over £2 million in profits, indicating enhanced trading techniques.
3.
New Strategies
: The edition introduces new trading ideas and techniques developed over the past three years.

For the Readers

- Previous readers may find familiar content in the early chapters but are encouraged to continue for the new insights.
- New readers will find this book essential for their trading journey, providing both foundational knowledge and advanced strategies for successful trading.

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Critical Thinking

Key Point:Updates in Trading Strategies

Critical Interpretation:The author highlights substantial changes in stock market dynamics, suggesting that traders must adapt their strategies accordingly. While the updates could be seen as valuable insights for navigating modern trading challenges, it’s essential for readers to recognize that the author’s interpretation of trading success, especially following his own profitable outcomes, may not universally apply. Critics of trading books often caution that past performance does not guarantee future results, highlighting the risks inherent in any investment strategy (source: "The Intelligent Investor" by Benjamin Graham). Therefore, while embracing new strategies could be beneficial, it is equally important for traders to critically evaluate the author’s claims against their personal risk tolerance and market understanding.

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Chapter 3 Summary : This is not a get-rich-quick book (sorry!)

Section	Summary
Jargon-Free, Common-Sense Advice	This chapter promotes a simple trading approach for all readers, aiming to make concepts easy to understand by eliminating complex jargon, thus empowering informed buying and selling decisions.
Realistic Expectations	The author emphasizes that wealth-building through trading is a gradual process and warns against schemes promising quick riches. It highlights the need for realistic goal-setting and long-term commitment in trading.

Jargon-Free, Common-Sense Advice

This chapter emphasizes a straightforward approach to trading, ensuring readers—whether novices or those with past losses—can grasp the concepts. The author vows to replace complex jargon with plain English, guiding readers in making informed decisions about buying and selling shares.

Realistic Expectations

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Chapter 4 Summary : 1. Escaping the Rat Race

Escaping the Rat Race

My Story

In 1998, I found myself unhappy working in a dull office despite earning well. Seeking freedom, I left my corporate job in 2001 and never looked back. By 2014, I achieved financial independence and made investments, including property, that ensured a consistent income stream. While working at BSkyB, I developed a keen interest in trading, learning through practice with tools like a Reuters machine.

The Delectable Buffy

I created additional income streams, notably a phone line providing Buffy the Vampire Slayer updates, which earned me £250,000 over four years. My efforts in selling mobile phones and energy services generated residual income that

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continues to cover my bills.

Starting to Trade

With accrued savings, I began trading part-time. Initially, I invested modestly in stocks and spread betting while ensuring I had a fallback plan by purchasing a café. Although successful, the café became overwhelming, leading to a decision to sell it for a profit, which provided insights into managing a business that enriched my trading knowledge.

A Lazy Lifestyle

Now, I primarily trade and run my website. I also host seminars to share my trading techniques, enjoying the interactive experience with attendees. Many have successfully transitioned from office jobs to trading, and my aim is to make trading accessible.

What Kind of Trader Am I?

I consider myself more of a medium-term investor rather than a day trader. Contrary to the typical image of a frenzied trader, I prefer a laid-back lifestyle, enjoying simple

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pleasures like relaxing with family and engaging in leisure activities.

Tips for Aspiring Traders

You don't need to commit to the markets full-time to succeed. Instead of spending time on distractions like social media, I encourage learning about investing during work breaks. Importantly, remember that trading less can lead to greater profits.

Keep This Book Handy

I advise readers to keep this book accessible for reference, especially during challenging trading times. It can serve as a guide to rectify mistakes and reinforce learning. Enjoy reading at your own pace and consider taking it on vacation for relaxed learning.

Endnote

In retrospect, I even profited from the decline in shares of the company where I once worked, affirming my choice to leave that dismal environment behind.

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Critical Thinking

Key Point:The importance of diversifying income streams for financial independence.

Critical Interpretation:Robbie Burns emphasizes diversifying income sources as a key strategy for escaping the rat race and achieving financial freedom. While his personal account highlights the benefits of various income-generating activities such as trading and entrepreneurship, it is crucial for readers to critically assess whether this approach is universally applicable. Burns' success story may not reflect the complexities of financial markets and personal circumstances many face. Research suggests that not all investment strategies yield profit, and risks involved often require thorough understanding (Brealey, Myers, & Marcus, 2019). Therefore, readers should approach the idea of multiple income streams with caution, considering their unique situations.

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Chapter 5 Summary : 2. A Day in the Life of a Naked Trader

A Day in the Life of a Naked Trader

6am - Morning Routine

The author reflects on how life has changed since having kids. He used to wake up early but now sleeps in while his wife prepares their son for school.

7am - Trading Preparation

At 7am, the author prepares to trade by checking company announcements and market openings. He assesses the necessity of adjusting stop-losses and tracking market responses.

8am - Market Opening

The stock market opens at 8am. He observes his shares but

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avoids trading during the initial volatility, preferring to wait for stability.

9am - Email Management

The author tackles his overflowing inbox, responding to emails while maintaining a clear, curated response to those seeking specific trading advice.

10am - Market Analysis

Time is spent evaluating his trading portfolio and researching potential trades. He avoids making impulsive decisions fueled by boredom and checks market conditions thoroughly.

11am - Mid-Morning Break

He often takes a break to swim or shop when markets quiet down, highlighting the importance of staying physically active.

12pm - Blogging and Email Follow-up

Dedicated time to update his website, reflecting on trading

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activities while managing additional email correspondence.

1.30pm - Impact of US Market Data

The author notes that important US economic data is released, which can cause fluctuations in the FTSE 100 and individual shares.

2.15pm - Review of Higher-Risk Shares

He reviews higher-risk shares held within his pension plan before checking back on the broader market dynamics following the Dow Jones opening.

3pm - Seminar Activities

On seminar days, the author engages participants in live discussions about market strategies, often experiencing revelatory moments among attendees.

4pm - End of Trading Day

As the market closes, he evaluates his trading success before spending personal time with his son.

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5pm - Family Time

Fridays involve attending his son's football matches and celebrating his achievements with post-game treats.

7.30pm - Evening Routine

He cherishes the time spent with family during bath and bedtime routines, recognizing the benefits of being a stay-at-home trader.

8.30pm - Evening Entertainment

Typically, he and his wife watch television or recent shows, sharing leisurely moments together.

9pm - Research and Preparation

The author reviews market performance, conducts research for future investments, and prepares for upcoming seminars as necessary.

10pm - Night Routine

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Before bed, he checks the news and winds down from the day’s trading before resting.

11pm - Sleep

He concludes the day exhausted but content, ready to rest for the next day.

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Example

Key Point:The importance of maintaining a structured routine in trading and life.

Example:Imagine yourself waking up early, preparing a healthy breakfast, and checking market updates; this disciplined approach will keep you grounded and focused on your investment goals.

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Chapter 6 Summary : 3. Is Trading Right for You?

Topic	Summary
Is Trading Right for You?	Assess your motivations and goals for trading, whether it's for high returns, building wealth, or just for fun.
Building Alternate Income Streams	Do not rely solely on trading for income; pursue additional sources for financial security and relaxed decision-making.
Starting Capital for Trading	Aim for at least £3,000 as starting capital; starting with £500 is often unfeasible. Consider paper trading if capital is low.
Becoming a Full-Time Trader	Ensure you have enough funds for living expenses; target a realistic annual return of 20-25% and understand the risks of leverage.
Financial Preparedness	Critically assess your financial situation; only invest what you can afford to lose without distress.
Risk of Gambling	Be cautious if you have a gambling history, as emotional investment can impair judgment in trading.
Summary of Trading Readiness	Avoid trading if financially unstable or emotionally involved; proceed if you are sensible and financially secure.

Is Trading Right for You?

Before starting trading, consider your motivations and goals. Are you aiming for high returns or some extra money? Determine whether you want to build long-term wealth, have fun, or become a full-time trader.

Building Alternate Income Streams

It’s advisable not to rely solely on trading as your main

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income. Explore additional income sources to alleviate stress when trading, as being financially secure allows for more relaxed decision-making in the markets.

Starting Capital for Trading

Starting with a small amount, like £500, is typically unfeasible due to commissions and limited portfolio diversity. Aim for at least £3,000 to realistically invest in the market. If you have less, consider paper trading to practice.

Becoming a Full-Time Trader

To trade full-time, ensure you have sufficient funds to cover living expenses. Aim for a realistic annual return of 20-25% on your investments, understanding that successful trading requires discipline and a solid strategy. Using leverage can lead to significant financial risks.

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Chapter 7 Summary : 4. The Trader’s Toolkit

The Trader’s Toolkit

Introduction for Beginners

This chapter is primarily for beginners. If you're already familiar with online trading, feel free to move on. However, if you're new or unsure about purchasing shares online, it's essential to learn the basics, which are simpler than you might think.

Required Tools for Online Trading

1.
Computer with Broadband
: A standard desktop or laptop is sufficient. Avoid small devices like tablets for trading, as they can be cumbersome.

2.

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Online Stock Broker
: Start with an execution-only broker, which allows you to trade without advice, making it straightforward and low-risk. You can later explore more complex methods of trading.
3.
Real-Time Prices and Information
: Once you set up your brokerage account, access a site for live pricing and market news since delays can impact trading decisions.
4.
Notebook
: Keep a notebook or use apps to jot down trading ideas, prices, and reasons for buying or selling, which is essential for future analysis.
5.
Trading Environment
: Maintain a tidy workspace to help clear your mind, and remember to stay hydrated and nourished with snacks.

Selecting a Broker

- Choose execution-only brokers that charge reasonable fees for trades, ideally no more than £12.50.
- Consider having accounts with multiple brokers for better

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service comparisons.
- Watch out for hidden charges and ensure the broker is reputable.

Understanding Share Ownership

Forget traditional share certificates; most brokers now use nominee accounts where shares are electronically held.

Funding Your Account

You'll need to deposit money into your trading account, preferably via debit card for immediacy. Brokers may require identity verification for regulatory purposes.

Choosing the Right Account

Utilize a Stocks and Shares ISA to avoid capital gains tax on profits. You can currently contribute up to £15,000 annually and trade without tax liabilities.

Finding Share Prices

Utilize financial websites like ADVFN for live prices and

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essential market information. Understanding stock codes is crucial for efficient trading.

Using ADVFN and Similar Sites

- Register for free and explore features like tracking shares, viewing quotes, and keeping up with market news.
- Create monitor lists to track stocks of interest and utilize real-time pricing features for trading insight.

Keeping Records and Staying Organized

Maintain a comprehensive trading diary to review transactions later. This reflects on your investment strategy and helps highlight areas for improvement.

Conclusion

Keep your trading approach simple, avoiding clutter and unnecessary tools. Focus on understanding fundamental aspects of trading and making disciplined investment decisions.

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Chapter 8 Summary : 5. What You Need to Know About Shares

Topic	Key Points
Introduction	Essential concepts for beginners in trading including spreads, trading costs, market size, trading hours, and factors affecting share price movements.
Spreads	Difference between bid and offer prices; affects trading costs; narrower spreads minimize costs.
Trading Costs	Includes broker commission, stamp duty (0.5% in UK), and spreads; can represent significant costs.
Exchange Market Size	Quantity of shares market makers guarantee at quoted prices; cautious trading necessary for smaller companies.
Trading Hours	London Stock Exchange hours: 08:00 to 16:30, Monday to Friday; caution advised during opening and closing times.
Why Shares Move Up or Down	Influenced by broker ratings, market trends, institutional trading; "Buy on the rumor, sell on the news".
Market Makers and the Crowd	Market makers provide liquidity but may manipulate prices; 'Tree Shake' tactic induces panic selling.
Dividends	Cash payments based on profits, typically semi-annual; must be held before ex-dates to receive dividends.
Different Types of Shares	Categories include FTSE 100, FTSE 250, FTSE SmallCap, FTSE Fledgling, and AIM shares; FTSE 250 recommended for liquidity.
How to Buy and Sell a Share	Use broker's online platform; choose between market or limit orders; double-check orders for accuracy.
The Naked Trader Guide to Market Jargon	Understanding market terminology enhances strategy and trading comprehension.

What You Need to Know About Shares

Introduction

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Understanding shares is crucial for beginners in trading. This chapter covers essential concepts such as spreads, trading costs, exchange market size, trading hours, and factors influencing share price movements.

1. Spreads

-
Definition
: The spread is the difference between the bid price (sell price) and the offer price (buy price) of shares.
-
Example
: If the bid price for a stock is 654.5p and the offer price is 660p, the spread is 5.5p.
-
Importance
: The spread constitutes a real cost, affecting profits. Narrow spreads are preferable as they minimize trading costs.

2. Trading Costs

- Costs include broker commission, stamp duty (0.5% in the UK), and the spread.

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Example

: Total costs for buying and selling 1,000 shares at 500p could amount to £100, or 2% of the investment.

3. Exchange Market Size

- Exchange market size refers to the quantity of shares that market makers guarantee to buy or sell at quoted prices.
- Care is needed when dealing with smaller companies, as exceeding the EMS could lead to higher transaction costs.

4. Trading Hours

- The London Stock Exchange operates from 08:00 to 16:30, Monday to Friday. Participate cautiously around the opening and closing to avoid wide spreads.

5. Why Shares Move Up or Down

- Factors affecting share prices include broker upgrades/downgrades, general market movements, and institutional trading.

-

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Maxim
: "Buy on the rumor, sell on the news." Unexpected price movements often occur after anticipated news becomes public.

6. Market Makers and the Crowd

- Market makers provide liquidity but may manipulate prices to encourage buying or selling, which can confuse investors.
-
Tree Shake
: A tactic where prices are driven down to induce panic selling.

7. Dividends

- Dividends are cash payments to shareholders, typically given twice a year, based on company profits. They provide income and can offset trading costs.
-
Ex-Dates
: To receive a dividend, shares must be held before this date. Prices usually drop on ex-dividend dates by the dividend amount.

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8. Different Types of Shares

- Categories include FTSE 100, FTSE 250, FTSE SmallCap, FTSE Fledgling, and AIM shares, each with varying liquidity and risk profiles.
-
Recommendation
: Limit investments in AIM and FTSE Fledgling shares due to higher risk; prefer FTSE 250 for liquidity.

How to Buy and Sell a Share

- Use the online platform of your broker to place orders, choosing between market or limit orders.
- Familiarize yourself with the interface, ensuring to double-check orders to avoid mistakes.

The Naked Trader Guide to Market Jargon

- Familiarity with market terminology can help demystify trading and market behaviors, enhancing understanding and strategy.
This chapter offers foundational knowledge necessary for

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making informed trading decisions. Understand these concepts as they form the basis for successful share trading and investing.

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Chapter 9 Summary : 6. Why People Lose At Trading

Section	Summary
Introduction to Key Areas	Understanding fundamental aspects of trading is essential for success.
The Mental Aspect of Trading	Trading psychology affects success; a sharp mind can lead to both profit and self-sabotage.
Common Psychological Pitfalls	Greed: Desire for quick wealth leads to risky decisions. Stubbornness: Holding onto losing shares due to refusal to accept mistakes. Fear: Fear of loss results in premature selling and inaction.
Trading Decisions Under Emotional Strain	Making decisions while tired or upset can lead to poor choices; clarity is essential.
Characters from Dad's Army as Trading Archetypes	Corporal Jones: Emotional trader prone to panic. Private Walker: Represents greed and its dangers. Private Fraser: Embodies fear that hampers trading actions. Sergeant Wilson: Reflects laziness in research and engagement. Private Pike: Depicts naïve trading based on bad advice. Captain Mainwaring: A competent trader with informed decision-making skills.
Lessons from TV Characters	Spock serves as a role model for traders due to his unemotional and analytical mindset.
Conclusion	Success in trading requires logic, self-awareness, and managing psychological pitfalls through education.

Why People Lose At Trading

Introduction to Key Areas

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Before diving into effective trading strategies and research tips, it's crucial to understand two fundamental areas that commonly trip up traders. Mastering these aspects is essential for successful trading.

The Mental Aspect of Trading

Trading psychology plays a significant role in success. While a sharp mind can lead to profits, it can also lead to self-sabotage. Many traders lose due to psychological factors such as fear, greed, and stubbornness.

Common Psychological Pitfalls

1.
Greed
: A primary reason many traders fail, driven by the desire to

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Chapter 10 Summary : 7. Confirmation Bias and the Most Important Lesson

Confirmation Bias and the Most Important Lesson

Understanding Confirmation Bias

Confirmation bias is a psychological tendency that affects trading decisions. It occurs when traders seek out information that supports their existing beliefs instead of considering contrary evidence. This behavior can lead to poor trading outcomes, as traders may ignore red flags and double down on losing positions, hoping to validate their initial choice. The author highlights that traders often become fixated on positive signals from bulletin boards and analysis while dismissing negative trends, leading to greater losses.

Combatting Confirmation Bias

To counteract confirmation bias, traders should actively question their decisions and consider alternative viewpoints.

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This involves imagining a scenario in which the chosen shares experience significant declines and reflecting on potential reasons for those downturns. Being open to the possibility of being wrong is crucial for effective trading.

The Most Important Lesson

The core lesson emphasized is that taking losses can lead to greater profitability in trading. Specifically, engaging in small losses strategically allows traders to hold onto profitable positions longer and maximize gains. The focus should be on cutting losses quickly (ideally before a 15% drop) while letting winners run, ideally aiming for gains of 30% or more.

Trading Strategy

Successful trading involves a mix of managing losses and gains. A trader may appear to have more losses than wins but can still be profitable if the size of the profits on winning trades outweighs the cumulative losses. Thus, the percentage of gains versus losses is what truly counts.

Emotional Challenges in Trading

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Traders must develop the mental fortitude to accept losses and avoid the common pitfall of hoping for a turnaround in poor-performing stocks. For example, a trader who invests significantly in a declining stock might refuse to sell out of fear of realizing a loss, which can lead to devastating financial consequences.

Final Thoughts

Recognizing and overcoming emotional barriers in trading is essential for success. Traders are encouraged to remain disciplined, consider their positions rationally, and not become overly attached to underperforming stocks. For further insight into trading psychology, the author recommends "Your Money and Your Brain" by Jason Zweig.

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Example

Key Point:Understand and confront your confirmation bias to improve trading decisions.

Example:Imagine you've invested heavily in a tech stock that just posted disappointing earnings. Instead of seeking news that will justify your position, challenge yourself to explore viewpoints that highlight its fundamentals and broader market indicators. By doing this, envision how your ability to accept the possibility of losses allows you to more rationally decide whether to hold or sell, which could ultimately save you from greater financial pitfalls.

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Critical Thinking

Key Point:Confirmation Bias Can Obscure Rational Decision-Making in Trading.

Critical Interpretation:The author's assertion regarding confirmation bias underscores an essential challenge in trading psychology: traders often construct narratives that affirm their existing beliefs. While this viewpoint highlights the necessity of a critical approach in trading decisions, it is important to recognize that not all traders obey this pattern uniformly. Some may possess trading strategies well-informed by broad market analysis and cognitive strategies that mitigate bias, as noted by sources like Daniel Kahneman’s 'Thinking, Fast and Slow.' The idea that emotional and psychological factors can be influenced or overruled by systematic analysis opens a debate about the universality of the author's claims. Furthermore, certain methodologies, such as algorithmic trading, can further detach individuals from emotional biases. Thus, while the dangers of confirmation bias are articulated effectively, the narrative may oversimplify the nuanced reality of trading behaviors.

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Chapter 11 Summary : 8. The Market Can See You Coming

The Market Can See You Coming

Overview

Trading can attract many deceptive influences preying on newcomers. It’s essential to maintain a cautious mindset and recognize potential scams to protect your investments.

Understanding the Risks

The trading environment is filled with individuals and organizations eager to take advantage of inexperienced traders. This includes brokers, system sellers, tipsters, and boiler room operators. Be suspicious of anyone promising quick riches or unrealistic returns.

Common Scams

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1.

Phone Calls/Boiler Rooms

- Often deceptive calls offering high-return stocks that are usually worthless.
- Hang up and never provide personal information.

2.

Advertisements

- Be wary of “get-rich” ads that lure you into free seminars that result in aggressive sales tactics.
- High-cost seminars often do not provide valuable insights.

3.

Trading Systems

- Many systems promise easy profits with minimal effort. They are usually scams.
- Genuine trading success comes from hard work and research.

Tipsters

- Many tipsters operate with questionable credibility,

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promoting penny stocks while hiding losses.
- Evaluate tipsters carefully, rely on independent research, and don’t rush to buy upon receiving a tip.

Strategies to Avoid Scams

- Use a separate email for registration to limit spam.
- Verify the credibility of any service you engage with through independent checks.
- Remember that trades should not be made impulsively based on tips or hot advice.

Conclusion

Approach the trading market with skepticism and dedicated research. Avoid temptations for quick gains and focus on building genuine knowledge and skills over time.

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Critical Thinking

Key Point:Caution Against Scams

Critical Interpretation:The chapter emphasizes the necessity of skepticism in trading due to prevalent scams targeting inexperienced traders. It cautions against trusting promises of quick profits and highlights the significance of diligent research and critical thinking. However, readers should consider that the author’s warning, while valid, may not account for all legitimate strategies in trading that require a level of risk and investment in learning. Critics argue that a solely negative focus could deter potential traders from exploring beneficial resources and community support. Academic sources on investing risks and behavioral finance, such as "Behavioral Finance: Psychology, Decision-Making, and Markets" by Prof. Lucy Ackert and Prof. Richard Deaves, can provide a more nuanced understanding of risk and reward in trading.

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Chapter 12 Summary : 9. Bulletin Boards

Section	Summary
Purpose and Overview	Bulletin boards (BBs) facilitate discussions among investors about buying and selling shares, reducing the isolation often felt in trading.
Participation and Content Structure	Users can register with a nickname to join discussions organized into categorized threads, with premium boards available for serious investors.
User Experience and Cautions	BBs should be seen as entertainment, not as reliable investment advice; contributors may have personal biases.
Skepticism is Key	Investors should be wary of overly enthusiastic discussions, especially regarding smaller companies; well-reasoned threads may indicate valuable insights.
Content Evaluation and Filters	While BBs can be useful research tools, users must critically assess the information and filter out unhelpful content.
Types of Contributors	Rampers: Promote shares to inflate prices. Complete Idiots: Engage in unproductive arguments. Good Posters: Provide valuable insights and predictions. Wind-up Merchants: Create controversy without knowledge. In-and-Out Types: Change opinions frequently. Gurus: Present as experts, may conceal losses. Fantasists: Overrate their trading capabilities. Approval Seekers: Base opinions on popularity over insight.
Legal Considerations	Posting insider information is illegal and can lead to serious legal consequences, including libel claims.
Summary	BBs are primarily for entertainment and socialization, not reliable investment resources; skepticism and verification of claims are essential.

Bulletin Boards

Purpose and Overview

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The internet bulletin boards (BBs) provide a platform for investors to discuss buying and selling shares, helping to alleviate the loneliness of trading. Key bulletin boards include ADVFN, MoneyAM, and Interactive Investor.

Participation and Content Structure

Users register with a nickname, allowing them to contribute to discussions categorized into 'threads.' While there are free main boards, premium options attract more serious investors.

User Experience and Cautions

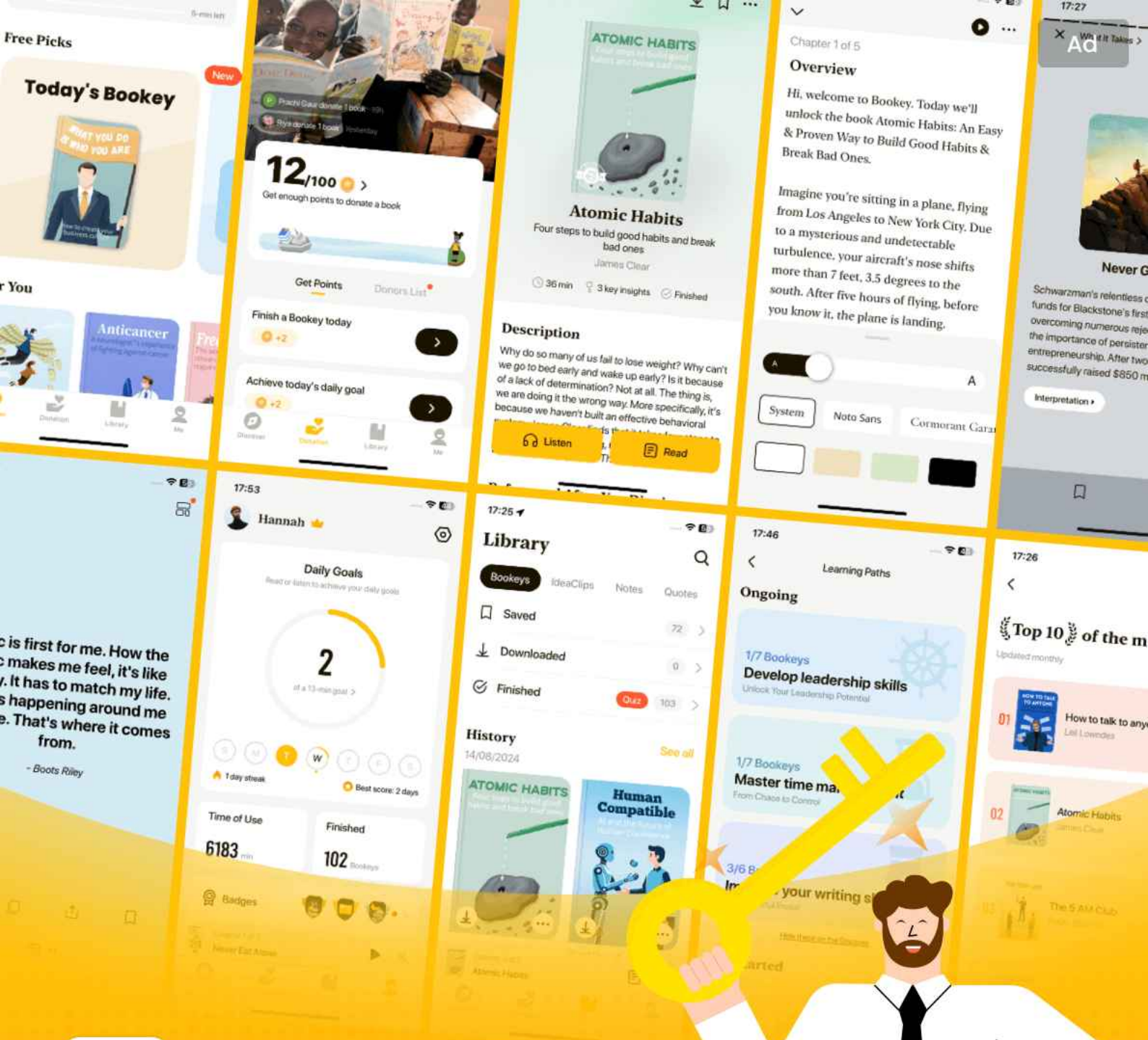
BBs should be viewed as light entertainment rather than reliable sources of investment advice. Personal experiences shared may be biased, influenced by contributors aiming to promote specific shares.

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Chapter 13 Summary : 10. How Do I Find Shares Worth Looking At?

How to Find Shares Worth Looking At

Finding shares worth investing in can be challenging, but there are effective strategies to identify potential opportunities. Here's a concise guide on how to discover promising shares.

Approach to Finding Shares

- Start by identifying shares that are already rising and have some activity behind them.
- Aim to add promising shares to your watchlist, focusing on finding one share per week as a successful outcome.

Places to Avoid for Ideas

- Internet tipsters
- Tipsheets
- Bulletin boards

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- Columns from investment gurus

Recommended Sources for Ideas

1.
Newspapers

- Read daily newspapers like the Times and the Mail for stock market round-ups and feature stories on shares of interest. While the Financial Times can be useful on weekends, its daily content may feel dense.

2.
Investment Publications

- Check out magazines such as
Investors Chronicle
for thorough analysis and
Shares
for more speculative advice. Use their insights as a reference, not as guaranteed tips.

3.
Company News at 7 AM

- Utilize platforms like ADVFN and Investegate for fresh

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company news. Most significant reports come out early, offering a window for potential investment opportunities.

4.

ADVFN Toplists

- Use ADVFN's free and premium Toplists to track share performance, particularly:

-

Percentage gainers and losers

for shares with significant movement.

-

Breakouts

that indicate shares crossing established price ranges.

Final Thoughts

Finding shares involves a combination of strategy and some luck. Utilize multiple resources, stay informed, and perform thorough research on shares that catch your interest.

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Chapter 14 Summary : 11. How to Choose Good Shares

Section	Summary
Research Importance	Conduct thorough research on shares instead of relying on tipsters to avoid losses.
Building the Company's Story	Consider all company aspects and focus on promising shares without excessive questions.
Key Questions to Ask	1. Market cap? 2. Pre-tax profits? 3. Profit and dividend trends? 4. Company outlook? 5. Current negatives? 6. Net debt? 7. Sector? 8. Share price trend?
Data Sources	Use reliable sources like ADVFN; analyze latest financial statements instead of third-party sites.
Traffic Lights System for Reports	Use red (sell), amber (hold), green (buy) to quickly assess company reports.
Debt Management	Net debt should not exceed three times profits to avoid bankruptcy risk; consider different metrics for specific sectors.
Further Considerations	Check dividend history, price trends, company background, and monitor directors' dealings for insights.
Corporate Website Review	Evaluate website clarity on operations and service quality to gauge company competence.
Understanding P/E Ratios	P/E ratios indicate the time to cover share price; compare within sectors for context.
Valuation Strategy	Identify undervalued shares using a threshold of a maximum of 15 times earnings.
Conclusion on Share Selection	Target shares showing growth potential, rising metrics, low debt, and understandable operations through extensive research.

How to Choose Good Shares

Research Importance

Finding interesting shares is just the beginning; it's crucial to

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conduct thorough research to determine if they are worth buying. Relying on tipsters without doing your own investigation is a recipe for losses.

Building the Company's Story

When researching shares, consider all aspects of the company. Avoid shares that raise too many questions and focus on those that seem promising. Keep your research straightforward, just like a no-nonsense boss would.

Key Questions to Ask

1. What is the company's market value (Market cap)?
2. What are the pre-tax profits?
3. Are profits and dividends increasing?
4. What’s the overall outlook of the company?
5. Are there any current negatives affecting the company?
6. What is the net debt?
7. What sector does the company operate in?
8. How is the share price trending?

Data Sources

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Use reliable sources like ADVFN for company quotes and recent reports. Analyze the latest financial statements and avoid relying heavily on third-party financial sites.

Traffic Lights System for Reports

Implement a 'traffic lights' system to quickly assess reports:

- **Red** for sell signals
- **Amber** for hold signals
- **Green** for buy potential

Identify keywords that indicate the company's condition, such as "challenging" (red) or "positive outlook" (green).

Debt Management

Keep an eye on net debt; ensure it does not exceed three times the company's profits to mitigate risk of bankruptcy. For oil and property companies, consider different valuation

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metrics.

Further Considerations

- Check the company's dividend history—consistent increases are a good sign.
- Review price charts for trends in stock performance over the past year or three years.
- Analyze the company's background and recent news for insights into future performance.
- Monitor directors' dealings for confidence indicators in company health. However, interpret these cautiously and always combine with your research.

Corporate Website Review

Evaluate the company website for clarity about operations and service quality. A poor website may reflect negatively on company competence.

Understanding P/E Ratios

- P/E ratio represents the time it would take for earnings to cover share price.

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- High P/E ratios indicate optimism; low P/Es may point to undervalued shares worth investigating.
- Compare P/E ratios within similar sectors for more context.

Valuation Strategy

To identify undervalued shares, approach as if you are a billionaire looking for profitable investments. Analyze profits against market capitalization and set a threshold—preferably a maximum of 15 times earnings.

Conclusion on Share Selection

Target shares that show growth potential, rising profits, and dividends, low debt, positive charts, and understandable business operations. A comprehensive research strategy ensures making informed decisions when selecting shares.

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Example

Key Point:Thorough research is essential before deciding to invest in any shares.

Example:Imagine you’re considering investing in a tech start-up. Instead of hastily buying based on a friend's recommendation, you decide to dig deeper into the company’s financial health and market performance. You analyze its market cap, scrutinize recent profit trends, and check for any concerning debts. By carefully assessing reliable sources and applying the traffic light system to the company reports, you identify key indicators that shape your decision. You uncover significant debts and a slowing growth rate, leading you to decide against the investment. This process of thorough research not only protects your money but also ensures you’re choosing shares with genuine growth potential.

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Chapter 15 Summary : 12. How to Plan, Manage and Close Trades (Without Going Mad)

How to Plan, Manage and Close Trades (Without Going Mad)

The Importance of a Trading Plan

When you decide to buy shares, having a solid trading plan is crucial. By planning, you establish your reasons for choosing a stock, your profit targets, timescale, and how much you're willing to risk with a stop-loss. This helps you remain focused and prevent panic decisions.

Essential Questions to Formulate a Trading Plan

Before buying shares, consider these questions:
- What does the company do?
- Why do you believe the share price will increase?
- What's your target sale price?

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- What’s your predetermined stop-loss?
- Could the share price decrease significantly in the near future?
- Have you conducted adequate research on the stock?

Stop Losses: A Key Component

Stop losses are orders to sell shares at a predetermined price to limit losses. They protect your capital, ensuring you don't lose more than necessary if a trade fails. Setting a good stop loss requires understanding the stock’s volatility and historical price support levels.

Setting Stop Losses

A typical starting point is to set your stop loss at 10% below your purchase price unless significant chart patterns suggest otherwise. Adjust your stop loss based on the stock's

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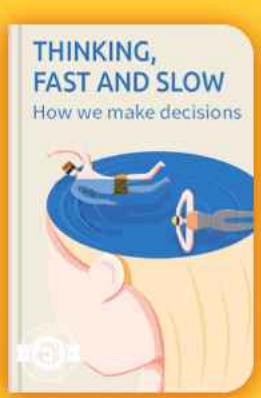
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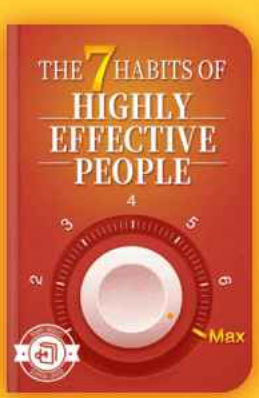
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Chapter 16 Summary : 13. Trading Times of the Year

Trading Times of the Year

Overview of Seasonal Market Trends

The author, Burns Robbie, shares insights on how market performance varies throughout the year, suggesting that different months exhibit distinct behaviors in stock trading.

February–March

These months tend to be average in performance, with February often seeing profit-taking from gains made during Christmas. It's advisable to hold some cash during this period.

April

Historically, April is a strong month for the market,

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particularly around Easter, with a 78% chance of price increases. Consider buying shares in mid-March to capitalize on this uplift.

May–July

This period is historically weaker, with May often marking the start of underperformance. Caution is recommended, as May through July typically bring low returns.

August

August can be surprisingly profitable despite lower trading volumes, leading to rapid price changes. Look for companies reporting strong results during this month or early September to take advantage of potential gains.

September

September holds the reputation of being the weakest month, with an average market decline of 1.4%. It may be an opportune time for shorting stocks.

October–November

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Contrary to common belief, October is relatively decent for trading despite historical crashes. November is moderate; both months can be strategic for buying ahead of Christmas shopping.

December–January

These months are considered the best for stock performance, with December having a strong historical probability of positive returns at 69%. The holiday season leads to upward price movements due to lower selling pressures. However, caution is warranted for potential bad news from companies during this period.

Investment Strategies

The author recommends buying the FTSE 100 index in early to mid-December and selling in early January to exploit favorable market conditions. Small-cap stocks can also offer opportunities, though investments should be cautious.

Conclusion

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Market patterns are influenced by seasonal trends and human psychology, allowing traders to make informed decisions based on historical performance while managing risks through strategies like stop-loss orders.

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Chapter 17 Summary : 14. Winning Strategies

14. Winning Strategies

In this chapter, the author shares 20 winning trading strategies that have proven to be effective over the years for making money in the stock market. Here’s a summary of each strategy:

Strategy 1: Buy Shares before FTSE 100 Entry

Invest in shares nearing a £4 billion market cap as they are likely to get promoted to the FTSE 100, attracting fund investments. Be prepared to take profits shortly after promotion due to possible price slides.

Strategy 2: Look for 'Ahead of Expectations' Updates

Buy shares when companies announce trading results that are “ahead of expectations,” as it typically indicates strong

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subsequent performance.

Strategy 3: Identify Popular Retailers

Gauge popularity by observing shopping habits among friends and family, as a retailer's success can often be inferred from personal anecdotes and store traffic.

Strategy 4: Seek Game-Changing Developments

Focus on companies reporting new ventures or major contracts that could significantly improve their market position.

Strategy 5: Look for Undervalued Shares

Identify companies with low market caps relative to profit potential; ideally, aim for those trading at eight to ten times their earnings.

Strategy 6: Explore New Issues

Invest in newly listed companies that present exciting products or services, but be cautious and ready to exit if the

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market reacts poorly.

Strategy 7: Analyze Hot Sectors

Watch for sectors experiencing upward trends; invest in companies within those sectors for potentially higher rewards.

Strategy 8: Recovery Plays

Identify companies that are rebuilding or recovering from past troubles, ensuring there’s a clear reason for the potential turnaround.

Strategy 9: Trade Trendy Shares for Short-term Gains

Trade shares that exhibit consistent price movements within a predictable range, capitalizing on buying low and selling high.

Strategy 10: Invest in 'Boring' Companies

Consider companies with steady, predictable growth in less

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glamorous industries, as they often provide solid returns over time.

Strategy 11: Find Stocks in Growth Markets

Look for shares in industries poised for significant growth, investing early in promising companies that dominate these spaces.

Strategy 12: Target Companies in Niche Markets

Invest in companies that hold strong positions in specific niches, as they may outperform larger competitors in tough economic climates.

Strategy 13: Identify Bid Targets

Watch for companies that appear to be acquisition targets, as they can see substantial price appreciation once the bid is announced.

Strategy 14: Watch AIM Companies Moving to Main Market

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Invest when companies transition from AIM to the main market, as this often attracts bigger institutional investors and raises share prices.

Strategy 15: Monitor Booming Divisions

Look for companies experiencing growth in specific divisions while maintaining stable revenues from other areas.

Strategy 16: Exercise Caution with Oil Exploration Stocks

Invest selectively in oil exploration firms, ensuring they possess adequate cash reserves and management stability, as this sector carries high risks.

Strategy 17: Buy on News Overreactions

Capitalize on market overreactions to negative news to buy otherwise strong companies at discounted prices.

Strategy 18: Invest in Health and Safety Firms

Look for companies with products that may become

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significant due to regulatory changes or increased public demand for safety measures.

Strategy 19: Favor Consistent Profit and Dividend Growth

Target companies that have increased profits and dividends consistently over three years, as they demonstrate solid performance.

Strategy 20: Leverage Industry Knowledge

Use insights from your professional background to assess comparable companies, ensuring you're informed before making investment decisions.
By applying these strategies while still conducting thorough research, investors can enhance their chances of success in the stock market.

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Example

Key Point:Spot undervalued shares with potential for profit growth.

Example:Imagine you're at a networking event and overhear a conversation about a company that everyone else is overlooking, yet its financial metrics suggest it’s undervalued. Armed with your knowledge, you investigate further, noting how it's trading at a low valuation compared to its earnings. With a market cap that suggests it's about to turn around, you decide this is your moment to invest. Over time, as its true worth surfaces, that strategic buy positions you to reap significant rewards while others are still hesitant.

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Chapter 18 Summary : 15. New Issues

15. New Issues

Introduction to IPOs

New Issues, or IPOs (Initial Public Offerings), are crucial for investors looking for profitable opportunities in the stock market. Over the years, the author has experienced substantial gains from successful IPO investments, sometimes seeing returns of 400-500%. While the market condition influences the number of companies debuting, there can still be valuable opportunities.

Tracking New Issues

To stay updated on new IPOs, one can check financial news outlets such as ADVFN, Investegate, and traditional newspapers like The Times. Investment magazines also highlight upcoming listings. Research involves googling the company for background information and assessing market value, particularly favoring those valued at £600m or more.

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Buying into New Issues

Acquiring shares at the issue price can be competitive, as demonstrated by the Royal Mail example, where demand exceeded availability. Buying shares requires swift action on the listing day, often necessitating direct communication with brokers or spread betting firms for pricing and execution.

Evaluating New Issues

Not all IPOs are worth investing in. Critical evaluation of a company’s potential market demand, unique advantages, and overall industry competitiveness is essential. The author expresses a strong aversion to companies with 'oil' or 'gas' in their title and emphasizes the need for excitement in the business model during IPO assessments.

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Chapter 19 Summary : 16. Building a Portfolio Gently

Building a Portfolio Gently

Building a portfolio gently is essential for successful trading without facing a market implosion. It's important to trade less, as excessive trading often leads to losses rather than profits.

Over-Trading

Many traders feel compelled to trade frequently for excitement, which is especially common in new traders. Frequent trading can lead to emotional decision-making, increased stress, and high commission costs. Successful traders maintain a sensible number of open trades to manage effectively.

The Gambling Mindset

The author shares personal experiences as a professional

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gambler, emphasizing that unlike gambling on horses, stock market investing requires discipline and research. The difference between a stock market gambler and a winning investor lies in the approach: investing involves informed decisions, whereas gambling lacks a strategy and research.

Tea-and-Toast Trading

Successful traders are comfortable with taking breaks from trading. The author humorously recommends enjoying simple pleasures like tea and toast during market volatility. The key is to rely on solid company fundamentals while minimizing trading frequency to save money.

Big Returns

Building a portfolio gradually allows for substantial profits over time. The author shares examples of successful trades, such as Nichols and Telecom Plus, where holding strong companies led to significant gains. The emphasis is on doing nothing and allowing investments to mature over time, reinforcing that gentle trading is effective, especially for beginners.

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Example

Key Point:Gradual Portfolio Building

Example:Imagine starting your day with the calm ritual of enjoying tea and toast while checking your investments. As you sip your tea, you remind yourself that trading less is more beneficial than overtrading, which can cloud your judgment and lead you to costly mistakes. You reflect on your earlier experiences where impulsive trades based on market noise only brought stress and losses, unlike now, where you patiently monitor your chosen stocks. You're focused on the fundamentals of the companies you've invested in, knowing that allowing them to grow steadily is your path to achieving substantial profits, and maintaining a gentle trading approach shields you from the pitfalls of a gambling mindset.

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Chapter 20 Summary : 17. Terrible Trading Mistakes

Terrible Trading Mistakes

This chapter discusses common trading mistakes that can significantly impact traders and investors. It emphasizes the importance of learning from mistakes to avoid costly errors in the future.

Top Mistakes Made by Traders

1. Buying Crap with No Thought

Many traders impulsively invest in companies with exaggerated promises without doing proper research, often resulting in significant losses.

2. Falling for Pump and Dump

New investors may be misled by pump-and-dump schemes

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where fraudsters inflate stock prices only to sell off their shares for profit, leaving inexperienced investors stuck with losses.

3. Not Using Stop Losses

Failing to set stop losses can lead to holding on to losing stocks longer than necessary, resulting in larger losses.

4. Setting Stop Losses Too Tight

Placing stop losses too closely can result in being stopped out frequently, particularly in volatile markets.

5. Gambling Instead of Trading

Many inexperienced investors treat trading like gambling without proper research, leading to high-risk losses.

6. Buying Companies with Big Debt

Investing in highly indebted companies can result in severe financial losses, particularly during downturns.

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7. Buying Tipped Shares

Following stock tips from newspapers or online sources can lead to purchasing at inflated prices, resulting in financial loss.

8. Selling on Ex-Dividend Day

Investors often mistakenly sell shares on the ex-dividend date, not realizing that the price drop correlates with receiving the dividend.

9. Ignoring Profit Warnings/Negatives

Holding shares after a profit warning can lead to further losses; it’s essential to act quickly in response to bad news.

10. Over-Trading/Self-Smugness

After successful trades, traders may become overconfident and trade recklessly, leading to substantial losses.

11. Buying Boys-Toys/One-Product Companies

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Investing in tech or gadget companies based solely on excitement can lead to significant losses, often due to market volatility.

12. Catching a Falling Knife

Attempting to buy shares that are rapidly falling can lead to larger losses.

13. Buying Lots of Penny Shares

Investing in poorly capitalized penny stocks can be risky and illiquid, leading to potential financial ruin.

14. Averaging Down

Buying more of a declining stock to lower the average cost can compound losses instead of alleviating them.

15. Trading Indices/Day Trading

Trading indices requires experience; new investors can face significant risks due to volatility and fast market movements.

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16. Hanging Onto Losers/Snatching Profits

Failing to cut losses quickly or taking profits too early can hinder long-term investment success.

17. Buying Against the Trend

Going against market trends often results in further losses; it's safer to follow established trends.

18. Buying Small Drugs Companies

Investing in small pharmaceutical firms is speculative and often leads to losses, as most do not succeed.

19. Buying Just Small Oil and Mining Shares

Concentrating your portfolio on small oil and mining firms exposes you to high risk without proper diversification.

20. Not Running Profits

Holding onto winning stocks too long or failing to recognize when to take profits can reduce overall gains.

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21. Buying a System

Skepticism is warranted regarding trading systems promising guaranteed profits; success must come from personal research and strategy.

Lessons Learned

The author reflects on personal mistakes, such as buying Coffee Republic shares based on emotion rather than research, leading to significant losses. Other mistakes include prematurely selling a winning stock due to fear and over-investing in risky ventures.
Thus, the chapter serves as a cautionary guide, urging traders to conduct thorough research, set sensible strategies, recognize market trends, and avoid common pitfalls for improved trading success.

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Critical Thinking

Key Point:Importance of Research and Strategy in Trading

Critical Interpretation:The chapter underscores the criticality of thorough research and strategy in trading, arguing that many common mistakes, such as impulsively buying stocks or not setting stop losses, stem from a lack of informed decision-making. However, it is essential to question whether the author’s perspective fully addresses the complexities of market dynamics and behavioral finance, which suggest that even well-researched decisions can lead to losses. Studies like "Behavioral Finance: Psychology, Decision-Making, and Markets" by Lucy Ackert and Richard Deaves offer insights into how psychological factors can skew decision-making, indicating that discipline alone may not shield traders from catastrophic outcomes.

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Chapter 21 Summary : 18. When Markets Go Down

When Markets Go Down

Understanding Market Trends

- Markets can experience both bull (rising) and bear (falling) phases. The FTSE 100's performance over 20 years reveals significant fluctuations, but little overall progress from the late 1990s to 2014.
- Bull markets generally produce gains, while bear markets can lead to significant losses, typically around 3500 to 6900.

Responding to Market Downturns

- Market downturns can be triggered by unforeseeable events (e.g., financial crises, geopolitical issues) and are often exacerbated by automated trading systems.
- The "Flash Crash" of 2010 illustrated the volatility created by high-frequency trading.

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Strategies for Falling Markets

- Investors face several options during downturns, including liquidating assets or adopting a more cautious approach by shorting markets.
- The author prefers to adapt strategies as market conditions shift, selling off positions gradually during declines and repurchasing when the market stabilizes.

Protecting Your Portfolio

- The FTSE 100 index decline presents an opportunity to hedge investments without liquidating strong positions.
- Utilizing an ETF like SUK2 can provide exposure to market downturns without the need to sell existing stocks, effectively functioning as a hedge.

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Chapter 22 Summary : 19. Spread Betting

Spread Betting Introduction

Spread betting is often misunderstood and met with skepticism, yet for traders and investors, it presents a lucrative opportunity. The author shares personal success with spread betting, highlighting tax-free profits and substantial withdrawals, making a case for its integration into investment strategies alongside ISAs.

Understanding Spread Betting

In essence, spread betting allows traders to wager on the price movement of shares without actually owning them. This gambling-like scenario means profits and losses depend on market fluctuations rather than traditional investments.

Attractions of Spread Betting

1.

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Tax-Free Trading

: Profits from spread betting are currently tax-free, presenting a significant advantage over traditional share trading.

2.

Leverage and Margin

: Traders can engage with larger positions using only a fraction of the investment, but caution is advised to avoid substantial losses.

3.

Short Selling

: Spread betting enables betting against stocks, providing a strategy for profit in declining markets.

4.

Diverse Markets

: Traders can bet on various assets, including indices and commodities.

5.

Guaranteed Stop Losses

: These can protect against significant losses by securing set exit points.

Downsides of Spread Betting

1.

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Wider Spreads
: Spread betting often comes with higher spreads compared to traditional brokers.
2.
Long-Term Costs
: Keeping bets open for extended periods can be more expensive.
3.
Over-Trading Risk
: The addictive nature of spread betting can lead to excessive trading.
4.
Unlimited Losses
: Without proper stop-loss measures, traders risk substantial financial setbacks.

Practical Examples of Spread Betting

Examples showcase both long and short positions in spread betting, illustrating how profits and losses correlate directly to the stake amount and market movements.

Expiry Dates and Rollovers

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Spread bets typically expire quarterly, and traders have the option to roll over positions, which may incur additional costs.

Margin Calls and Over-Exposure Risks

Margin calls alert traders to excessive losses requiring immediate funds. Proper risk management is crucial to avoid significant financial ruin.

Spread Betting Strategies

The author outlines personal strategies for utilizing spread betting effectively, emphasizing flexibility and market adaptability.

Opening a Spread Betting Account

With many firms available, traders should choose based on their offerings and reputation for decent client treatment. Recommendations include IG, Spreadex, Capital Spreads, and Spreadco, each with unique benefits.

Naked Trader's 10 Golden Rules for Spread Betting

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1.

Know the Market

.

2.

Opt for Shorter-Term Trades

.

3.

Avoid Volatile Indices

.

4.

Limit Position Openings

.

5.

Set Affordable Stakes

.

6.

Enforce Strict Stop Losses

.

7.

Close Bets Oppositely

.

8.

Regard Margin Calls Seriously

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.

9.

Consider Guaranteed Stop Losses

.

10.

Be Transparent About Losses

.

The author advocates for responsible spread betting practices and suggests further reading for deeper insights.

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Critical Thinking

Key Point:The potential appeal of spread betting is overshadowed by its inherent risks and misconceptions.

Critical Interpretation:Although the author emphasizes the lucrative aspects and tax benefits of spread betting, it is crucial for readers to critically assess this viewpoint. While profits may be tax-free, the gambling-like nature can lead to significant losses and over-trading, which may not align with every investor's strategy. Skepticism toward spread betting's risk factors is warranted, and investors should consider research from sources like the Financial Conduct Authority (FCA) that highlight the dangers of speculative trading. Thus, while the author presents a compelling case, it is essential to approach the practice with caution.

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Chapter 23 Summary : 20. CFDs and Other Stuff

CFDs and Other Stuff

CFDs Overview

Contracts for difference (CFDs) are gaining popularity, but the author advises beginner investors to avoid them due to capital gains tax and the potential for over-trading using credit. Although CFDs can be profitable, especially in a SIPP, they should be approached with caution and understanding.

Understanding CFDs

- CFDs allow trading without owning the underlying shares, enabling easy short selling.
- No stamp duty is paid, but an interest charge applies daily (roughly 70p on a £5,000 long position).
- Best used as short-term instruments, ideally for a timeframe of one to three months.

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- Two types exist: straightforward CFDs and direct market access (DMA) CFDs, which involve higher costs but allow direct order placement.

Warnings About CFDs

- Start with small trades to gain confidence and limit risks.
- CFDs are unsuitable for long-term investments; a maximum duration of six months is recommended.

Covered Warrants

Covered warrants are complex derivatives and not advised for beginners. They are useful for shorting in advanced portfolios, but understanding them requires substantial market experience. Resources like Andrew McHattie's book are recommended for further learning.

Investment Trusts

Investment trusts (ITs) are often overlooked but can yield decent profits. They are funds investing in shares of other companies and can offer thematic exposure to various sectors, such as emerging markets or specific regions.

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Key Points About Investment Trusts

- ITs are bought and sold like shares, and their prices correlate with the net asset value (NAV) of the fund's holdings.
- Research is crucial; investors should verify the NAV and the top holdings before investing.
- Potential to mitigate risk compared to investing in individual shares, making them a solid portfolio addition.

Other Funds

Exchange-traded funds (ETFs) are becoming more popular, but the author prefers individual stock trading over using ETFs or unit trusts, as they enjoy managing their own portfolio.

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Chapter 24 Summary : 21. Shorting

Shorting

Shorting is a technique used in spread betting where investors profit from a decline in stock prices. New investors should be cautious but learn the process, as it allows opportunities to earn during poor market conditions. The author prefers to short large companies due to lower spreads and typically shortens the top 350 firms.

Hedging

Investors may use shorting as a hedging strategy to protect long positions during uncertain times without incurring high costs from selling shares. This strategy is intended for short-term use to offset potential losses rather than a long-term solution.

Finding Shorts

Identifying shares to short involves looking for overvalued stocks or companies in a downward trend, particularly in

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bear markets. Key indicators include profit warnings, high P/E ratios, negative news, significant debt, and general downtrends.

Shorting Triggers

Triggers for initiating a short include breaking through established support levels and the emergence of bad news affecting a company or its sector.

Ideal Short Characteristics

An ideal short should have:
- A share breaking down through support,
- Recently issued negative statements,
- Low probability of being a takeover target.

Examples of Successful Shorts

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Chapter 25 Summary : 22. Market Timing: Level 2 and DMA

Market Timing: Level 2 and DMA

Introduction to Level 2

Level 2 is a tool that provides in-depth information about a stock's market activity, including the number of sellers and buyers, beyond the basic bid and offer prices. It can help traders time their trades more effectively, enabling them to access more real-time data on buy and sell orders.

Benefits of Using Level 2

1.
Enhanced Market Insight
: Level 2 displays not just the best prices but also additional bids and offers, allowing traders to anticipate price movements.
2.

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Early Decision Making
: By monitoring market maker activities and other orders, traders can buy or sell before significant price changes occur.

Understanding Level 2 Data

-
Price Quotes
: Level 1 provides basic bid and offer prices. In contrast, Level 2 offers visibility into multiple orders and prices from various market makers, enhancing understanding of market dynamics.
-
Order Interpretation
: Buy orders are listed on the left and sell orders on the right, which can be counterintuitive—traders need to buy at a higher price and sell at a lower price.

Practical Application

-
Identify Support Levels
: By analyzing the size of buy and sell orders, traders can determine potential support or resistance levels for stock

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prices.

-

Profit Timing

: Level 2 can help prevent premature profit-taking and guide buy decisions more accurately.

Accessing Level 2

Level 2 access is available for varying costs, sometimes even free for frequent traders. It is recommended for anyone looking to better understand market movements, although it may require time to master.

Direct Market Access (DMA)

1.

What is DMA?

: Direct Market Access allows traders to input their own buy and sell orders directly into the market, potentially improving trade pricing.

2.

Advantages of DMA

: Traders can place orders at better prices, effectively becoming market makers and seizing advantageous trading

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opportunities.

Conclusion

Exploring Level 2 and DMA tools can significantly enhance trading strategies and market understanding. Engaging with these tools in practical settings, such as seminars, is highly recommended for effective learning.

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Chapter 26 Summary : 23. Charts and How I Use Them

Charts and Their Use

I am not a chartist, but I see value in charts as a supplementary tool rather than a primary focus. Charts provide a visual history of share prices and important trends but should not be the sole basis for trading decisions. Many chartists rely solely on technical analysis without considering company fundamentals, which I believe is misplaced.

Importance of Charts

Charts can reveal crucial information about price history, breakouts, support, and resistance. While I tend to focus on fundamentals, I utilize charts to identify price ranges and trends.

Playing the Range

Charts help identify shares trading within a certain range,

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allowing investors to buy low and sell high. Breakouts, where a share moves beyond its typical range, are especially valuable indicators of potential gains.

Resistance and Support

Understanding resistance and support levels aids in strategic buying and selling. A share might find resistance at certain price points and support at others, which can guide stop-loss orders.

Trend Spotting

Longer-term charts often yield more reliable trends. I prefer shares exhibiting a consistent upward trend and avoid those in a downward trajectory, as past performance can indicate future behavior.

Chart Patterns

Common chart patterns, while less prioritized by me, can provide insight:

-

Head and Shoulders:

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Indicates a potential decline after a peak.

-

Double Top:

Signals exhaustion at a price point before a drop.

-

Double Bottom:

Suggests bullish potential after finding support.

-

Cup and Handle:

Represents a bullish pattern indicating potential rise.

-

Round Bottom:

Shows stabilization followed by an upward trend.

-

Triple Top:

Forecasts a drop after hitting a price level thrice.

While these patterns may have merit, I stress that they should be part of a broader analysis rather than relied upon exclusively.

Conclusion

Charts serve as useful tools to enhance trading strategies, but caution against over-reliance is advised. For those interested

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in deeper exploration, "The Investor’s Guide to Charting" by Alistair Blair is recommended for comprehensive understanding.

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Chapter 27 Summary : 24. Buybacks, AGMs and Perks

Buybacks, AGMs and Perks

Share Buybacks

Companies sometimes announce plans to buy back their shares, often because they believe the market undervalues them. While a buyback can provide some support for the share price, the author expresses skepticism about their effectiveness in driving significant price increases. Instead, buybacks may act as a safety net for those seeking steady income, but long-term investors should consider selling if they don’t believe in the company's underlying value.

Shareholders’ Meetings/AGMs/Presentations

As a shareholder, attending annual general meetings (AGMs) can be beneficial, even if they are usually unexciting. Some companies offer open days for shareholders, providing

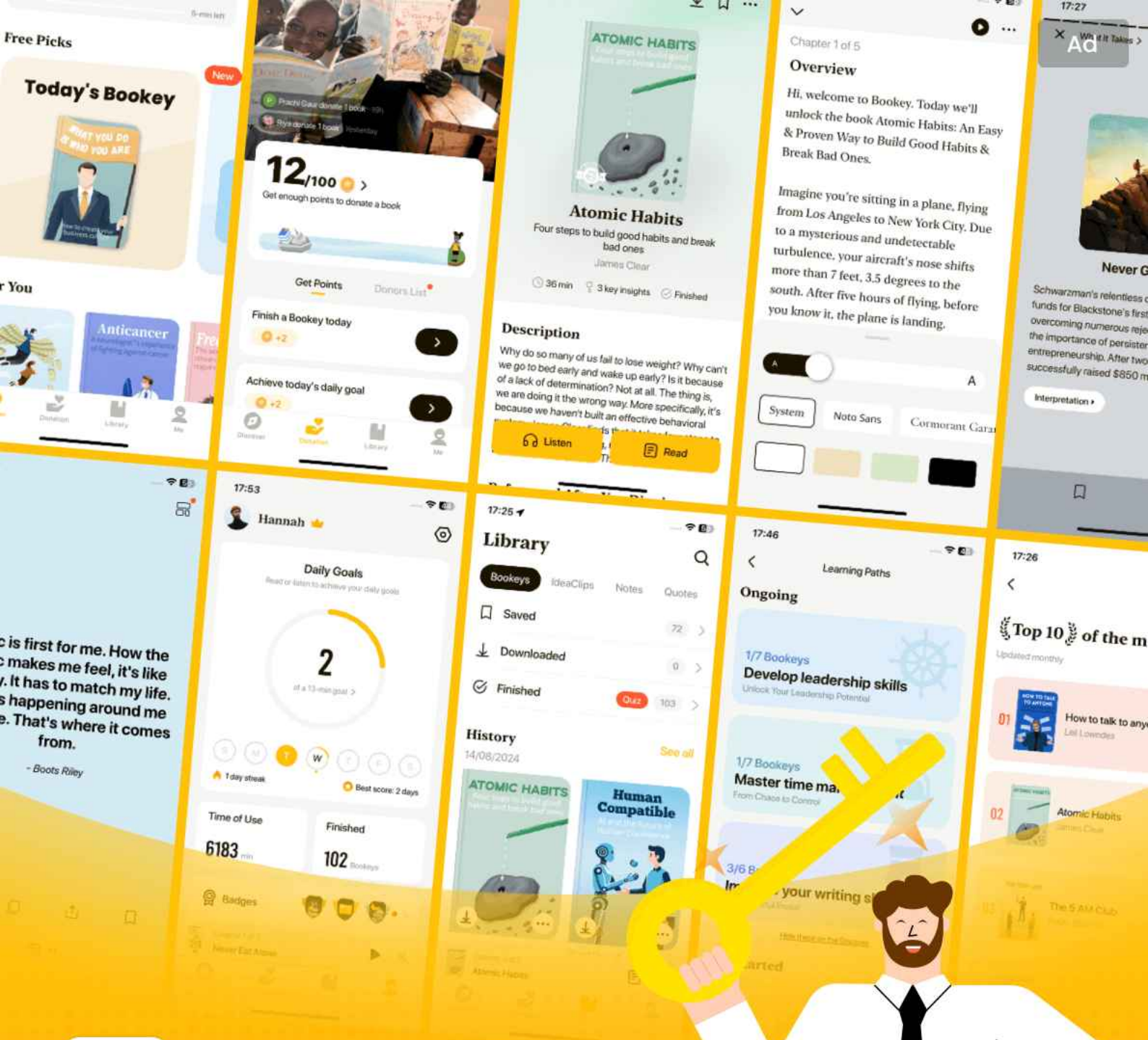
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insight into operations. The author encourages attending presentations organized by platforms like Proactive Investors, where company executives discuss their business and answer questions. Engaging with management can yield valuable information, and while the author humorously mentions unconventional methods for assessing companies (such as evaluating executives' shoes), the overall experience of direct interaction with company leaders is recommended.

Share Perks

Articles discussing share perks often lack depth, as they tend to recycle easy content. Perks, which are privileges offered to shareholders, can include discounts or benefits but should not be the main reason to invest. The author notes that while perks can be enjoyable, such as discounts from hotel chains or significant savings on utility bills, investors should focus on the potential for profit when buying shares and not let perks skew their investment decisions.

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Chapter 28 Summary : 25. Your Pension

Pension SIPPs: Taking Control

Introduction to SIPPs

- Self-invested personal pensions (SIPPs) offer you the autonomy to manage your own pension fund, potentially outperforming traditional fund managers.
- The author shares personal success in transitioning to a SIPP, growing funds significantly.

Setting Up a SIPP

-
Ease of Setup
: The process of setting up a SIPP has improved dramatically, with many steps now available online.
-
Requirements
: You need an execution-only stockbroker and a pension trustee, with the trustee securing your funds for a fee (around

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£150/year).
-
Contribution Limits
: The maximum contribution per year is linked to your salary (up to £40,000), with a lifetime limit of £1.25 million.

Transferring Frozen Schemes

- Transferring funds from frozen pension schemes can be cumbersome but is manageable with persistence.
- Final salary schemes are more difficult to transfer due to their perceived value, which must be carefully evaluated.

Trading within a SIPP

- Trading parallels that of regular accounts; however, access to funds is restricted until later in life.
- Focus on long-term, stable investments rather than high-risk short-term plays.
- Gradual growth (10-20% annually) is favored for sustained fund health.
- Some options for shorting stocks are available, such as ETFs and covered warrants.

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Conclusion

- Managing your own SIPP can be rewarding; it allows for nimble trading and personalized strategies.
- Caution is advised, as this fund may be crucial for future financial needs.

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Critical Thinking

Key Point:The importance of autonomy in pension management.

Critical Interpretation:While the author extols the benefits of managing a SIPP, readers should note that self-management requires a significant commitment of time and expertise. Without sufficient knowledge, investors may make ill-informed decisions, potentially undermining their long-term financial goals. As highlighted by sources like the Financial Conduct Authority (FCA), many individuals lack the necessary skills to effectively manage their investments, suggesting that a cautious approach—coupled with professional advice—may often be more prudent than self-directed strategies.

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Chapter 29 Summary : 26. Traders' Tales

Traders' Tales

Real-Life Experiences in Trading

This section shares true stories from various traders who experienced significant challenges while trading, illustrating valuable lessons for newcomers to the market. Each tale highlights common pitfalls and the importance of sound trading strategies.

Stop Panicking, Corporal Jones!

-

Thomas's Tale:
After losing money by panicking and selling shares too soon, Thomas learned the importance of setting a stop loss. His initial mistakes helped him become a more sensible investor.

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Range Out of Control

-

Harry’s Tale:
Harry clings to a failing investment in Range Resources, demonstrating confirmation bias and the consequences of not setting a stop loss. His story serves as a caution against holding onto losing stocks.

Lost a Heap on Pennies

-

Eliza’s Tale:
After accumulating losses from penny shares, Eliza realizes the importance of sticking to reputable stocks. Her experience underscores the risks associated with low-value shares.

Never Trust Tipsters

-

Norm’s Tale:
Norm reflects on heavy losses due to trusting tipsters and

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impulsive trades driven by external influences. His realization of the need for thorough research is a vital lesson for traders.

Played with Money I Didn’t Have

-

Aidan’s Tale:

Aidan warns against investing money that one cannot afford to lose, stressing the importance of setting sell limits to avoid significant losses.

Spent Loads on Tuition and Still Losing

-

Kayley’s Tale:

Despite extensive spending on trading education, Kayley struggles to find success due to overcomplication and confusion in strategies. Simplicity is suggested as key for effective trading.

Over-Trading Like Crazy

-

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Edward’s Tale:

Edward shares his experience of over-trading, resulting in losses that could have been mitigated with stricter stop-loss policies, highlighting that less frequent trading can yield better results.

Buying a Big Faller That Fell More

-

Dom’s Tale:

Dom illustrates the dangers of buying shares after significant drops without a concrete stop loss. His story emphasizes the necessity of setting robust financial limits.

Conned Out of Thousands

-

Tim’s Tale:

Tim warns about pitfalls in trading systems and scams, encouraging skepticism towards cold calls and promotional offers that seem too good to be true.

Spread Betting Losses

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-

Rebecca’s Tale:

Rebecca discusses the severe risks of spread betting, particularly the impact of large bets and the necessity of using guaranteed stops when trading.

A Terrible Time with Brent Crude

-

Andy’s Tale:

Andy’s experience shows the volatility of commodities trading and reinforces the importance of placing stops and treating each trade with caution.

Don’t Trust the Boards

-

Delia’s Tale:

Delia advises against relying on bulletin boards for trading decisions to avoid conning opportunities that can lead to significant financial losses.

Drugs Disaster

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-

Emma’s Tale:

Emma reflects on the risks associated with biopharma stocks, where assumptions about success can lead to major financial losses.

I Nearly Lost Everything

-

Robin’s Tale:

Robin's journey through high-risk trading illustrates the dangers of over-leverage and the importance of understanding trading instruments. Despite his eventual recovery, the cautionary tale serves as a critical reminder of managing risk.

Overall, these tales reflect the diverse challenges faced by traders and the fundamental principles of trading that can help mitigate risks while navigating financial markets. Each story offers insightful lessons on the importance of strategy, research, emotional control, and risk management.

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Critical Thinking

Key Point:Avoiding Emotional Trading Decisions

Critical Interpretation:The chapter highlights how emotional reactions such as panic can lead to significant trading mistakes; however, one must consider that individual experiences may not universally apply. Emotional trading is often cited as a primary cause of losses in various studies, which supports the caution urged in these narratives (see Gintschel & Moore, 2009). However, each trader's journey is unique, and what works for one may not for another; thus, it's important to critically assess these lessons rather than blindly following them.

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Chapter 30 Summary : 27. The Naked Trader Rules

Rule Number	Rule
1	Invest Wisely: Only use money you can afford to lose.
2	Research Thoroughly: Understand a company fully before investing.
3	Patience is Key: Avoid rushing and chasing share prices; more opportunities will arise.
4	Skepticism Pays Off: Be cautious of systems that promise easy riches.
5	Independent Judgment: Don’t rely on hearsay or bulletin board advice for investment decisions.
6	Loss Management: Cut losses quickly, but let winning shares run.
7	Market Tactics: Don't panic sell during brief downturns; market makers might manipulate prices.
8	Director Actions: Be cautious; directors can make poor investment decisions.
9	Market Size Awareness: Check the exchange market size for small shares to assess liquidity.
10	Strategic Buying: Avoid buying shares after significant drops; look for upward trends.
11	Profit Warnings: Be wary of investing post-profit warnings; these often come in waves.
12	Spread Sensibility: Monitor price spreads; a spread over 5% can indicate high risk.
13	Timing Matters: Be cautious of early morning trades due to wider spreads.
14	Indirect Investments: Resist the temptation to trade indices like the FTSE 100 or Dow.
15	Sector Sensitivity: Approach mining and oil stocks with caution due to volatility.
16	Financial Health: Avoid investing in companies reporting losses without a clear path to profitability.
17	Risk Management: Utilize stop losses appropriately to protect investments.
18	Planning: Have clear exit strategies for each share.
19	Diversification of Knowledge: Don’t engage in trades you don’t fully understand.
20	Margin Caution: Be wary of trading on margin; know your potential losses.
21	Trade Management: Limit open positions to a manageable number (8-10).
22	Maintain Composure: Stay grounded during winning streaks; avoid overconfidence.
23	Short Selling: Explore shorting stocks, but only if you’re experienced.
24	Diverse Strategies: Don’t depend solely on one stock-picking method.
25	Control Investments: Keep calm and manage investments without losing control.
26	Stay Informed: Regularly check ex-dividend dates and their impact on share prices.
27	Comparative Broking: Open multiple accounts for better service and options comparison.

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Rule Number	Rule
28	Chart Usage: Use charts alongside other resources for informed trading decisions.
29	Stay Updated: Read the financial press, discerning the quality of information.
30	Panic Avoidance: Remember "Don't panic!" as a guiding principle.

Summary of Chapter 30: The Naked Trader Rules

This chapter presents essential trading rules compiled by Robbie Burns, emphasizing a balance between guidance and independent decision-making. The rules are timeless and meant to serve as a comprehensive summary of smart trading practices.

Key Rules for Successful Trading

1.
Invest Wisely:
Only use money you can afford to lose.
2.
Research Thoroughly:
Understand a company fully before investing.
3.
Patience is Key:
Avoid rushing and chasing share prices; more opportunities

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will arise.

4.

Skepticism Pays Off:

Be cautious of systems that promise easy riches — if it sounds too good to be true, it likely is.

5.

Independent Judgment:

Don’t rely on hearsay or bulletin board advice for investment decisions.

6.

Loss Management:

Cut losses quickly, but don’t be hasty in taking profits; let winning shares run.

7.

Market Tactics:

Don't panic sell during brief downturns; market makers might be manipulating prices.

8.

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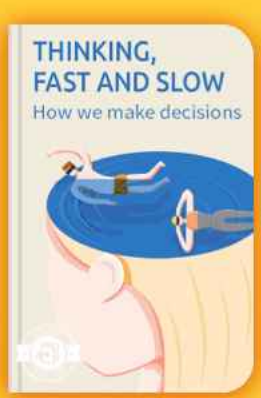
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ness Strategy | Creativity | Public | Money & Investing | Know Yourself | Positive P

Entrepreneurship | World History | Parent-Child Communication | Self-care | Mind & Spi

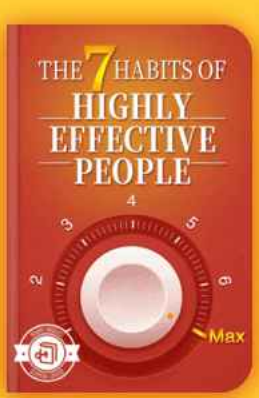
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Chapter 31 Summary : 28. Trading FAQs

Trading FAQs

This section compiles frequently asked questions from readers regarding trading strategies, market insights, and personal trading experiences, along with concise answers.

General Trading Strategies

-
Shorting Shares on Ex-Dividend Day
: Not a valid strategy as pricing adjustments are already factored in by spread firms and CFDs.
-
Getting a Trading Job
: The author has no contacts or experience in the City to assist.
-
Individual Share Opinions
: Due to regulatory concerns, discussing specific shares is not

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possible.

Financial Data and Tools

-
Using ADVFN for Financials
: Avoid relying solely on ADVFN for current financial data; check official company statements.
-
Traffic Lights System
: Ensure proper setup on ADVFN; it doesn't work on downloaded reports.

Market Predictions

-
Market Directions
: The author doesn't predict market movements but emphasizes following trends rather than guessing.

Stop Losses and Trading Decisions

-

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Holding Below Stop Loss
: The author uses manual assessments instead of automatic stops.
-
Help for Losing Money
: No specific guidance can be offered; self-education and strategy revisions are advised.

Trade Record Discrepancies

-
Profit Totals vs. Trade History
: Website totals date back to 2000, while trade history is limited to the last three years.

Miscellaneous Inquiries

-
Spreadsheets and Trade Ideas
: The author does not engage with user-created spreadsheets or peculiar trading theories.
-
Currency and Metal Trading
: Not involved in these markets.

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Portfolio Management for Beginners

-

Small Trading Amounts

: A minimum of £3,000 is recommended for a balanced portfolio to absorb risk.

-

Understanding ISAs

: Profits from ISAs are tax-free, and numerous trades can be made within the annual cash contribution limits.

Professional Help and Internships

-

Intern Opportunities

: The author humorously declines help requests but suggests contacting brokerage firms.

Handling Market Changes

-

Short Bet on a Company Going Bust

: Typically, payouts occur, but there may be temporary

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suspensions.

-

Share Bids

: Prices usually adjust near bid levels; however, risks exist if bids do not go through.

Identifying New Issues

-

Finding New Issues

: Monitoring morning news reports is the best strategy for discovering new listings.

Selling Signals

-

Deciding to Sell

: Factors include profit targets, chart analysis, and market behavior.

International Trading

-

Trading Non-UK Shares

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: The author focuses exclusively on UK shares for personal preference and familiarity.

Social Media Presence

-

Social Media Accounts

: The author does not maintain a social media presence and warns against impersonators.

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Chapter 32 Summary : 29. Useful Information Sources

Useful Information Sources

Websites for Financial Information

There are many reliable financial websites available today, largely due to the decline of less credible sites from the dot-com boom. Most reputable sites offer a mix of free information and premium content, with costs typically around £40-£50 per month for services like real-time share prices. Beginners can start with free resources, while more experienced traders may opt for paid access.

-

ADVFN

: Highly recommended for live prices and research tools. Offers a premium deal and includes access to community forums.

-

Digital Look

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: Good for company reports and ex-dividend dates.

-

MoneyAM

: Alternative to ADVFN with real-time prices but fewer bulletin board contributors.

-

Morningstar

: Contains valuable research materials and a bulletin board.

-

Motley Fool

: Offers serious investment articles despite its playful name.

-

Naked Trader

: The author’s own website, providing useful insights.

-

Proactive Investors

: Free site with researched articles on lesser-known companies and events.

Recommended Reading for Traders

Reading is essential for stock market success. The author recommends the following books, which are valuable for both beginners and experienced traders:

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1.

The Disciplined Trader by Mark Douglas

: Focuses on trading psychology and profitable practices.

2.

Your Money and Your Brain by Jason Zweig

: Discusses how psychology influences trading decisions.

3.

The Naked Trader's Guide to Spread Betting by Robbie Burns

: In-depth exploration of spread betting techniques.

4.

High-Probability Trading by Marcel Link

: Offers common-sense strategies for trading success.

5.

Financial Times Guide to Selecting Shares That Perform by Richard Koch & Leo Gough

: Strategies for beating the market.

6.

Come into My Trading Room by Alexander Elder

: Explores trading pitfalls and market psychology.

7.

Investment Madness by John R. Nofsinger

: Examines how psychology affects investing behavior.

8.

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Investor’s Guide to Charting by Alistair Blair

: Simplifies chart analysis for stock selection.

9.

The Investor’s Toolbox by Peter Temple

: Covers various investment tools and strategies.

10.

The Harriman Book of Investing Rules

: Compilation of wisdom from seasoned investors.

11.

The Investor’s Guide To Understanding Accounts by Robert Leach

: Teaches how to analyze company accounts effectively.

These books offer insights that can significantly enhance trading skills and market understanding.

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Chapter 33 Summary : 30. The Naked Trader

The Naked Trader Quiz

A fun quiz to assess your skills as a potential investor, encouraging honesty and self-reflection in investment practices.

Quiz Questions

1. Best chart breakout?
   - Options range from consistency to support and resistance.
2. Term for being blindly positive about a share?
   - Choices include confirmation bias and being overly biased.
3. Response to a call about a cheap share?
   - Options range from hanging up to impulsively investing.
4. Best shares for long-term gains?
   - Choices range from dividend raisers to companies with rising profits.
5. Researching a share should be done from which

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perspective?
- Options include various fictional characters.
6. Best way to test demand for a share?
- Options include using Level 2 and assessing buying capabilities.
7. Best way to make money in stocks?
- Options discuss various trading methods and risk levels.
8. Response to a tip on a 'rocket' share?
- Choices encourage research or impulsive investment.
9. Ensuring no more than 20% loss on a trade?
- Options include stop losses and constant monitoring.
10. Making money in a down market?
- Options include financial instruments like CFDs.
11. Opinion on the writer of "The Naked Trader"?
- Options range from appreciation to ridicule.

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Chapter 34 Summary : 31. Finally …

Chapter Summary: The Tipping Point in Trading

The Tipping Point Concept

The chapter discusses the notion of a "tipping point" in trading, where an investor transitions from rational behavior to irrational, risky trading. This tipping point may be triggered by a series of unfortunate trades or emotional responses, leading to significant financial losses.

Examples of Tipping Points

1.
Single Stock Impact
: A strong trader may falter after a disappointing stock performance, prompting emotional decisions like increasing stakes or making spread bets.
2.
Psychological Strain
: Traders may experience stress from small losses and, in an

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attempt to recover profits, start over-trading or making impulsive decisions.

Recognizing and Responding to Tipping Points

- Symptoms include feeling out of control, over-trading, and emotional distress.
- Solutions involve cutting stakes dramatically or completely exiting the investment.

Final Thoughts on Analysis in Trading

The author reflects on a conversation with an accountant who overanalyzes investments, resulting in missed opportunities. The key takeaway is to avoid excessive analysis; simple trading strategies may yield better results.

Reader Reflection

An anecdote about a reader drawn to a high-risk investment demonstrates the tendencies of traders to ignore fundamental rules in favor of gut instincts, highlighting the importance of sticking to sound trading principles.

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Conclusion

The author encourages readers to enjoy the trading journey and remain patient, emphasizing long-term success rather than quick profits.

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Chapter 35 Summary : Cheers!

Summary of Chapter 35 - The Naked Trader

Acknowledgment from Harriman House

The team thanks readers for engaging with "The Naked Trader" and welcomes feedback through reviews or direct communication.

Related Recommendations

1.
The Naked Trader’s Guide to Spread Betting
- A detailed exploration of the spread betting world.

2.
Free Capital by Guy Thomas
- Insights from successful private investors who achieved considerable wealth through stock market investing, emphasizing practical investment strategies.

Harriman House Resources

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Readers are encouraged to explore more investment literature, download free eBooks, and sign up for newsletters at the Harriman House website.

Table of Contents Overview

The chapter provides a comprehensive rundown of the book's structure, covering topics from market psychology, trading strategies, and portfolio management to common mistakes and advanced trading concepts.

Closing Remarks

Appreciation is reiterated for the readers' commitment to learning about trading, with an invitation to further engage with additional resources offered by Harriman House.

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Chapter 1 | Quotes From Pages 17-20

1. If I did it, maybe you can too!
2. It takes plenty of hard work to get there! But it’s a lot of fun.
3. .... I speak plain English, not the financial gobbledegook others hide behind.
4. I think that should also make it equally interesting to the more experienced investor, who perhaps wants to try out some new ideas.

Chapter 2 | Quotes From Pages 24-26

1. Markets change and move fast.
2. I’ve passed the £2 million profit mark for the first time.
3. I’ve been able to refine a number of new techniques that are definitely worth passing on.
4. If you are an improver and already know how to buy and sell shares you are allowed to skip the first few bits!

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5.This is still the one book you need to get started in trading, as well as a source of seriously decent strategies for making that trading worthwhile.

Chapter 3 | Quotes From Pages 28-30

1. ‘This is not a get-rich-quick book (sorry!)’
2. ‘Stock market investment is easier than you think.’
3. ‘You've always known in your heart of hearts that when something sounds too good to be true – it is!’
4. ‘Using discipline, good stock-picking techniques and avoiding the mistakes new investors nearly always make, I believe I can make you richer.’

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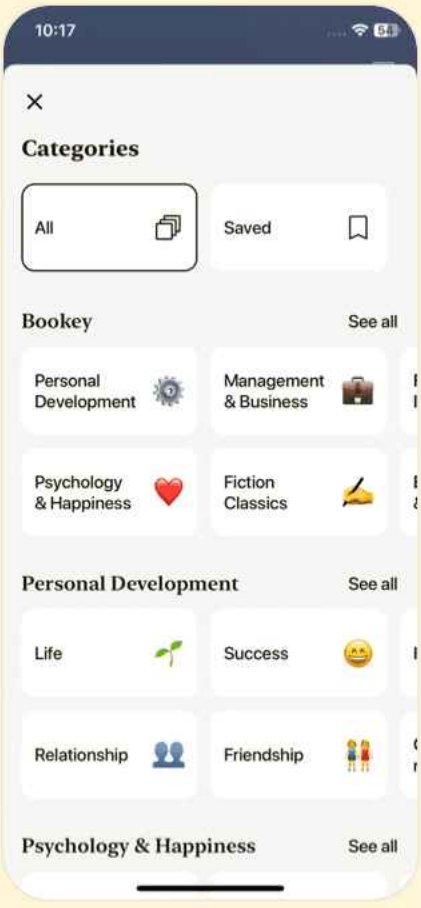
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Chapter 4 | Quotes From Pages 35-47

1. Is this how I want to spend my life?
2. I knew what I wanted: freedom! I quit the rat race in 2001 and have never looked back.
3. While I worked for BSkyB, I also worked for myself.
4. Happiness is … residual income.
5. My wealth continues to build in the markets over time.
6. You don't need to spend 40 hours a week in front of a screen watching every move the market makes.
7. I hope The Naked Trader will put you on the first rung of the escape ladder.

Chapter 5 | Quotes From Pages 48-67

1. Sometimes people become aggressive if I try and tell them it's their fault they've been losing money rather than the market's fault – a lot of people tend to blame everyone but themselves.
2. I'd rather warn them, on the off-chance that the red mist won't descend, than send them a bland email agreeing with them just for a quiet life.

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3.The absolute worst thing to do is to make a boredom trade. A lot of people lose because they over-trade.

4.Being a stay-at-home trader gives me precious time with my son that I would never have as a full-time worker.

5.If it’s a down market and I am betting on the FTSE 100 to fall, I might quickly close that bet and take my profits if news from the US is good and likely to make the FTSE 100 pick up a bit.

Chapter 6 | Quotes From Pages 68-84

1.What do you want from your trading?

2.Make more money by not relying on the markets.

3.I reckon you’re better off waiting till you’ve built a bigger pot.

4.Realistically, I reckon full-time investors can and need to aim to be making 20–25% each year on the money they have invested.

5.The point is, shares don’t just go up – they can go down a lot too.

6.Will you feel okay about it if you end up with £5,000 after

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six months of trading?

7. Going into the markets will just be feeding your addiction – and losses on the markets can be difficult to control.

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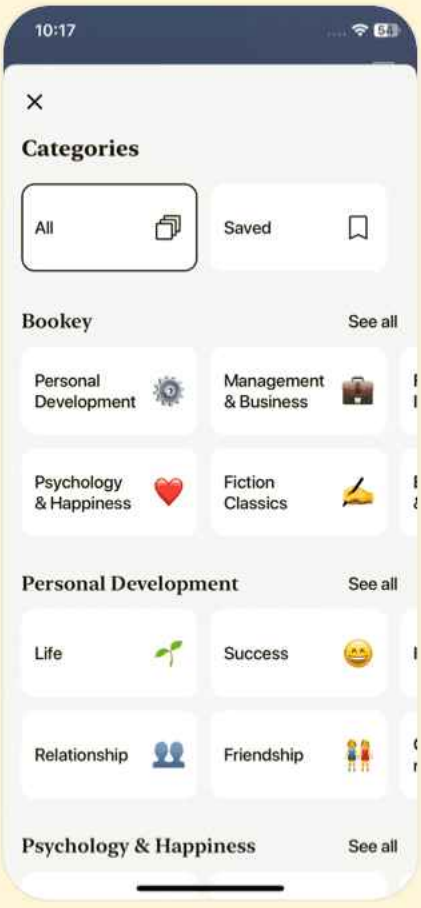
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Chapter 7 | Quotes From Pages 85-119

1. It won't take long but it's important!
2. All the new ways of trading shares can be pretty dangerous if you don't know what you're doing, so I think the best way to begin is via one or two online execution-only stockbrokers.
3. It's not that boring. In fact, it's way easier than you might think to get started as a trader or investor.
4. Don't make trading too difficult for yourself.
5. Keep a clear desk and a tidy office and your head will feel clear too.
6. Just think of Baloo the bear from The Jungle Book – it's all about the 'bear necessities'!

Chapter 8 | Quotes From Pages 120-169

1. Well, thanks a lot! I'm sitting here working hard (and definitely not watching Deal or No Deal at the same time) and all you can do is get bored.
2. Many new traders lose money in the market because they don't understand what's going on. So you've got to get

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your head around these things!

3. Remember: you're losing money as soon as you buy a share.
4. The wider the spread, the bigger the risk.
5. If you want to be a clever clogs and try to get a lower price at some point, you could put in a 'limit order' by clicking 'Limit' or 'Fill or Kill' rather than 'Market'.
6. If you are happy with a share, there is no bad news about and it still looks cheap to you – and the main market itself is not in meltdown – it's best to sit tight and ride out a fall.

Chapter 9 | Quotes From Pages 172-189

1. The mind truly is the most powerful muscle. Unfortunately, for traders this is a blessing and a curse.
2. Greed is the downfall of many a trader.
3. Fear is a huge enemy for traders.
4. You cannot be lazy in trading.
5. If you can recognize your defects (I have many, I promise) then you can avoid them bringing you down.

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6.Don’t panic. Think about why you are panicking, calm down and think carefully about your best plan of action.

7.Think like Spock would. Not like Corporal Jones.

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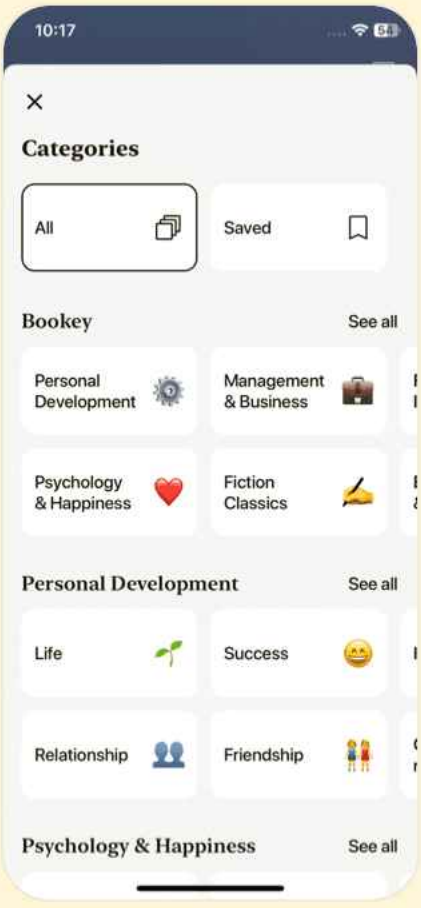
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Chapter 10 | Quotes From Pages 190-206

1. There is something called confirmation bias, where once you have an idea in your head it's hard not to look out for things that confirm it – whether it's that you believe someone doesn't like you or that you have a gambling system. It's a very human urge.
2. Make money by making losses! You heard what I said. Don't pretend you didn't. Before you start trading, I want you to bear this in mind – taking lots of losses will make you a lot of money.
3. It's all about getting rid of losses while they're little, and holding onto profits while they grow.
4. Some traders find taking losses next to impossible. So you have to steel yourself into thinking that taking a loss is a good thing.
5. If you can conquer those when you're trading, you'll be a winner. You need strength and courage to sell those losers and hold onto the winners.

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Chapter 11 | Quotes From Pages 209-233

1. If it seems too good to be true – it is.
2. Hanging up straightaway only delays the inevitable repeat call.
3. Hopefully after reading this book you'll be safe … but just remember, all the great big silly mug punters started out like everyone else!
4. You are unlikely to get rich quick and are more likely to become considerably poorer.
5. The one thing that you can be sure of in the markets is: if it seems too good to be true – it's sodding well is!

Chapter 12 | Quotes From Pages 234-242

1. 'Treat bulletin boards as light entertainment!'
2. 'Some bulletin boards are good, some not so good, and others a complete waste of time.'
3. 'You can still get done for libel and if you deliberately post misinformation you can get hauled into court.'
4. 'The best sign is a reasoned, quiet but informed thread. It means the share concerned is actually more likely to be a

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winner.'

5.'Remember you are just using the BB to put in place another piece of the jigsaw.'

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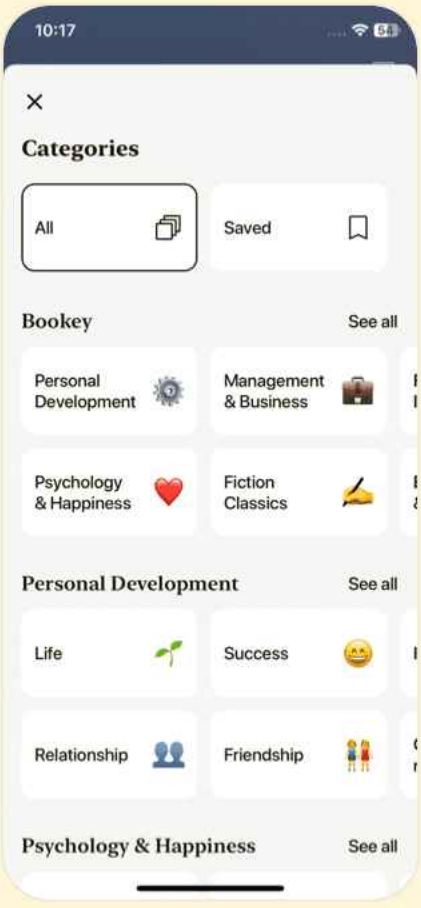
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Chapter 13 | Quotes From Pages 245-264

1. I am looking for shares where something seems to be happening. And preferably the shares are rising already.
2. I'm not here to pitch for ADVFN, and we've already covered tons of ways of finding shares for free.
3. Tipped shares will often increase in price before the market opens, and it's important to know why they rose.
4. I especially like the round-up both mags do of recent company results statements. It's interesting to read their comments; they get some right and some wrong.
5. To find out why a share is soaring or plunging down, there may be a '1' or '2' by the share in the list's news column that you can click on to get a reasonable idea.
6. I do my usual initial screening process at this stage. I tend to favour shares that have a market cap of between £50m and £900m because they have a lot more room for growth.
7. The real work begins: it is then time to do the research to check it's dependable.

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8.In the end it doesn’t matter much and I guess there is a little bit of luck involved – all these are just nice ways of finding potential goodies.

Chapter 14 | Quotes From Pages 265-307

1. ‘The lazier you are about research, the less money you’ll make.’
2. ‘I want the whole story about a share. I want it and I want it now!’
3. ‘Keep it simple.’
4. ‘Simplicity is best.’
5. ‘If I find myself frowning a lot when I’m doing my research this is not a good sign.’
6. ‘You should never slavishly follow a deal. There is no substitute for doing your own research into a company.’
7. ‘Don’t be a lazy so-and-so and just expect a writer or journalist or tipster to have got it right.’
8. ‘I want to share with you some of the questions that I try and answer in my research.’
9. ‘The key measurement is always: how many shares they

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are buying/selling compared with how many they own.'

10.'It's what the market thinks the company is worth.'

Chapter 15 | Quotes From Pages 308-332

1. You need a stop-loss. Maybe you even need to think about getting out quick if it starts to go down before it hits your stop – because stops aren't guaranteed, and in a crisis can be worthless.
2. Putting a plan together is actually quite simple. Most people who don't bother with it are just avoiding it because they know deep down their trade is nothing more than a gamble.
3. A key part of any trade plan is the stop loss, just as no office building is complete without an emergency exit.
4. The best way to put together a good trade plan is just to ask the following questions before you buy any share.
5. Let's just go along for part of the ride and if we get one wrong put it down to experience.

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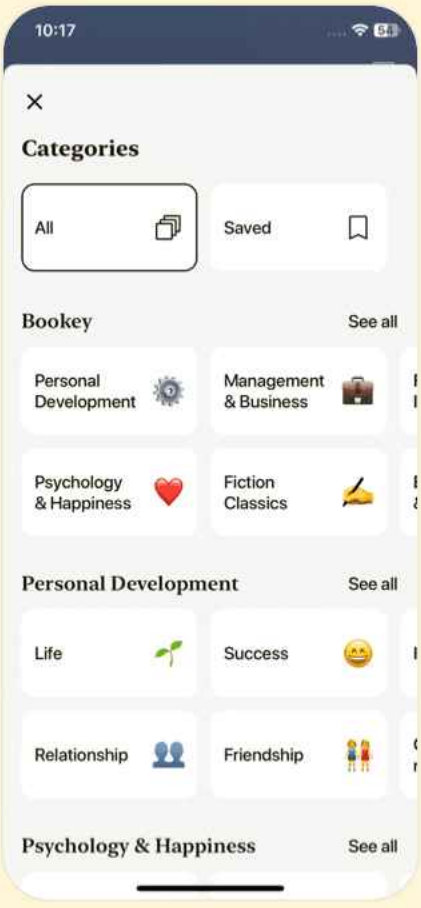
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Chapter 16 | Quotes From Pages 333-339

1. April...the market's typically stronger in April than any other month – on the basis of its performance in the last few decades, the probability of the market rising in April is 78%.
2. The market's only had one significant fall in December since 1981.
3. Not as bad as you think. A couple of famous nasty crashes have happened in October, particularly the one in 1987. Stripping out a couple of bad years, October is actually pretty decent and it's often a good time to buy.
4. Keeping an eye on news that's related to your stocks...it's worth keeping an eye on news that's related to your stocks.
5. I find December is also a good time to have a look at some of the smaller, tiddler stocks in the market and sometimes have a bit of a gamble on a few stocking-filler shares. But only a little gamble, mind. Let's not be idiots.

Chapter 17 | Quotes From Pages 340-415

1. These are all tried-and-tested strategies of mine

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for making money out of the stock market.

2.Look for good news. Cherish phrases like ‘ahead of’ or ‘better than’.

3.If you can find a hot sector, it can stay hot for quite a long time.

4.Look for companies with new profit streams or new contracts. Look for the word ‘transformational’.

5.The trick if you do find yourself being right with the next big thing, is to keep on adding shares as it goes up.

6.Think about your sector and the expert info you have on it. Talk to peers and get their views.

Chapter 18 | Quotes From Pages 416-435

1. You are buying a story as well as a company.

2.Buying into new issues... just takes a bit of determination.

3.If you get it wrong, get out quick!

4.A decent recurring revenue and the ability to rent or sell quite a few products is a good start... but I’m not sure it’s enough.

5.I completely turned around and shorted it at 1500.

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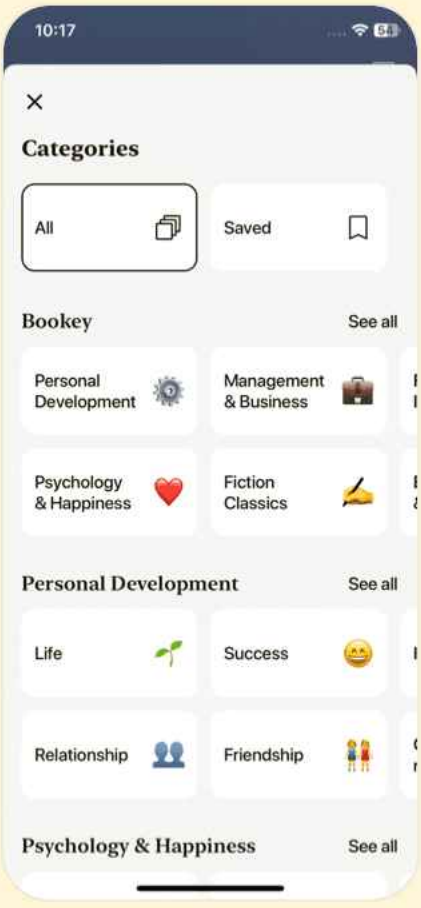
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Chapter 19 | Quotes From Pages 436-450

1. Building a portfolio gently is, in my opinion, absolutely crucial to making money out of the markets in a way that won't sooner or later implode.
2. Yep, I really do think that the less you trade the more you will make. It's worked for me.
3. The gambling mindset... A market gambler is itching to trade and press that exciting deal button almost for the sake of it.
4. Successful traders... aren't afraid of not doing anything!
5. Every time you exit or enter a trade it costs money... your initial aim should be to hold it for a bit.
6. I suppose what I am saying is that once you get a good one, stick with it.

Chapter 20 | Quotes From Pages 451-485

1. The secret is to learn from mistakes. Some do, some don't.
2. Don't believe crazy claims made by people you don't

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know!

3.Set sensible stops a reasonable distance away.

4.Averaging down usually means... 'I’m buying more of the crap share that I originally bought at a much higher price.'

5.Trends stay in place longer than you think and they often go against all reason and logic.

6.If you have anything in your portfolio down by over 10%, take a good look at it, and unless you really have a reason why it might come back up it’s usually best to bail.

7.You have to learn to ditch the losers early. And the best way is by setting that stop loss discussed earlier.

Chapter 21 | Quotes From Pages 486-507

1. ‘The stock market is a [naughty word. – Ed.] and I’m selling up and not coming back. I’m off into premium bonds and lottery tickets.’

2. ‘Well, okay, that’s fine! Let’s say the FTSE carried on going up. I would have lost a few quid on the SUK2, but my shares would have probably gone up.’

3. ‘Buy when everyone is selling. Sell when everyone is

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buying.’

4.‘If you are a real scaredy cat then is trading really for you?’

5.‘Consider what sort of downturn you are in.’

6.‘A ‘black swan’ event is not when your wife suggests renting a Natalie Portman film.’

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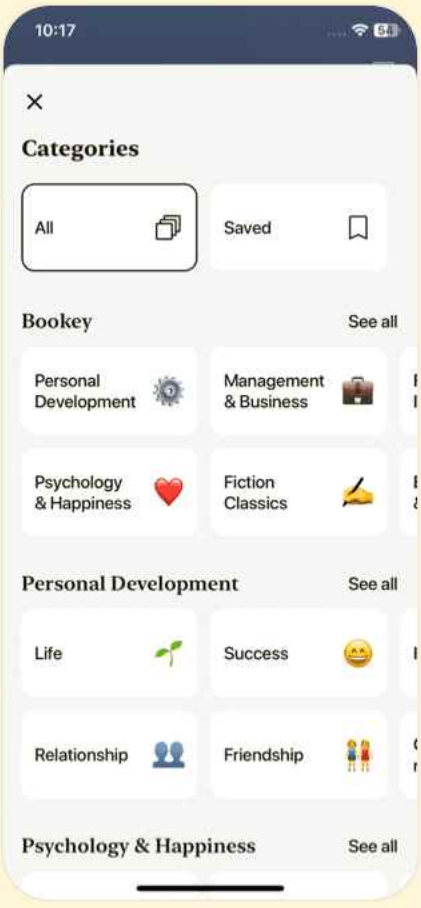
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Chapter 22 | Quotes From Pages 510-558

1. You never own any shares – you're simply betting on a price to go up or down, and you win or lose depending on what the market actually does.
2. The major lesson I've learned with spread betting is: keep an open mind and change strategies as the market changes.
3. Always check your spread account. Think about a few worst-case scenarios and check carefully that you are not overdoing it.
4. Remember, you do not have to pay commission when spread betting and you don't pay the dreaded stamp duty and you don't have to pay capital gains tax on any winnings.

Chapter 23 | Quotes From Pages 559-573

1. If you want to know how to place DMA orders, I can show you live at a seminar.
2. Start with one or two small trades until you are certain you know what you are doing.
3. Investment trusts are funds that buy shares in other

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companies. You invest in them just like normal shares – there's a buying and a selling price for each.

4. Research them as carefully as ordinary shares. Check the net asset value. Find out the top holdings and research them.
5. Investment trusts rise and fall in line with their net asset value (NAV).

Chapter 24 | Quotes From Pages 574-584

1. Markets can remain irrational longer than you can remain solvent.
2. If you see them starting to rise after you have obtained a good profit, it might be time to take your profits.
3. Don't go against the trend and short a share because it's already gone up a lot.
4. My ideal short is on a share that is: breaking down through support in a sector that is not in favour.
5. Don't short a share because some big market guru has.

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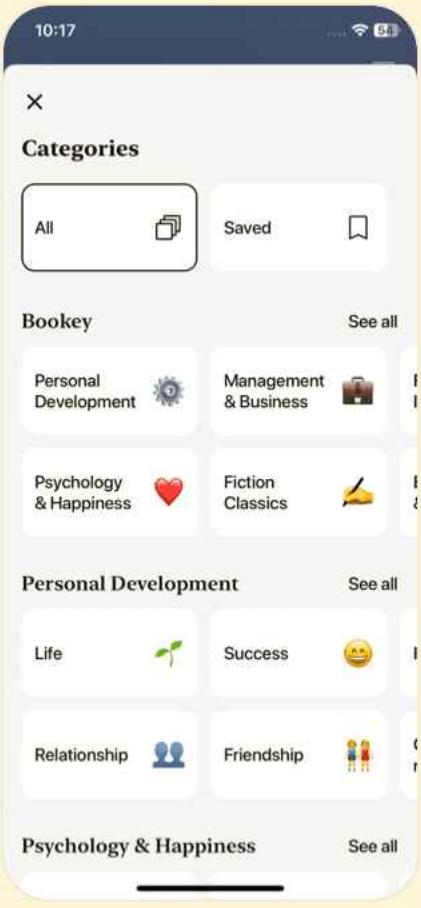
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Chapter 25 | Quotes From Pages 585-595

1. There’s no way I could trade without it (Level 2).
2. When you see a lot of market makers moving up it is a good sign.
3. If you really want to get on top of Level 2 quickly, it may be worth coming along to one of those (seminars).
4. Expect it to be a long process but one worth persevering with.
5. The best way to understand Level 2, though, is really to get it and play with it on your favourite stocks.

Chapter 26 | Quotes From Pages 596-612

1. I AM DEFINITELY not a chartist! I don’t visit charts as my first port of call. They come at the end for me, as a further aid.
2. It’s simply crazy to buy and sell shares on the basis of looking at a chart and nothing else.
3. You’ll often see bulletin board punters talking chart theory because they think it makes them look good.
4. But keeping it simple like this has worked wonders for me.

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5.Basically, they’re disaster zones!

Chapter 27 | Quotes From Pages 613-621

1. If the market is undervaluing the company then there is probably a good reason.
2. I’m not a great fan of buybacks... I would even consider selling the shares concerned, because buybacks, in my experience, don’t tend to lead to fireworks for the share price.
3. If you’ve got a long-term holding in the company it may be worth considering [attending AGMs].
4. To be able to talk to the management is a definite bonus.
5. You should buy shares to sell them at a profit: all perks do is make you hang onto a share longer than you should.
6. But never buy for the perks alone.

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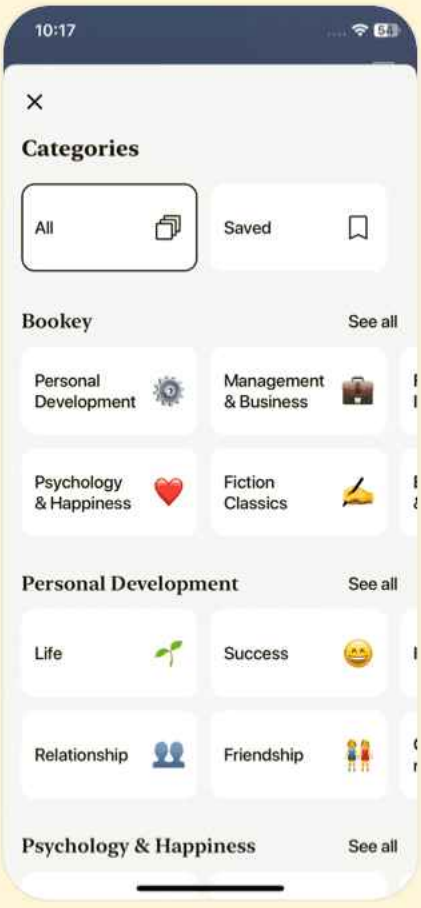
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Chapter 28 | Quotes From Pages 622-633

1. It’s a great feeling to be in charge of your own destiny.
2. You can run your own pension fund.
3. Don't go crazy – buy some decent, sensible shares with good yields.
4. Aim for growth of around 10–20% a year – the fund will soon grow nicely at this rate.
5. Just think: you can be your own fund manager!

Chapter 29 | Quotes From Pages 636-677

1. Although I lost a fair bit of money, there was a strong sense of relief once I had cut my losses.
2. The moral of the story? Set a stop, remember confirmation bias, small oil stocks can be a killer and get rid of anything losing more than 20%.
3. Stick to decent companies that make real profits you can value properly.
4. If you remember the stuff about tipsters earlier in the book, you won’t be surprised to see what happened to this trader.

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5.Don’t over-expose yourself, don’t invest money you can’t afford to lose, sell when they have lost 20% of their value – regardless of anything!

6.Never play with more money than you can completely, comfortably, safely afford to lose.

7.Good things can happen, eventually.

Chapter 30 | Quotes From Pages 678-684

1.Only play with money you can really afford to lose.

2.Be honest with yourself.

3.Don’t rush into anything or chase a share price.

4.Cut your losses fast if you’ve bought a share and it’s tanking.

5.Run your winners.

6.Never catch a falling knife.

7.Don’t buy companies that are making a loss.

8.Stay calm. Always check your ex-dividend dates.

9.Don’t rely solely on charts, but certainly use them – along with other tools – to help your trading decisions.

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10.Remember the sound advice of Corporal Jones in Dad’s Army: “Don’t panic!

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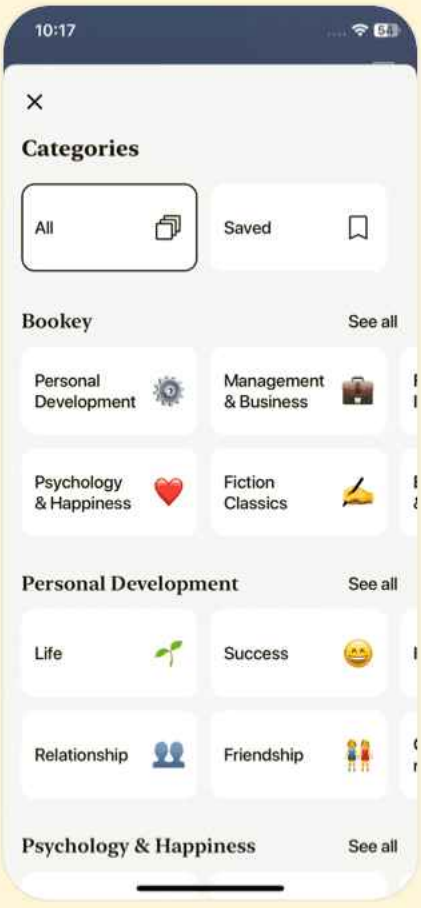
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Chapter 31 | Quotes From Pages 685-698

1. Markets overshoot and undershoot. Having a rock-solid idea of where the economy is going may not have any relevance to where markets actually go at all.
2. You must learn to take responsibility for your own trading and only you should decide when to take a profit or loss.
3. I don't want to be an 'online teacher' of any kind. So thank you to everyone who writes in wanting to direct and produce my DVDs, but it's not for me!
4. Honestly, I don't think it is enough. First of all, commissions and stamp duty will eat into any profit.
5. If you take any profits out, they are not taxed but you can't just stick them back in.
6. You bought it, you sort it!

Chapter 32 | Quotes From Pages 699-711

1. You should be reading others too. There are many trading and investing books out there and I've read a whole load of them. I've never regretted

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buying a single one because, generally, there's always a gem or two inside to think about.

2. An excellent look at good trading practices, including a look at why what's in your mind can affect your trading.
3. This book tries to teach the mindset of a successful trader – what you should think about before you reach for the buy button.
4. He's years of profitable trading show through the pages and many of his warnings regarding some of the pitfalls of trading are excellent.
5. Once you recognise them, you can learn how to stop bad sides to your character ruining your trades.

Chapter 33 | Quotes From Pages 712-739

1. You need to get right back to basics before you lose all your money!
2. If you did badly on the quiz in previous editions, I hope you do better now!
3. Take it easy.
4. I've seen Wolf of Wall Street, no thanks

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5.Boring companies with rising profits

6.Use a stop loss

7.A total idiot who is going to lose money

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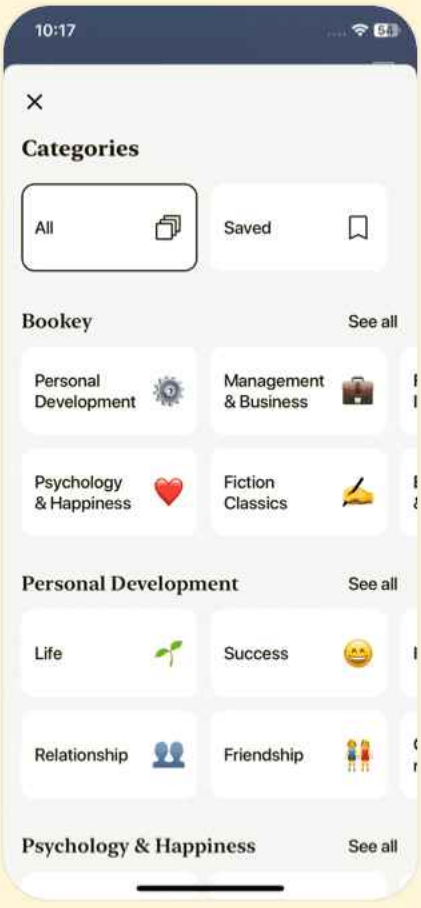
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Chapter 34 | Quotes From Pages 740-750

1. A tipping point in gambling, investing or trading circles is the point where you ‘lose it’. Instead of making money you have a mental crisis – you go bananas and start throwing money away and losing heavily.
2. You have to learn to stop before the tipping point catches you out.
3. Don’t overdo it. You don’t have to analyse everything to the nth degree.
4. So there you are, some of the major rules of the book neatly broken by someone who just read it. I guess that sums up nicely what not to do.
5. I wish you the best of luck and hope you make a fortune. Just make sure you do it over time and don’t try and make your millions in a week.

Chapter 35 | Quotes From Pages 751-761

1. If it seems too good to be true – it is
2. Fail to plan, plan to … (you know what)

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3.Buy what you know!

4.Spend some time in their company, and we’re sure you’ll leave energised and full of new and exciting ideas for your investing.

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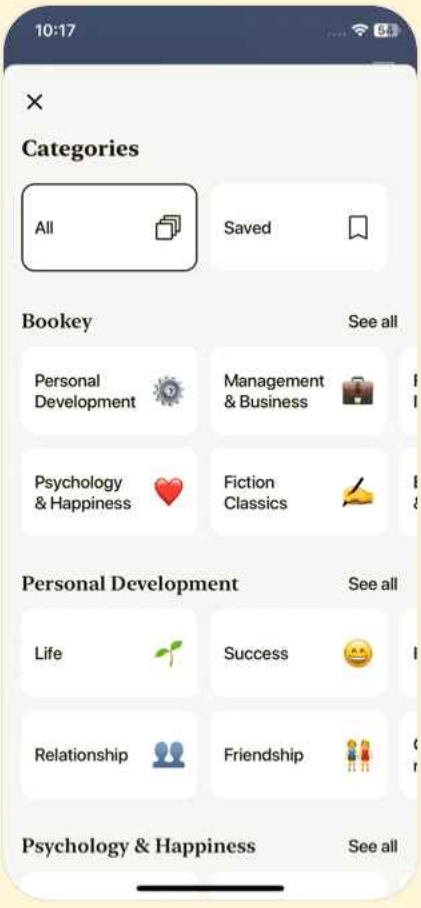
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The Naked Trader Questions

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Chapter 1 | Is this book for you?| Q&A

1.Question

Can anyone really make money from trading shares?

Answer:Yes, anyone can make money from trading shares if they are willing to put in the time and effort to learn the game. The author, Burns Robbie, emphasizes that he is not exceptionally brilliant or skilled; rather, he achieved success through discipline and hard work. His journey reflects that it is achievable for the average person.

2.Question

What mindset is important for successful trading?

Answer:A disciplined mindset is crucial for successful trading. You need to be dedicated to working hard and learning from both wins and losses. The author underscores that while trading can be exciting and rewarding, it requires a commitment to ongoing education and self-improvement.

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3.Question

What makes 'The Naked Trader' different from other trading books?

Answer:'The Naked Trader' stands out because it is written in plain English, avoiding the complex jargon often found in financial literature. The author shares personal experiences, including mistakes and successes, which makes the content relatable and accessible, particularly for beginners.

4.Question

Who is the ideal reader for 'The Naked Trader'?

Answer:This book is aimed at anyone interested in making money from trading shares, particularly beginners who need guidance on their first steps, as well as more experienced traders looking for fresh strategies and insights.

5.Question

Is it necessary to understand technical analysis for trading?

Answer:While understanding technical analysis can be beneficial, 'The Naked Trader' does not delve deeply into it. The author focuses on the broader principles of trading that

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anyone can grasp, suggesting that aspiring traders don’t have to master technical jargon to succeed.

6.Question

What does the author mean by saying trading is not dull?

Answer:The author seeks to convey that trading can be an exciting and engaging endeavor. Unlike many dry and uninteresting finance books, he aims to present trading as a lively subject filled with opportunities, thus inspiring readers to view it as a fun adventure rather than a painstaking chore.

7.Question

How can readers benefit from the author’s experiences?

Answer:Readers can learn from both the author’s successes and his failures over a 14-year period in the market. By sharing practical insights and lessons, the book allows readers to understand the realities of trading without having to face the same pitfalls or challenges firsthand.

8.Question

What is the author's advice for those who have read previous editions?

Answer:For those who have previously purchased earlier

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editions of 'The Naked Trader', the author encourages them to buy this new edition due to the substantial new content and strategies included, ensuring that even returning readers will find valuable insights and updated information.

9.Question

What does it take to be successful in trading according to 'The Naked Trader'?

Answer:Success in trading according to 'The Naked Trader' requires hard work, a willingness to learn, and a disciplined approach. It’s important to enjoy the process and be patient, as the journey involves continuous learning and adapting strategies over time.

Chapter 2 | Why a fourth edition?| Q&A

1.Question

What motivates the author to release a new edition of 'The Naked Trader'?

Answer:The author, Burns Robbie, is motivated to release a new edition because the markets change rapidly, and he has learned valuable new strategies

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and insights since the last edition in 2011. He only wants to publish new editions when he has genuinely new and valuable information to share.

2.Question

What significant change has occurred in trading AIM shares since the last edition?

Answer:AIM shares have been allowed into tax-free ISAs for the first time. This legislative change has impacted the author's trading strategy regarding these shares.

3.Question

How has the author’s trading success evolved since the last edition?

Answer:Since the last edition, the author's trades have become significantly more profitable, with profits exceeding £2 million for the first time.

4.Question

What does the author suggest about the content of the book for both new and returning readers?

Answer:The author notes that while there is valuable new content for returning readers, the first few chapters serve as a

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foundational recap that newer readers might find helpful. Experienced traders can choose to skip these initial sections.

5.Question

Why does the author believe his book is essential for someone starting in trading?

Answer:The author believes 'The Naked Trader' provides the necessary guidance for beginners in trading and includes effective strategies that can make trading worthwhile.

6.Question

What should readers take away about adapting trading strategies?

Answer:Readers should understand that adapting trading strategies is crucial as market conditions change. Continuous learning and refining techniques are necessary for increased success in trading.

7.Question

What does the author's personal trading experience contribute to this edition of the book?

Answer:The author's personal trading experience, which includes achieving over £2 million in profits and refining

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new techniques, enhances the reliability and practical value of the strategies shared in this edition.

Chapter 3 | This is not a get-rich-quick book (sorry!)| Q&A

1.Question

What is the main message about stock trading in Chapter 3?

Answer:The main message is that stock market investment is accessible and achievable for everyone, regardless of their experience. The author emphasizes a jargon-free approach, focusing on fundamental techniques and patience rather than quick riches.

2.Question

How does the author address the idea of becoming a millionaire quickly?

Answer:The author firmly states that the book does not promise quick wealth. He highlights the unrealistic nature of claims like making £400 a day, reinforcing that building wealth takes time, discipline, and realistic expectations.

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3.Question

What makes the author's advice different from that of brokers and tipsters?

Answer:The author's advice is straightforward and devoid of confusing jargon, unlike many brokers and tipsters who use complex language to appear knowledgeable and manipulate investors into making poor financial decisions.

4.Question

Why is it important not to rush wealth building according to the author?

Answer:Rushing leads to hasty decisions and mistakes. The author believes that focusing on gradual growth with discipline and careful stock selection will yield better long-term wealth accumulation than chasing unrealistic quick gains.

5.Question

What can readers expect to gain from this book?

Answer:Readers can expect to receive practical, common-sense advice on trading shares effectively, insights to avoid common pitfalls, and a plan for gradual wealth

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building through disciplined investment practices.

6.Question

How does the author illustrate the time commitment needed for stock trading success?

Answer:The author shares his personal experience of becoming a multi-millionaire, noting that it required many years of effort and countless 'nights,' highlighting that success in stock trading is a long-term endeavor.

7.Question

What attitude should new investors adopt according to the author's approach?

Answer:New investors should adopt an attitude of patience, realistic goal-setting, and a willingness to learn. They should avoid the temptation of quick wins and concentrate on cultivating their skills and understanding over time.

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Chapter 4 | 1. Escaping the Rat Race| Q&A

1.Question

What motivated you to quit your job and escape the rat race?

Answer:I realized that despite earning a decent salary, I was unhappy in a grim office environment. The thought of spending my life working for someone else with moody bosses and office politics was suffocating. I yearned for freedom and a lifestyle where I could trade and enjoy life on my own terms.

2.Question

How did developing alternate income streams contribute to your trading success?

Answer:By creating residual income streams, such as the Buffy the Vampire Slayer information line and selling mobile phones with Telecom Plus, I generated substantial funds that allowed me to trade full-time. These income sources not only provided the capital needed for trading but also taught me

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important business skills applicable to trading.

3.Question

What lessons did you learn from running a café, and how did it relate to trading?

Answer:Running the café taught me about managing a business, dealing with finances, and understanding customer dynamics. These experiences may have seemed unrelated to trading at first, but they helped me develop analytical skills to evaluate stock market businesses, making me a better trader.

4.Question

What is your ideal lifestyle as a trader?

Answer:My ideal lifestyle as a trader is relaxed and flexible. I enjoy doing things like drinking tea, reading, spending quality time with my family, and not being glued to a desk. I want to illustrate that trading doesn't have to consume your life; you can achieve financial success without sacrificing your leisure time.

5.Question

What do you mean by being a medium-term investor

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rather than a day trader?

Answer:As a medium-term investor, I focus on making investments over weeks or months rather than constantly buying and selling throughout the day. This approach reduces the stress associated with day trading while still allowing me to capitalize on market trends without needing to be at my desk all day.

6.Question

How can someone start trading while keeping a full-time job?

Answer:You can start trading by learning in your free time or during quiet moments at work. Instead of getting distracted by social media, dedicate that time to understanding investment strategies and the stock market to eventually make extra money while maintaining your job.

7.Question

Why is it important to keep this book handy even after understanding trading concepts?

Answer:It's crucial to keep this book handy because trading

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can be volatile, and even experienced traders can fall into bad habits or face challenges. Having the book available means you can quickly revisit strategies and insights whenever you feel lost or tempted to deviate from your plan.

8.Question

How has your trading philosophy evolved over the years?

Answer:Over the years, my trading philosophy has shifted towards simplicity and discipline. I've learned that you don't need to work endlessly to be successful in trading; a strategic approach along with patience and proper capital management is key to building wealth.

9.Question

What do you hope readers take away from 'The Naked Trader'?

Answer:I hope readers understand that trading can be simpler than they think, and they can achieve financial independence by being disciplined and capitalizing on opportunities. My goal is to empower them to take the first steps toward escaping the traditional job structure and enjoy a more

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fulfilling life.

Chapter 5 | 2. A Day in the Life of a Naked Trader| Q&A

1.Question

What does a typical day for the author look like, and how has it changed over the years?

Answer:The author's typical day has shifted significantly in three years. It starts early at 6am, but unlike before when he was awake to watch children's shows, he now often sleeps in. His day involves managing his son Christopher's morning routine, followed by checking stock market announcements and preparing for trading. This reflects the author's evolving priorities—from being a young trader to balancing parenting with his trading career.

2.Question

Why is the morning crucial for the author's trading activities?

Answer:The morning is critical because it is when companies

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report their results and release important announcements. The author checks if there are any news that might impact the shares he owns, decides whether to sell, buy more, or adjust stop-losses based on the market's opening trends.

3.Question

What lesson about trading does the author emphasize during the initial hours after the market opens?

Answer:The author stresses the importance of not reacting impulsively during the first hour of trading. He explains that the market often overreacts to news early in the day, leading to price swings that can mislead traders. Instead, he suggests waiting for the market to stabilize and observing trends before making decisions.

4.Question

How does the author keep his health in check while trading?

Answer:The author makes a conscious effort to maintain his physical health despite the sedentary nature of trading. He incorporates exercise into his routine, such as using the

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cross-trainer or going for a swim during quieter moments in the market.

5.Question

What does the author do to manage email correspondence efficiently?

Answer:To manage his email correspondence, the author replies to most emails promptly, particularly those seeking information not involving specific trading advice. He categorizes complex inquiries for later response over the weekend to keep his inbox manageable and focused.

6.Question

What approach does the author take when considering potential trades?

Answer:The author takes a cautious approach to trading, utilizing research on potential buys and analyzing market sentiment using Level 2 data before making any decisions. He avoids making trades out of boredom or pressure, advocating for patience in decision-making.

7.Question

What personal fulfillment does the author derive from his

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trading lifestyle?

Answer:The author finds personal fulfillment in the flexibility his trading lifestyle affords him, allowing him to spend quality time with his son. This contrasts with traditional jobs that may keep parents away from their children for extended hours.

8.Question

How does the author relate with his seminar participants?

Answer:The author enjoys connecting with participants at his seminars, where he shares his knowledge on trading. He appreciates the friendships formed through these seminars and values the feedback he receives to improve future sessions, indicating his genuine desire to help others learn.

9.Question

In what way does the author utilize breaks during his trading day?

Answer:The author uses breaks in his trading day not only for leisure activities like swimming or shopping, but also to

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review his potential trading lists and stay updated on market movements, thus balancing productivity with personal time.

10.Question

What does the author highlight about the emotional aspect of trading?

Answer:He emphasizes the importance of being unemotional in trading, noting that personal biases and reactive behavior can lead to poor decision-making. This understanding allows him to remain calm and rational when assessing market movements and making trades.

11.Question

How does the author unwind at the end of his trading day?

Answer:At the end of his trading day, the author unwinds by dedicating time to his family, enjoying leisure activities with his son, and engaging in relaxing routines like watching television or reading, ultimately ensuring a balanced life.

Chapter 6 | 3. Is Trading Right for You?| Q&A

1.Question

What should be your primary motivation for trading?

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Answer:Before entering the trading world, ask yourself what you want from it: Are you looking for high returns, wealth building, or just some extra cash for fun? Your motivation will significantly influence your trading approach.

2.Question

How can having a secondary income source help your trading?

Answer:Relying solely on trading income can create stress, leading to poor decision-making. However, if you have a fallback income, you can trade more relaxed and make better choices.

3.Question

How much money is recommended to start trading?

Answer:It is suggested to have at least £3,000 to begin trading, as lower amounts like £500 can incur high commission fees and won't provide a balanced portfolio.

4.Question

What is the realistic earning expectation for full-time traders?

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Answer:Full-time traders should realistically aim for a return of 20–25% per year on their invested capital to cover living expenses and trading costs.

5.Question

Why is using leverage considered risky in trading?

Answer:Using leverage may seem appealing to amplify gains, but it can lead to significant losses that exceed your initial investment, placing you in a precarious financial situation.

6.Question

What questions should you ask yourself to assess your ability to trade?

Answer:Evaluate where your trading funds come from, whether you can afford to lose that money, and if you would feel devastated by losses. Be honest about your financial situation.

7.Question

What are the signs of being too emotionally invested in gambling?

Answer:If you find yourself regularly betting on games,

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hiding your gambling habits, or feeling compelled to continue despite losses, it may signal a gambling problem, which suggests you should avoid trading.

8.Question

What initial steps should someone take before trading?

Answer:Start by carefully assessing your finances, considering other income sources, set realistic investment amounts, and perform 'paper trading' to build experience without financial risk.

9.Question

What advice would you give to someone new to trading regarding their financial situation?

Answer:If you cannot afford to lose a significant amount of money or if losing it would cause distress, it’s best to wait until you have sufficient funds and a robust financial plan.

10.Question

How should someone approach their initial trading experience?

Answer:Take it slow, prioritize learning from mistakes, and don’t expect to get rich quickly. Building patience and

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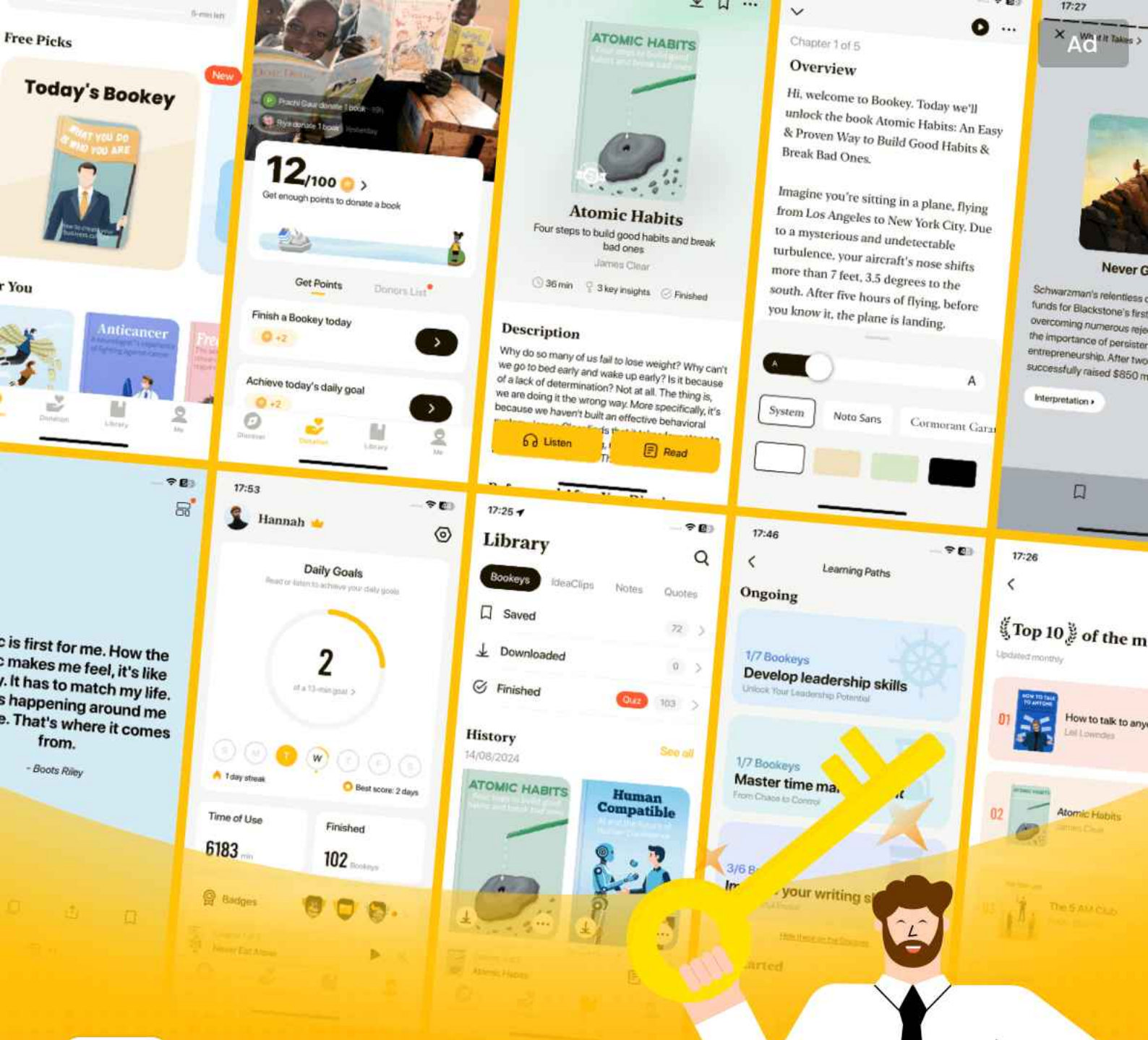
caution is key to successful trading.

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Chapter 7 | 4. The Trader’s Toolkit| Q&A

1.Question

What essential tools do I need to start trading shares online?

Answer:You need a computer or laptop with internet access, an execution-only broker, access to real-time share prices, a notebook and pen, and lots of tea and snacks!

2.Question

Why should I start with an execution-only stock broker?

Answer:Execution-only brokers facilitate your trades without providing advice, making them ideal for beginners to learn the market while limiting potential losses.

3.Question

How can I avoid capital gains tax when trading shares?

Answer:By utilizing an ISA (Individual Savings Account), you can trade without incurring capital gains tax on your profits.

4.Question

What should I do if my broker's website freezes?

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Answer:It's common for broker websites to experience downtime; consider having accounts with multiple brokers to have a backup for trading.

5.Question

What are the biggest advantages of using an ISA for trading stocks?

Answer:ISAs allow you to make unlimited profits tax-free and withdraw money at any time without having to report to tax authorities, which significantly enhances net gains.

6.Question

How can I efficiently keep track of multiple stocks?

Answer:Use the monitoring feature on trading websites to create a personalized watchlist that segregates stocks into different categories, like sectors or performance.

7.Question

What strategies can I employ to keep organized while trading?

Answer:Maintain a clear trading environment free of clutter, use a notebook or note-taking app to record trades and insights, and keep your trading strategy simple.

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8.Question

Why is it important to stay informed about stock news and market fluctuations?

Answer:Being informed allows you to make timely, educated decisions about buying and selling stocks, which directly impacts your trading success.

9.Question

What consequences should I be aware of before trading with a lesser-known broker?

Answer:Little-known brokers may have hidden fees or poorer service, and in case of bankruptcy, your compensation may be limited, making it safer to work with established firms.

10.Question

How do I find real-time prices for stocks?

Answer:You can use financial websites like ADVFN or Interactive Investor to access real-time stock prices and necessary market information, although always-on services may require a subscription.

11.Question

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What is the importance of keeping a trading diary?
Answer:A trading diary helps to analyze your trades, identify strategies that work or fail, and improves your decision-making over time.

12.Question

Why should I avoid complicated trading systems and technology when starting out?
Answer:Complicated systems can overwhelm you and divert your focus from the essential task of determining whether a stock is a good buy; keep it simple to enhance clarity and effectiveness.

13.Question

How can I ensure that I choose a reliable broker?
Answer:Research brokers thoroughly, checking their fees, reliability, and customer reviews; opt for reputable names with a track record to minimize risk.

14.Question

Why is it not advisable to buy share certificates anymore?
Answer:Share certificates are outdated; modern brokers use

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nominee accounts, which simplify ownership and avoid the logistical hassle of paper certificates.

15.Question

What should I keep in mind while setting up my trading accounts?

Answer:Open two accounts with different brokers to compare services and fees, and look for those that support ISA trading to maximize your tax-free gains.

16.Question

What is the 'KISS' principle in trading, and how should it be applied?

Answer:The 'KISS' principle stands for 'Keep It Simple, Stupid'; apply it by avoiding unnecessary complexity in your trading strategies and tools.

Chapter 8 | 5. What You Need to Know About Shares| Q&A

1.Question

What are spreads in share trading, and why are they important for traders to understand?

Answer:Spreads refer to the difference between the

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buy price (offer price) and the sell price (bid price) of a share. They are crucial for traders to understand because a wider spread can significantly increase the costs of trading, meaning a trader is at a loss as soon as they buy a share. Knowing how to calculate and what effects spreads have on profits is essential for making informed trading decisions.

2.Question

How do trading costs impact profitability for new traders?

Answer:Trading costs include broker commissions, stamp duty, and spreads. For new traders, these costs can add up quickly. For instance, buying shares incurs immediate losses due to spreads and commissions, which can erode profits rapidly, especially when trading frequently. Therefore, understanding these costs and factoring them into trading strategies is essential for maintaining profitability.

3.Question

What is the Exchange Market Size (EMS), and why should new traders check it before buying shares?

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Answer:EMS refers to the quantity of shares that market makers guarantee to buy or sell at quoted prices. New traders should check it to avoid buying amounts that exceed this size, which can lead to larger spreads when selling due to poor liquidity. By ensuring their purchases don't exceed EMS, traders can maintain better control over trading costs and outcomes.

4.Question

What should a trader consider about trading hours, and how can they affect their trading strategy?

Answer:Trading hours impact the liquidity and volatility of shares, especially in the first and last hours of the trading day. Spreads tend to widen during these times due to lower market depth, leading to potential losses for traders. It is wise to be cautious about making trades during these hours unless a trader is assured of market conditions.

5.Question

What causes share prices to move, and how can traders predict these movements?

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Answer:Share prices can move due to various factors, including company news, market trends, broker recommendations, and economic indicators. To predict movements, traders should stay informed on company news, market analysis, and economic conditions to make educated trading decisions, understanding that sometimes price changes can be counterintuitive.

6.Question

What are dividends, and how do they contribute to a trader's overall return on investment?

Answer:Dividends are cash payments made by companies to shareholders from their profits, usually paid biannually. Though they may seem small, over time they can accumulate significantly, providing traders with a steady income stream while also benefiting from capital gains. For some investors, dividends can cover trading costs, enhancing overall returns.

7.Question

How does the trading of smaller company shares differ from larger companies in terms of liquidity?

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Answer:Larger companies, such as those in the FTSE 100, typically have high liquidity, meaning significant volumes can be bought and sold easily without affecting the price. In contrast, smaller company shares often suffer from poor liquidity, leading to wider spreads and increased trading costs. Traders must be aware of this and may need to adjust their strategies accordingly.

8.Question

What is the recommended strategy when dealing with share prices that fluctuate rapidly due to market maneuvers?

Answer:Traders should avoid panic selling when faced with rapid price fluctuations that may be market maker tactics, like tree shakes. Instead, they should verify if there are any news updates or significant reasons for the movement. If not, they should stay calm and hold their position, as such moves often correct themselves.

9.Question

What is the role of market makers in trading shares, especially for small companies?

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Answer:Market makers ensure liquidity for shares by committing to buy and sell shares at any time. For smaller companies with less trading activity, market makers help facilitate transactions, although they might manipulate prices to increase their own profits. Traders should be aware of this dynamic when considering trades in less liquid shares.

10.Question

What are the different types of shares, and how should traders approach investment in each category?

Answer:Shares can be categorized into several types: FTSE 100, FTSE 250, FTSE SmallCap, FTSE Fledgling, and AIM shares. Traders should approach FTSE 100 and 250 shares for stability and liquidity, while being more cautious with SmallCap and AIM shares due to higher volatility and lower liquidity. It’s wise to diversify and allocate less capital to riskier assets.

Chapter 9 | 6. Why People Lose At Trading| Q&A

1.Question

What is the biggest psychological reason people lose in trading?

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Answer:Greed is the number one reason traders lose. This overwhelming desire to make big money quickly can lead individuals to take excessively risky positions, often going all-in on one investment.

2.Question

How does stubbornness affect trading decisions?

Answer:Stubbornness can blind traders to reality, leading them to hold onto losing positions in the hope that they will recover, even when presented with clear warning signs.

3.Question

What role does fear play in trading losses?

Answer:Fear can lead traders to make hasty decisions, such as selling shares too early just to secure a small profit rather than allowing trades the time to develop.

4.Question

How can emotional states impact trading success?

Answer:Trading decisions should be made with a clear mind. Being tired, hungover, or in a bad mood can lead to poor judgment and impulsive trades. It’s recommended to avoid

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trading when feeling emotionally or mentally compromised.

5.Question

Which characters from 'Dad's Army' represent negative trading traits, and what do they symbolize?

Answer:Corporal Jones represents panic; Private Walker symbolizes greed; Private Fraser embodies fear; Sergeant Wilson is the embodiment of laziness; Private Pike exemplifies foolishness. Each character's traits can lead to significant trading mistakes.

6.Question

What can traders learn from Captain Mainwaring's personality traits?

Answer:Captain Mainwaring's patience, rational decision-making, and ability to remain calm under pressure are traits that could make for a successful trader.

7.Question

Why is self-awareness important in trading according to the author?

Answer:Recognizing one's own psychological weaknesses, like greed or panic, allows traders to address these issues and

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form a more disciplined approach to the markets.

8.Question

Who does the author suggest as a model for logical trading decisions?

Answer:Mr. Spock is suggested as the ideal model for a trader because of his logical reasoning and ability to make unemotional decisions.

9.Question

What is the key takeaway regarding trading psychology?

Answer:Successful trading relies significantly on managing your emotions and mental state, developing a solid plan based on research, and maintaining discipline to avoid the pitfalls of greed, fear, and stubbornness.

10.Question

What does the author's humorous comparison of the TV characters illustrate about trading?

Answer:The comparisons highlight how different emotional responses can negatively impact trading. By using humor and familiar characters, it underlines the importance of controlling these emotions to succeed in the stock market.

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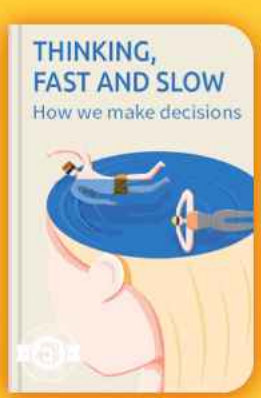
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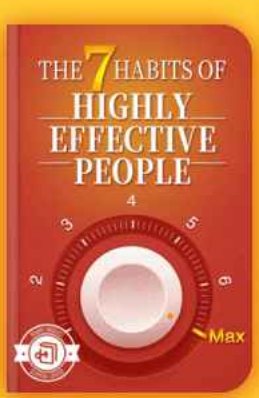
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Chapter 10 | 7. Confirmation Bias and the Most Important Lesson| Q&A

1.Question

What is confirmation bias and how does it affect traders?

Answer:Confirmation bias is the tendency to seek out information that confirms our pre-existing beliefs. In trading, once a trader buys a share, they may only acknowledge evidence that supports their decision to invest, ignoring signs that suggest they might be wrong. This can lead to significant losses, as traders may hold onto losing stocks or refuse to cut their losses, convinced that the market will eventually correct itself.

2.Question

What is the most important lesson regarding losses in trading?

Answer:The most important lesson is that taking lots of small losses can lead to substantial gains. By cutting losses early and allowing winning trades to run, traders can maintain profitability despite having more losing trades than winning

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ones. This requires the courage to detach emotionally from trades and make rational decisions.

3.Question

How can a trader effectively manage losses?

Answer:A trader should set stop-loss orders for their trades to automatically sell a stock at a predetermined price if it falls to limit potential losses. Additionally, they should review their trading strategy regularly, aiming to sell stocks that start to decline quickly, while holding onto those that are performing well.

4.Question

Why do some traders struggle with selling losing stocks?

Answer:Many traders find it emotionally challenging to sell losing stocks due to a psychological attachment to their initial investment and the desire to avoid realizing a loss. They may also have a hope that the stock will rebound, leading them to hold onto losing positions longer than they should.

5.Question

What mindset should a trader adopt regarding potential

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losses?

Answer:Traders should view taking losses as a healthy part of the trading process rather than a failure. They need to prepare for the possibility of losses and have a strategy in place to manage them. Accepting losses as part of the game allows traders to maintain discipline and focus on long-term gains.

6.Question

Can you describe an example of a trader failing due to confirmation bias?

Answer:One trader bought shares of a company at 1200p, then doubled down by buying more at lower prices as the stock fell, convinced it would eventually rebound. Ultimately, they ignored the signs of a failing investment and held onto their position despite significant losses, demonstrating how confirmation bias can lead to disastrous results.

7.Question

What advice does the author offer to traders struggling

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with confirmation bias?

Answer:The author advises traders to actively seek out information that challenges their assumptions about a stock. This includes considering the potential reasons why a stock could decline further and being willing to exit a losing position before it leads to substantial financial damage. It's crucial to adopt a mindset that embraces critical evaluation over blind loyalty to initial choices.

8.Question

How should traders view their overall performance with respect to winning and losing trades?

Answer:Traders should focus on the overall profitability of their strategy rather than the number of wins versus losses. A few large wins can outweigh numerous small losses, thus making it essential to manage trades effectively by cutting losses early and allowing large profits to grow.

Chapter 11 | 8. The Market Can See You Coming| Q&A

1.Question

What mindset should I adopt to avoid being scammed in

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trading?

Answer:Adopt a mindset of skepticism and vigilance. Approach the market as if everyone is a potential threat to your finances, requiring you to be cautious and critical of any offers that seem too good to be true.

2.Question

Why is it important to recognize scams in the trading world?

Answer:Recognizing scams is critical because it protects your hard-earned money from opportunistic individuals and companies looking to exploit novice traders. Being aware of the threats helps you avoid costly mistakes that could drain your trading capital.

3.Question

What kind of offers should I ignore when starting to trade?

Answer:Ignore offers that promise quick riches, like high returns with little effort, especially from boiler rooms,

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tipsters, and 'guaranteed' trading systems. These are often traps that lead to lost investments.

4.Question

How can I protect my personal information when signing up for trading resources?

Answer:Use a secondary email address dedicated to registrations, avoiding spam in your main inbox. Be cautious about giving out your phone number and ask companies how they will use or protect your data.

5.Question

What common traits do scams in the trading industry share?

Answer:Scams commonly promise unrealistic returns, use high-pressure sales tactics, and often lack verifiable performance data. They entice traders with fast-tracks to wealth that ultimately lead to financial loss.

6.Question

How should I evaluate tipsters before following their advice?

Answer:Evaluate tipsters by researching their performance

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thoroughly, asking for verified records of their past tips, and seeking feedback from existing users on bulletin boards. Use tips as one source of information, not the sole basis for your decisions.

7.Question

What are the risks associated with following tipsters?

Answer:The risks include buying shares at inflated prices due to market manipulation from tipsters and potentially facing significant losses if the stock doesn't perform as touted. Always perform your own research and due diligence.

8.Question

What should I do instead of relying on get-rich-quick schemes?

Answer:Instead of relying on quick schemes, invest time in learning about the markets through research, education, and experience. Gradually improve your trading skills without getting sidetracked by promises of easy money.

9.Question

Why is it better to miss a potential profit than to lose money on a scam?

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Answer:It's better to say 'I wish I had invested' than to regret losing your capital to a scam. Remember that opportunities will arise again, but financial losses can significantly impact your ability to trade.

10.Question

What lesson can be learned from the advice about buying shares from newspapers or tipsters?

Answer:The key lesson is to wait after a tip is published before buying shares, as prices often spike immediately after a recommendation. Doing so helps you avoid overpaying and potential losses.

Chapter 12 | 9. Bulletin Boards| Q&A

1.Question

What is the main purpose of bulletin boards in share trading?

Answer:The main purpose of bulletin boards (BBs) in share trading is to provide a platform for investors to discuss shares, share information, and offer insights in an informal, community-like setting.

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They serve as a social outlet where traders can exchange ideas and experiences.

2.Question

What should one be cautious about when reading posts on bulletin boards?

Answer:One should be cautious about believing everything read on bulletin boards because contributors often have hidden agendas, such as promoting stocks they own ('rampers'). It's important to approach all comments with skepticism and validate information through more reliable sources.

3.Question

How can bulletin boards be beneficial for new investors?

Answer:Bulletin boards can be beneficial for new investors as they may provide additional information or insights that could enhance their research. Some contributors may offer valuable analysis, updates on retail performance, or share important company announcements.

4.Question

What types of posters can be found on bulletin boards,

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and how should they be approached?

Answer:Types of posters include 'rampers', who promote stocks for profit; informed traders, who offer valid insights; wind-up merchants, who create chaos for fun; and approval seekers, who rely on others for validation. It's crucial to discern their credibility and disregard unhelpful or misleading posts.

5.Question

What does the author suggest using bulletin boards for?

Answer:The author suggests using bulletin boards primarily for entertainment and light informational purposes, while treating them as one piece of the puzzle rather than a definitive source for trading decisions.

6.Question

What warning does the author give about claims of having inside information on bulletin boards?

Answer:The author warns that claims of inside information are illegal and could lead to legal repercussions. Users should be wary of such claims and remember that anonymity does

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not protect against libel or misinformation.

7.Question

What is the author's personal experience with contributing to bulletin boards?

Answer:The author shares their personal experience of initially enjoying contributions to bulletin boards, but eventually feeling overwhelmed by negative comments and obsessive critics, leading them to withdraw from active participation.

8.Question

How should users filter out untrustworthy posts on bulletin boards?

Answer:Users can utilize filter functions available on some bulletin boards, like ADVFN, to hide posts from specific users who are deemed untrustworthy or unhelpful, ensuring a more focused and valuable browsing experience.

9.Question

What is the overall takeaway regarding the use of bulletin boards for trading?

Answer:The overall takeaway is to approach bulletin boards

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with caution, prioritize them for entertainment and supplementary research, be skeptical of the motivations behind posts, and validate information through thorough research before making trades.

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Chapter 13 | 10. How Do I Find Shares Worth Looking At?| Q&A

1.Question

How can I find shares worth investing in?

Answer:Begin by looking for shares demonstrating activity, particularly those that are already rising. You can start your search using various sources such as national newspapers, investment publications, newswires releasing information at 7am, and platforms like ADVFN Toplists. Focus on where stories and movements are occurring rather than random tips from unreliable sources. Remember, it's not necessary to find dozens of shares; finding just one good opportunity per week is often sufficient.

2.Question

What sources should I avoid when searching for investment ideas?

Answer:Avoid relying on internet tipsters, tipsheets, bulletin boards, and columns from so-called market gurus. These sources can lead you astray and often lack depth in analysis.

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3.Question

What are my favorite sources for finding shares?

Answer:I prefer trusted national newspapers, investment magazines like the Investors Chronicle and Shares, 7am company news from platforms like ADVFN and Investegate, and ADVFN Toplists that compile data on shares based on specific criteria.

4.Question

Why is timing important when looking at company news?

Answer:Most company reports are published between 7am and 8am, so it’s crucial to check for news during this time. Relevant information is often freshest then, allowing for timely insights into potential investment opportunities.

5.Question

What are ADVFN Toplists and why should I use them?

Answer:ADVFN Toplists are automated lists that show shares based on performance criteria, like biggest gainers and losers or breakouts from established price ranges. They are valuable for identifying shares that may be on the move,

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providing a real-time snapshot of market activity.

6.Question

What is a breakout, and why is it important?

Answer:A breakout occurs when a share price moves beyond a previously established resistance level, often signaling strong buying interest and potentially indicating a continued upward trend. Recognizing breakouts can help you find shares poised for significant price increases.

7.Question

How should I approach tips from investment magazines?

Answer:Use tips from investment magazines as reference points and not as definitive buy signals. Their analysis can provide valuable insights, but it’s important to conduct your own research to verify the dependability of a stock before investing.

8.Question

What is my strategy in terms of market capitalization when searching for shares?

Answer:I tend to favor shares with a market capitalization between £50 million and £900 million. This range can offer

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greater potential for growth compared to larger, established FTSE 100 shares.

9.Question

How many shares should I look at during my research sessions?

Answer:Limit your focus to the first ten shares that catch your interest during your research. This helps you manage your time effectively without becoming overwhelmed.

10.Question

In summary, what is key to finding potential investment opportunities?

Answer:Look for shares that are actively showing movement, utilize reliable sources for information, focus on breakout shares, and conduct thorough research once you identify potential candidates. A mix of strategy, diligence, and a little luck can lead you to hidden investment gems.

Chapter 14 | 11. How to Choose Good Shares| Q&A

1.Question

What is the most important factor to consider before buying shares?

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Answer:Conduct thorough research to build a complete picture of the company before making any investment decisions.

2.Question

Why should you trust your own research rather than tips from others?

Answer:Relying solely on tips can lead to impulsive decisions, whereas your own research will help ensure that you're well-informed about the company's potential.

3.Question

What key questions should you ask about a company during your research?

Answer:Key questions include: What is the company's market cap, what are its profits, are profits and dividends rising, what is the net debt, how is the company performing compared to its sector, and what’s the outlook for the company?

4.Question

How can the traffic lights system aid in evaluating company reports?

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Answer:Using a traffic lights system, you can quickly identify positive and negative aspects of a company's report by highlighting certain keywords; red for negative and green for positive, allowing for swift decision-making.

5.Question

What does it mean if a company has high net debt relative to its profits?

Answer:A high net debt can signify potential financial trouble, as it suggests the company may struggle to meet its obligations, hence it’s advisable to avoid companies where net debt exceeds three times their profits.

6.Question

How can rising dividends indicate a good company to invest in?

Answer:Consistent increases in dividends signal a company's strong earnings and financial health, making it an attractive option for investment.

7.Question

What role do directors' dealings play in assessing a company's future prospects?

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Answer:Monitoring directors' purchases or sales of shares can give insights into their confidence in the company; significant buying may indicate optimism, while large selling could raise concerns.

8.Question

What are the benefits of checking a company’s website as part of your research?

Answer:The company website can provide crucial insights into operations, customer service, and overall company image, confirming your understanding of what the company does and its market approach.

9.Question

What is the significance of P/E ratios in evaluating stocks?

Answer:P/E ratios help compare share price relative to earnings across similar companies, providing a gauge of market expectations for growth. However, they should be used cautiously and alongside other metrics.

10.Question

How does the author's personal investment philosophy

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assist in selecting shares?

Answer:By assuming a billionaire perspective, the author focuses on finding companies that are undervalued relative to their profits, ensuring deliberate and informed investment decisions.

Chapter 15 | 12. How to Plan, Manage and Close Trades (Without Going Mad)| Q&A

1.Question

Why is it crucial to have a trading plan before buying a share?

Answer:Having a trading plan is essential because it prevents impulsive decisions and helps you understand the reasons behind your investment. A well-structured plan accounts for your profit expectations, management of losses via stop-loss orders, and outlines how you'll react if the trade doesn't go as anticipated, ensuring you're prepared for various outcomes.

2.Question

What questions should you ask yourself before pressing

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'buy' on a trade?

Answer:Key questions include: What does the company do? Why will the price rise? How high can I let it rise before selling? How low can I accept it falling before I exit? Have I done my thorough research? Am I buying out of boredom? Each question aims to firm up your reasoning and ensure a disciplined approach.

3.Question

What is a stop-loss, and why is it important in trading?

Answer:A stop-loss is a predefined price point at which you will sell a share to prevent further losses. It's vital because it acts as a safety net, helping to enforce discipline, avoiding emotional decisions during market volatility, and ensuring you do not lose more than you are comfortable with.

4.Question

How do you determine where to set your stop-loss order?

Answer:Start with a default 10% below your purchase price. Analyze past price behavior; if there's strong support around certain levels, set your stop-loss slightly below that support.

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Adjust based on the share's volatility and your risk tolerance, potentially setting tighter stops early on.

5.Question

What is a trailing stop loss, and how does it work?

Answer:A trailing stop loss automatically adjusts your stop-loss order upward as the share price rises, allowing you to secure profits while giving your investment room to grow. If the share price declines by a preset amount, your holding is sold at the highest price reached minus that amount.

6.Question

How should you approach setting profit targets for your trades?

Answer:Profit targets should ideally be set at 20% above your buy price, to ensure you're aiming for a meaningful return. However, don’t sell automatically at that target; reassess the share's potential to determine if it can go higher before you take profits.

7.Question

What are some signs indicating it might be time to sell a share?

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Answer:Signs include repeatedly hitting a price level without breaking through (a 'brick wall'), reevaluating the share as if you were a new investor, and considering 'topslicing' by selling part of your stake to secure profits while staying invested.

8.Question

What is 'topslicing,' and why might it be beneficial?

Answer:Topslicing involves selling a portion of your holdings to secure profits while still retaining some shares in case the price continues to rise. This strategy helps manage risk in illiquid stocks and allows you to bank gains without completely exiting a position.

9.Question

What common mistakes should traders avoid when selling shares?

Answer:Avoid trying to time the market perfectly by only selling at the top or holding for a nonexistent bottom. Focus on reasonable market conditions when making sales and never let a stock drop more than 20% without a clear plan for

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exit.

10.Question

What's the summary of key actions to take before buying a share?

Answer:Before purchasing a share, set a stop-loss, potentially a get-out-quick price, write your trading plan down, and ensure it includes a profit target. This structured approach minimizes losses, encourages discipline, and improves overall trading performance.

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Chapter 16 | 13. Trading Times of the Year| Q&A

1.Question

How can seasonal trends in the stock market affect trading strategies throughout the year?

Answer:Seasonal trends can provide insights into when to expect stronger or weaker performances in the market. For example, historical trends show that April is typically a good month for gains, with a 78% probability of the market rising, suggesting it may be wise to invest in March to capitalize on this potential increase. Conversely, from May to July market performance tends to weaken, implying traders might consider taking profits and holding cash. By aligning trading strategies with these seasonal tendencies, traders can better position themselves for success.

2.Question

What are key considerations for a trader when trading in August, according to the text?

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Answer:In August, trading volumes decrease since many investors are away, leading to higher volatility and the potential for larger price movements on fewer trades. Traders should look for companies reporting strong results during this time, as positive announcements often lead to noticeable price increases in lower-volume trading environments. However, they need to be cautious due to the volatility, which can result in unexpected downturns, as highlighted by August 2011's sharp declines.

3.Question

What psychological factors contribute to the strong stock market performance in December and January?

Answer:The positive market performance during December and January is believed to be fueled by human psychology, as the festive season brings a sense of cheer and hope. This optimistic sentiment often leads to increased buying activity, especially after the perceived downturns in previous months. The influx of investors looking for bargains post-October and November further bolsters stock prices, creating a conducive

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environment for growth during the holiday season.

4.Question

Why is February often less favorable for stock performance following the holiday season?

Answer:February typically sees reduced market performance because, following the festive spending frenzy of December and January, investors often take profits, leading to a slowdown in stock prices. This hangover effect from the holiday cheer—combined with fewer buying pressures—results in February being a challenge for investors, thus necessitating a more cautious approach, such as holding onto cash.

5.Question

Which trading strategy does the author recommend for December and early January?

Answer:The author recommends buying the FTSE 100 index in early to mid-December and selling it in early January to take advantage of the expected market rise during this period. By implementing a simple long spread bet with a tight stop

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loss, traders can capitalize on the typical festive rally while protecting themselves from potential losses in the event that the expected pattern does not play out.

6.Question

What precautions should traders take around the holiday season, particularly concerning company news?

Answer:Traders should be vigilant about potential bad news announcements from companies during the holiday season because firms might choose to release negative information when the market's attention is low, such as between Christmas and New Year. This strategic timing can help the company downplay the impact of bad news. Consequently, traders are advised to monitor news closely and to act quickly to minimize losses if any adverse announcements regarding their holdings are made.

Chapter 17 | 14. Winning Strategies| Q&A

1.Question

What are some strategies for identifying potentially profitable stocks?

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Answer:1. Buy shares just before they enter the FTSE 100, typically around a market cap of £4 billion. 2. Look for companies trading 'ahead of expectations' in their updates. 3. Observe consumer behavior to identify trending retailers. 4. Seek companies with game-changing developments, such as entering new markets or winning significant contracts.

2.Question

Why should I consider buying shares in boring companies?

Answer:Boring companies may not attract the excitement of investors but often provide steady returns over time due to their consistent performance. They are less susceptible to market volatility and frequently offer dividends.

3.Question

What should I do if a company's share price drops significantly due to negative news?

Answer:Assess whether the slump is an overreaction. If the

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company's fundamentals are still strong and the drop is not indicative of imminent failure, this can be a prime buying opportunity. Use stop-loss orders to manage risk effectively.

4.Question

How can I identify a potential takeover target?

Answer:Look for rising share prices accompanied by increased trading volume, and monitor news sources for buzz about potential acquisitions in the sector. Companies in financial good standing and with strategic value often attract bidders.

5.Question

What role does personal industry knowledge play in stock market investment?

Answer:Having personal industry expertise provides valuable insights into market conditions and trends, helping to identify companies that align with those trends. Engaging with peers in your industry can also yield actionable information about potential investments.

6.Question

What is a key indicator of a company’s robustness when

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considering investments?

Answer:Consistent growth in profits and dividend payouts over three years signals financial health and managerial confidence, making the company a potentially worthwhile investment.

7.Question

What dangers should I be aware of when investing in oil exploration companies?

Answer:Investing in small oil companies carries high risks due to their need for cash, unpredictability in finding oil, and volatility in stock prices. Always conduct thorough research on their financial health and management before investing.

8.Question

How do I spot a hot sector for investment?

Answer:Identify sectors experiencing rising share prices and strong performance trends. Monitor market analyses and consumer interest to find growth areas, thus informing your investment strategy.

9.Question

What should I do if a company I'm invested in shows

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signs of transformation?

Answer:Ensure you understand the reasons behind the transformation, such as new revenue streams or significant contracts, as these changes can lead to upward price momentum. If promising, consider increasing your investment.

10.Question

What makes buying new market entrants appealing?

Answer:New companies often generate excitement due to their innovative products or services that capture consumer interest and have the potential for rapid price appreciation, but due diligence is crucial due to the inherent risks.

Chapter 18 | 15. New Issues| Q&A

1.Question

What is an IPO and why is it significant for investors?

Answer:An IPO, or Initial Public Offering, is when a company first sells its shares to the public. It's significant for investors because investing in IPOs can lead to substantial profits if the company

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performs well once listed on the stock market. Companies can debut at high valuations, and some new issues have been known to double or even triple in value shortly after launch.

2.Question

What strategies should an investor employ to evaluate new issues?

Answer:Investors should read the company's intention to list statement carefully, assess the amount of money being raised, evaluate the market demand for the company’s products or services, and consider whether the company has a technological edge. They should also avoid companies in highly competitive markets or with unclear growth prospects.

3.Question

How should an investor handle their investment in a new issue after purchase?

Answer:Investors should manage their new issue investments like any other: use a stop-loss order to limit losses, ideally exiting any share that falls by 10% or more quickly to

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prevent further losses. This strategy helps protect capital in volatile IPO markets.

4.Question

Why should an investor be cautious about investing in certain sectors during an IPO?

Answer:Investors should be cautious about sectors like oil or gas on AIM, as these often involve a high degree of speculation without guaranteed returns. Historically, many companies in these sectors fail to find oil or gas, leading to losses.

5.Question

What key factors helped the author achieve success with IPOs?

Answer:The author attributes their success with IPOs to thorough research into company fundamentals, an understanding of market conditions, and careful analysis of the company's potential for growth. This diligence, coupled with a willingness to take calculated risks, allowed them to capture significant gains.

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6.Question

Why is it important to assess both the company and the market 'story' for an IPO?

Answer:It's important because investors are not just buying shares but also the narrative of the company's future growth and potential. A compelling story can attract investors and drive the share price up, while a lack of excitement can result in stagnation or decline.

7.Question

What kind of companies did the author avoid when considering IPOs and why?

Answer:The author avoided companies with 'oil' or 'gas' in their name on AIM due to past experiences with poor performance in these sectors. Additionally, they also stayed away from businesses in highly competitive markets where growth potential seemed limited or unexciting.

8.Question

How does the author recommend finding new IPOs to invest in?

Answer:The author recommends checking financial news

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sites, utilizing news wire services, and using search engines to find IPO listings. They advise looking for announcements of companies set to list and researching their profitability and market presence to make informed investment decisions.

9.Question

What were some successful IPOs mentioned in the chapter, and what characteristics made them appealing?

Answer:Successful IPOs mentioned include Applied Graphene Materials, Fusionex, and Royal Mail. Their appeal stemmed from exciting business models, market demand, scaling potential, or novel concepts that captivated investor interest, leading to swift price increases post-listing.

10.Question

What lessons can be learned about the importance of market conditions in relation to IPOs?

Answer:Market conditions significantly impact the number and success of IPOs. A bullish market can lead to an influx of companies going public, which can create more opportunities for profit, while bearish markets tend to

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suppress new listings and can raise concerns about company valuations.

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Chapter 19 | 16. Building a Portfolio Gently| Q&A

1.Question

Why is it crucial to build a portfolio gently?

Answer:Building a portfolio gently is essential because it reduces the risk of losing money in the markets due to over-trading and emotional decisions. A calm approach allows for careful selection of stocks to invest in, increasing the chances of profitable long-term returns.

2.Question

How can over-trading negatively impact my trading performance?

Answer:Over-trading can lead to increased stress, poor decision-making, and potential financial loss. The more trades you execute, the higher your commission costs and the more time you spend managing these trades, which can detract from a focused investing strategy.

3.Question

What distinguishes a trader from a gambler in the stock market?

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Answer:A trader works based on research and a strategy, carefully selecting stocks to invest in, while a gambler is often impulsive, trading without understanding or a plan. Gamblers typically chase quick gains without thorough analysis, leading to inevitable losses.

4.Question

What should one do instead of feeling pressured to trade frequently?

Answer:Instead of feeling pressured to trade, one should take time off, indulge in relaxing activities like enjoying tea and toast or pursuing hobbies. This downtime can prevent impulsive trading and allow for better decision-making.

5.Question

What are the benefits of holding onto strong stocks over time?

Answer:Holding onto strong stocks over time allows an investor to benefit from compounding returns, as good companies tend to increase in value steadily. This strategy often leads to significant profits without the need for constant

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trading.

6.Question

How did the author achieve major profits from companies like Nichols and Telecom Plus?

Answer:The author achieved significant profits by conducting thorough research, identifying strong companies, and then gradually building his stake over time without rushing to sell, letting the natural growth of the companies increase his returns.

7.Question

What advice does the author give to beginners in trading?

Answer:The author advises beginners to start slowly, be patient, conduct thorough research before investing, and focus on building a portfolio gently. The key is to buy quality stocks and hold onto them rather than seeking immediate trades.

8.Question

Can you explain the concept of 'doing nothing' in trading?

Answer:'Doing nothing' in trading refers to being patient and

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not feeling compelled to make trades constantly. This approach helps investors avoid mistakes driven by emotion and allows them to benefit from the natural growth of their investments over time.

9.Question

What is the significance of time in investment returns?

Answer:Time is crucial in investment returns because it allows for the compounding of profits and the stability of strong companies to shine through market volatility. The longer you hold a quality stock, the more potential there is for your initial investment to grow significantly.

10.Question

Why is it important to avoid 'punts' in trading?

Answer:Avoiding 'punts'—which are speculative trades without proper research—is important because they often lead to financial losses. Successful investing requires informed decision-making and a solid strategy rather than impulse-driven trading.

Chapter 20 | 17. Terrible Trading Mistakes| Q&A

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1.Question

What is the biggest mistake traders make according to the author?

Answer:Buying stocks without proper research, particularly those that are sold based on hype or claims of being the 'next big thing'. Traders lose money believing exaggerated marketing claims.

2.Question

Why is it important to use stop losses?

Answer:Stop losses prevent significant losses by exiting trades before they turn disastrous. They provide a safety net, especially in volatile markets.

3.Question

What does the author mean by 'catching a falling knife'?

Answer:This refers to trying to buy shares that are rapidly falling in price, expecting them to rebound. It's a risky strategy because the decline may continue.

4.Question

What is a crucial lesson learned from the author's Coffee Republic experience?

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Answer:Emotional attachment to a brand or personal investment can cloud judgement. Research and logical analysis should guide investment decisions, not emotions.

5.Question

What advice does the author give regarding penny stocks?

Answer:Avoid buying penny stocks, especially those with a market cap under £15 million, as they are often illiquid and risky.

6.Question

Why is averting the trend a dangerous strategy in trading?

Answer:Attempting to go against market trends can lead to significant losses, as trends typically persist despite logical reasoning.

7.Question

What does the author suggest regarding selling shares on ex-dividend day?

Answer:Investors should be aware that shares often drop in price on ex-dividend days as the dividend is no longer

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included in the share price; selling in panic can result in unnecessary losses.

8.Question

How can traders effectively manage their profits according to the author?

Answer:Traders should hold onto winning shares rather than taking quick profits. Re-evaluating the position can help decide if it’s wise to sell or to continue holding.

9.Question

What signifies a good investment approach as opposed to gambling?

Answer:Investing requires research and understanding the companies involved, while gambling is characterized by impulsive, risk-heavy decisions without proper analysis.

10.Question

What's the author's view on trading systems?

Answer:The author warns against purchasing proprietary trading systems, noting that they often do not deliver consistent profitability and that relying on them can be costly.

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11.Question

What lesson is conveyed through the mistake of buying into heavily indebted companies?

Answer:Investors should always check a company's debt levels; high debt can lead to significant risks and potential bankruptcy.

12.Question

What common pitfall relates to following tips from media or bulletin boards?

Answer:Buying shares that are hyped in media can lead to inflated prices and potential losses as they may not be based on solid fundamentals.

13.Question

Why should traders avoid averaging down?

Answer:Averaging down on a losing stock increases the potential loss and often results in deeper financial trouble; it's better to cut losses and move on.

14.Question

What is the implication of 'over-trading' as discussed in the chapter?

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Answer:Over-trading occurs when a trader becomes overly confident and increases their trading frequency or stakes, leading to losses.

15.Question

What is the author's final takeaway from their experiences with trading mistakes?

Answer:Learn from mistakes and avoid emotional trading. Setting clear rules and maintaining discipline are key factors for success in trading.

Chapter 21 | 18. When Markets Go Down| Q&A

1.Question

What should investors do when bear markets strike?

Answer:When bear markets strike, investors have various approaches to consider: they can sell up, hold on for the long-term, or short stocks to mitigate losses. The key is to respond to market conditions rather than stick with preconceived notions. It might involve gradually selling off positions, increasing cash reserves, or using tools like ETFs or spread

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betting to hedge against market falls.

2.Question

How can ETFs like SUK2 help during market downturns?

Answer:ETFs like SUK2 are designed to increase in value when the market falls. They typically rise by twice the percentage that the index decreases, providing a mechanism for investors to protect their portfolios or profit during downturns without selling off stocks.

3.Question

What is a 'Black Swan' event and how does it affect investment opportunities?

Answer:A 'Black Swan' event refers to an unpredictable, significant occurrence that has a major impact on markets. Despite being terrifying for individuals, these events often present excellent buying opportunities shortly after they occur, since markets typically overreact and then recover once rationality returns.

4.Question

What is the best strategy for trading in emotional market

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climates?

Answer:The best strategy is to adopt a contrarian approach: buy when others are fearful and sell when they are overly confident. This approach counters market psychology, which often dictates that the majority are wrong due to fear or greed.

5.Question

How can investors safeguard against losses in volatile markets?

Answer:Investors can safeguard against losses by cutting positions in high-risk stocks, maintaining sufficient cash reserves, and employing shorting strategies like using SUK2 or spread betting on indices to profit from market declines.

6.Question

What are the signs that a bear market might be starting?

Answer:Signs of an incoming bear market include overly optimistic news headlines, excessive enthusiasm from everyday people (like taxi drivers or professionals), and sudden interest in speculative share tips. These indicators

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often signal market peaks before a downturn.

7.Question

How does market volatility affect individual stocks versus larger indices?

Answer:During periods of market volatility, larger stocks, especially those on indices like the FTSE 100, tend to be hit harder and faster. Smaller stocks may experience less immediate impact, but when widespread panic occurs, they can also get dragged down.

8.Question

What mindset should investors maintain during a market downturn?

Answer:During a market downturn, investors should maintain a calm and rational mindset. Instead of panicking, they should assess their investments, consider the broader market implications, and act strategically to protect and position their portfolios appropriately.

9.Question

What should investors consider regarding their leverage during volatile markets?

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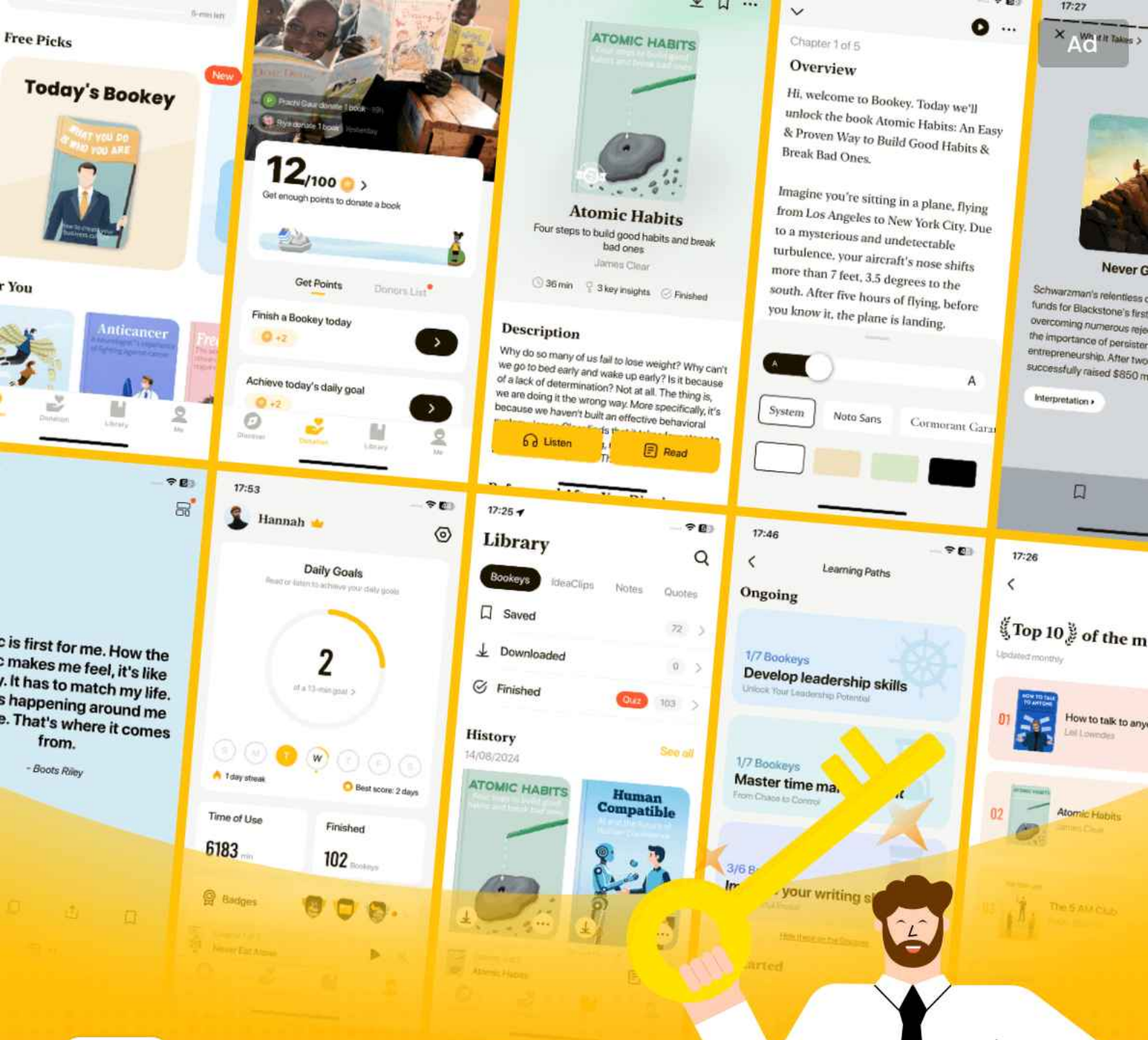
Answer:Investors should evaluate their use of leverage and ensure they are not over-extended, as the potential for greater losses increases during market declines. It's advisable to reassess risk exposure and possibly reduce leveraged positions.

10.Question

How can traders apply the concept of hedging in their investments?

Answer:Traders can apply hedging by using financial instruments like shorting an index or purchasing inverse ETFs to counter potential losses in their main portfolio. This strategy helps to minimize risk and protect profits during adverse market movements.

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Chapter 22 | 19. Spread Betting| Q&A

1.Question

What is spread betting and how does it differ from traditional stock trading?

Answer:Spread betting is a financial derivative that allows you to bet on the price movement of an asset without actually owning it. Instead of buying shares, you are essentially wagering on whether the price will go up or down, and this is done with a bookmaker-like entity. Traditional stock trading involves purchasing shares in a company, which means you gain ownership and rights associated with those shares.

2.Question

What are the advantages of spread betting?

Answer:1. **Tax-Free Profits**: Gains from spread betting are not subject to capital gains tax, making it a potentially lucrative option for traders. 2. **Leverage**: You can control a larger position with a smaller amount of capital,

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allowing you to maximize potential gains (though it also increases risk). 3. **Diverse Options**: You can spread bet on a wide range of asset classes, including indices, commodities, and even forex, not just individual stocks. 4. **Shorting Capability**: You can profit from falling markets by placing short bets. 5. **Guaranteed Stop Losses**: Protects against unforeseen market dips by ensuring you exit trades at predetermined prices.

3.Question

What is a major risk associated with spread betting?

Answer:One major risk is the potential for unlimited losses. If you do not set a stop loss when placing your bet, there is no limit on how much you could lose, as the price may continue to move against your positions. The high leverage can amplify losses quickly, leading to significant financial consequences.

4.Question

Why is it important to treat spread betting as a strategy rather than gambling?

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Answer:While spread betting has elements of gambling, it should be treated more as a strategic investment approach. This perspective promotes informed decision-making based on market analysis rather than impulsive bets. By developing a solid strategy, traders can reduce their risk and manage their exposure more effectively.

5.Question

How can traders manage risk during spread betting?

Answer:Traders can manage risk by setting strict stop losses, limiting the amount of leverage used, only betting with money they can afford to lose, and regularly reviewing their positions. Additionally, keeping detailed records of all trades helps in assessing performance and refining strategies.

6.Question

Can you explain how stop losses work in spread betting?

Answer:Stop losses in spread betting are orders placed to close a position at a certain price level, minimizing potential losses. There are two types: ordinary stop losses, which attempt to sell at the stop price but can be affected by market

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volatility, and guaranteed stop losses, which ensure the position closes at the specified price, providing an added layer of security for traders.

7.Question

What are the potentially addictive aspects of spread betting?

Answer:Spread betting platforms are designed to encourage frequent trading, which can lead to over-trading. The thrill of seeing your potential profits and losses fluctuate can create an addictive environment, making it essential for traders to maintain discipline and avoid excessive exposure.

8.Question

What is 'rolling over' in the context of spread betting?

Answer:Rolling over in spread betting refers to closing an existing bet and opening a new position with a later expiry date, essentially extending the time you can hold the trade. This helps traders continue to benefit from their positions but can incur additional costs due to spreads.

9.Question

How do you calculate potential profits in spread betting?

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Answer:To calculate your profit, you multiply your stake amount by the difference between the final price and the price at which you entered the bet. For example, if you bet £10 per point on a price movement from 505 to 530, your profit would be £10 x (530 - 505) = £250.

10.Question

What precautions should new traders take when engaging in spread betting?

Answer:New traders should start with small stakes, familiarize themselves with the platforms, utilize guaranteed stop losses, and approach trading with a clear strategy. It's also important to avoid trading on credit extensively to prevent accumulating dangerous levels of debt.

Chapter 23 | 20. CFDs and Other Stuff| Q&A

1.Question

What should new investors consider before starting to trade CFDs?

Answer:New investors should be cautious with CFDs due to their complexity and the risk of

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over-trading. It's crucial to fully understand CFDs, including their day-to-day interest charges and tax implications. Prioritize education on CFDs and start with small trades only after gaining confidence in the strategy.

2.Question

Why does the author regard CFDs as a short-term trading tool?

Answer:CFDs are seen as short-term tools because they incur daily interest charges that make them less suitable for long-term investments. The author suggests limiting trades with CFDs to a period of three to six months, reinforcing the idea that they are more advantageous for dynamic and timely trading rather than long holds.

3.Question

What are the main advantages of using investment trusts?

Answer:Investment trusts provide investors with exposure to a diversified portfolio of shares, often around a specific

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theme. They have less risk than investing in single shares and allow for easy access to sectors that might be difficult to invest in directly. The potential for decent returns, like the author's own experiences with the Diverse Income Trust and Templeton Emerging Markets Trust, highlights their attractiveness.

4.Question

How should investors conduct research on investment trusts?

Answer:Investors should research investment trusts just like regular stocks. This includes checking their net asset value (NAV), identifying the top holdings, and assessing the risk levels of the trust. Thoroughly understanding the specific market and sector the trust is focused on is essential for making informed investment decisions.

5.Question

What caution did the author give regarding addiction in trading?

Answer:The author warns that the nature of trading,

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particularly with instruments like CFDs and spread betting, can lead to addiction. It's crucial for traders to be aware of their trading habits and ensure they are not over-trading or making emotionally driven decisions.

6.Question

What is the author’s stance on ETFs in comparison to individual stock trading?

Answer:The author acknowledges the rising popularity of ETFs but prefers to engage directly with individual stocks. He believes that ETF trading involves different strategies and has not felt the need to incorporate them into his investment approach, remaining focused on assessing individual company performances instead.

7.Question

What is the significance of understanding net asset value (NAV) for investment trusts?

Answer:Understanding NAV is significant because it reflects the aggregate value of the fund’s holdings, helping investors gauge the trust's performance. Regularly monitoring NAV

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allows investors to make well-informed decisions regarding buying, holding, or selling their investments in a trust.

8.Question

What is implied about the suitability of covered warrants for beginners?

Answer:The author implies that covered warrants are complex and should be left alone by beginners until they have gained at least two years of market experience. This advice aligns with the theme of the chapter, emphasizing the importance of understanding and readiness before engaging in more intricate investment strategies.

Chapter 24 | 21. Shorting| Q&A

1.Question

What is the main benefit of shorting stocks during a downturn?

Answer:Shorting allows investors to profit when stock prices decline, enabling them to make money even in a bear market when generally most stocks are falling. This can provide a counterbalance to

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long positions.

2.Question

How can shorting be used as a hedge?

Answer:Investors can hedge against potential losses on their long positions by taking out short trades in the same stock or sector. This strategy allows them to offset losses in their long holdings if the share price declines.

3.Question

What factors should investors look at when identifying potential short opportunities?

Answer:Investors should look for stocks with profit warnings, high P/E ratios, negative news reports, excessive debt relative to profits, and ongoing general downtrends.

4.Question

What are the signs that a short position might be about to yield profits?

Answer:Trigger signs for shorting can include breaking down through support levels, the issuance of negative news releases, or market-wide problematic news that affects weak companies.

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5.Question

What is a crucial warning for investors who are considering shorting stocks?

Answer:Investors must be cautious that markets can remain irrational longer than expected. This means a stock might continue to rise despite negative fundamentals, leading to potential losses on short positions.

6.Question

Why is it advised not to short stocks in a generally rising market?

Answer:Shorting in a strong bullish market can be risky as even fundamentally weak stocks might continue to rise due to overall market momentum, which can lead to losses.

7.Question

What might be a red flag when evaluating a company's financial health for shorting?

Answer:A significant amount of debt compared to earnings, such as a company having tenfold debt compared to its profits, indicates a financial strain that might lead to a downfall.

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8.Question

What personal lesson can be derived from the examples of shorting Yell and Carpetright?

Answer:Both examples demonstrate how critical it is to analyze financial ratios and market behaviors thoroughly before entering a short position. They also highlight the importance of timely decision-making based on market developments.

9.Question

Why is it tempting but risky to follow market gurus when shorting?

Answer:Market gurus may have more information or better entry points, which means their success does not guarantee the same outcome for others who blindly follow their advice.

10.Question

What practical advice does the author give about managing short positions?

Answer:Short positions should be treated as shorter-term trades—investors should be prepared to take profits quickly if the market moves against them.

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11.Question

What is a humorous yet valuable reminder regarding appearance shared in the article?

Answer:The author humorously reminds that men over 40 should avoid wearing short shorts in public, serving as a light-hearted reminder to maintain self-respect and make appropriate decisions.

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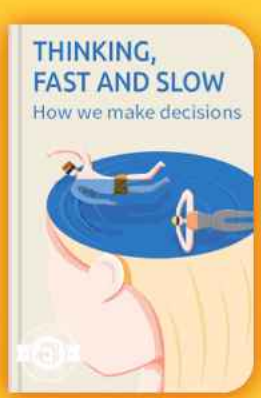
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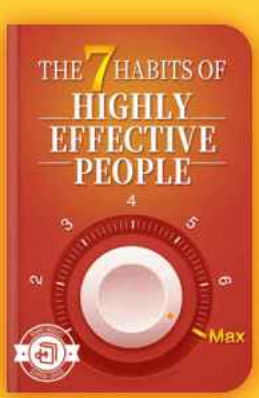
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Chapter 25 | 22. Market Timing: Level 2 and DMA| Q&A

1.Question

What is the significance of Level 2 data in trading shares?

Answer:Level 2 data is crucial as it provides detailed information about buy and sell orders in the market. It shows not just the best available prices (Level 1), but also other prices that exist in the order book, which indicates market depth. This allows traders to gauge how many buyers and sellers are present, anticipate price changes, and time their trades more effectively.

2.Question

How can Level 2 data prevent premature profit-taking?

Answer:By analyzing Level 2 data, traders can see if there is substantial buying activity or support for a share before deciding to take profits. If the data shows strong demand or a large volume of buy orders, a trader may choose to hold onto their position instead of selling too early, thus maximizing their potential gains.

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3.Question

What does it mean to have Direct Market Access (DMA)?

Answer:Direct Market Access (DMA) allows traders to place their own buy or sell orders directly onto the market order book. With DMA, traders can potentially set their buying price below the current market price, gaining the advantage of buying at more favorable terms or selling at the market price while maintaining control over their orders.

4.Question

For a beginner, what should be the approach to using Level 2 data?

Answer:Beginners should take the time to familiarize themselves with Level 2 data gradually. It may seem complicated at first, but by practicing with their favorite stocks and understanding how the data correlates with market movements, they can improve their trading skills and decision-making over time.

5.Question

What are the benefits of attending a seminar on Level 2 and DMA information?

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Answer:Attending a seminar provides hands-on experience and the opportunity to learn directly from an expert by observing live demonstrations. Participants can ask questions in real-time, grasp complex concepts more easily, and see the practical application of Level 2 and DMA, therefore enhancing their understanding rapidly.

6.Question

Why might a trader want to use a broker that offers Level 2 at no extra charge?

Answer:Using a broker that offers Level 2 at no additional charge can significantly reduce trading costs, allowing traders to access valuable market information without incurring high fees. This is particularly beneficial for active traders who need price data to make informed trades and decisions.

7.Question

What impact does Level 2 data have on trading strategies?

Answer:Level 2 data can enhance trading strategies by

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providing insights into market sentiment, allowing traders to identify trends, support levels, and market maker behaviors. This advanced information can help traders strategize effectively to optimize entry and exit points, ultimately improving their profitability.

8.Question

How should a trader interpret the prices shown on a Level 2 screen?

Answer:A trader should remember that buy prices are displayed on the left and sell prices on the right, which can initially seem counterintuitive. They need to recognize that they buy at the higher (right) price and sell at the lower (left) price. This understanding is key to effectively navigating trading decisions based on Level 2 data.

Chapter 26 | 23. Charts and How I Use Them| Q&A

1.Question

Why does Burns Robbie not consider himself a chartist?

Answer:Burns Robbie believes charts are useful as a supplementary tool, but he emphasizes that they

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should not be the sole basis for buying or selling shares. He values understanding a company's fundamentals over relying solely on chart patterns.

2.Question

What is the main purpose for which Burns Robbie uses charts?

Answer:He uses charts mainly to check a share's historical price range, identify breakouts, set stop loss orders, and recognize resistance and support levels.

3.Question

What are breakouts, and why does Burns Robbie consider them significant?

Answer:Breakouts occur when a share price moves outside a previously established range. Robbie sees breakouts as potentially lucrative opportunities, indicating a significant upward trend.

4.Question

How does Burns Robbie feel about the use of jargon in charting?

Answer:He thinks the jargon can confuse new investors and

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believes it’s important to keep analysis simple to avoid misguided confidence.

5.Question

What is the relationship between price trends and investment decisions according to Burns Robbie?

Answer:He prefers shares with rising price trends, suggesting that a strong upward trend indicates better investment potential, while downward trends may signal higher risk.

6.Question

How does Burns Robbie view chart patterns like head and shoulders or double tops?

Answer:He acknowledges their existence but remains skeptical of their reliability. He suggests that they should be considered supplementary information rather than definitive signals.

7.Question

What common mistake do new investors often make regarding charts?

Answer:New investors often become overconfident after learning about charting and may end up relying too heavily

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on charts, leading to significant financial losses.

8.Question

What is the importance of support and resistance levels in trading?

Answer:Support levels indicate a price range where a stock may stop falling, while resistance levels show where it might stop rising; understanding these can help in setting buy and sell strategies.

9.Question

Why does Burns Robbie emphasize considering the entire story of a share?

Answer:He believes that analyzing various factors—the company's fundamentals, market trends, and chart behavior—provides a more comprehensive view, leading to more informed investment decisions.

10.Question

What lesson does Burns Robbie impart about the relationship between a falling stock price and its potential recovery?

Answer:He cautions that just because a stock price has fallen

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does not guarantee it will rise again; investors should be wary of investing based solely on price drops.

11.Question

What does Burns Robbie suggest for further reading on charting?

Answer:He recommends 'The Investor’s Guide to Charting' by Alistair Blair for readers who want to delve deeper into charting techniques and analyses.

Chapter 27 | 24. Buybacks, AGMs and Perks| Q&A

1.Question

What is the primary reason companies conduct share buybacks?

Answer:Companies often conduct share buybacks because they believe that their shares are undervalued by the market. By buying back shares, they aim to support the share price and potentially increase its value.

2.Question

What is the author's general opinion on share buybacks?

Answer:The author is skeptical about the effectiveness of

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share buybacks. They believe that if the market undervalues a company, there is likely a valid reason behind it, and rely on buybacks for substantial increases in share price is not advisable.

3.Question

How can attending an annual general meeting (AGM) benefit shareholders?

Answer:Attending an AGM allows shareholders to gain firsthand insights about the company, ask questions directly to the management, and understand the company's direction and performance, which can inform their investment decisions.

4.Question

What unique method does the author mention for deciding whether to buy shares based on CEO presentations?

Answer:The author humorously notes a friend's method of analyzing the shoes of the chief executive as a way to gauge the company's seriousness; shiny shoes could indicate professionalism, while tatty shoes may garner a critical

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judgment.

5.Question

Should investors focus on perks associated with company shares when making investment decisions?

Answer:No, the author advises against buying shares solely for the perks. While perks can be an enjoyable benefit, the primary goal of investing should be to sell shares at a profit, rather than holding onto them just for associated discounts or privileges.

6.Question

What is the potential downside of perks mentioned in the chapter?

Answer:The downside of perks is that they can incentivize investors to hold onto shares longer than they should, potentially clouding their judgment regarding the actual investment value.

7.Question

How does the author view the information provided by media about share perks?

Answer:The author criticizes media coverage of share perks

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as lazy journalism, suggesting that it is an easy topic for writers to cover without offering substantial insights about investment strategies.

8.Question

What does the author suggest is the benefit of visiting company presentations?

Answer:Visiting company presentations allows investors to interact directly with the company's management, gain insights into the business operations, and clarify any uncertainties by asking questions, which can aid in making informed investment choices.

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Chapter 28 | 25. Your Pension| Q&A

1.Question

What are the potential benefits of managing your own SIPP compared to having fund managers manage it?

Answer:Managing your own SIPP allows for direct control over your investments, potentially leading to better returns. The author illustrates this by sharing his personal experience of turning £40,000 into £165,000, which would likely have only reached £60,000 with fund managers. This control can empower individuals to make informed investment decisions and adapt strategies that suit their risk tolerance.

2.Question

When is it advisable to start a SIPP?

Answer:It's advisable to start a SIPP if you have at least £25,000 to invest. This ensures that the costs associated with managing a SIPP are justified by the potential returns, making it a more beneficial investment tool.

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3.Question

What key factors should be considered when setting up a SIPP?

Answer:When setting up a SIPP, it's essential to choose a reliable execution-only stock broker and a pension trustee. The trustee safeguards your funds, and it's wise to pick the most cost-effective option. Understanding tax contribution limits and rules is also crucial for maximizing benefits.

4.Question

How can one transfer frozen pensions into a SIPP?

Answer:To transfer frozen pensions into a SIPP, individuals must contact the companies managing those pension schemes, complete the necessary forms, and persistently follow up to ensure the release of funds to their trustee. This process can be cumbersome but is worth it for greater control over your retirement funds.

5.Question

What investment strategy does the author recommend for those trading in a SIPP?

Answer:The author recommends adopting a sensible

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investment strategy focused on long-term growth. This includes investing in quality shares with decent yields, aiming for an annual growth of 10-20%, while avoiding excessive risk, as this money may be crucial for future retirement.

6.Question

Is it risky to trade high-risk stocks within a SIPP?

Answer:While it can be risky to trade high-risk stocks within a SIPP, the author notes that those with a substantial cushion in other accounts (like ISAs) may afford to take such risks to grow their pension funds more aggressively. Each individual's risk tolerance and financial situation should guide their investment choices.

7.Question

What is the benefit of having a self-invested personal pension?

Answer:A self-invested personal pension (SIPP) provides the advantage of self-management over retirement funds, which can often outperform traditional fund management, as

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individuals can make tailored investment decisions that align with their preferences and risk profiles.

8.Question

What are the changes in regulations regarding withdrawals from a SIPP?

Answer:Regulations have been relaxed, allowing individuals to access their entire SIPP balance after age 55. While 25% is tax-free, the remaining 75% is subject to income tax, which is an important consideration when planning retirement withdrawals.

9.Question

What advice does the author give about trading within a SIPP?

Answer:The author encourages individuals to trade within their SIPP as they would in a regular account, emphasizing the importance of cautious stock selection and a long-term perspective. He highlights the flexibility of trading strategies allowed within a SIPP, including shorting risks with covered warrants.

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Chapter 29 | 26. Traders’ Tales| Q&A

1.Question

What important lesson can we learn from Thomas's experience with trading shares?

Answer:Thomas's tale teaches us that losing money can be a valuable learning experience. He realized that panic selling only led to further losses and that he needed to have a stop loss to protect his investments. By reflecting on his mistakes, he became a more knowledgeable and confident investor through thorough research and sound decisions.

2.Question

How did Harry's situation demonstrate the risks of trading oil stocks?

Answer:Harry's situation illustrates the dangers of holding onto losing investments due to confirmation bias. His refusal to recognize the potential flaws in Range Resources led to a significant 78% loss, showing how crucial it is to set stop

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losses and avoid emotional attachments to stocks.

3.Question

What is the main takeaway from Eliza's frustration with penny shares?

Answer:Eliza's frustration emphasizes the importance of investing in established companies rather than risking money on penny shares, which often lead to significant losses. She recognizes her mistake and commits to following sound investment principles in the future.

4.Question

What common pitfall did Norm encounter when listening to tipsters?

Answer:Norm’s experience highlights the danger of relying on tipsters and impulsively reacting to their advice. His lesson was to conduct thorough personal research rather than blindly following recommendations, which often leads to poor investment decisions.

5.Question

What key advice does Aidan offer based on his investment losses?

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Answer:Aidan advises never to invest more money than you can afford to lose and emphasizes the importance of selling stocks once they drop by a certain percentage (20% in his case) to prevent deeper losses.

6.Question

How did Kayley realize that complexity in trading strategies was holding her back?

Answer:Kayley learned that following overly complicated strategies from various trading sources obscured the basics of trading, leading to confusion and losses. Simplifying her approach and sticking to fundamental principles is likely to yield better results.

7.Question

What insight did Edward gain from analyzing his over-trading activities?

Answer:Edward discovered that limiting losses by implementing a strict 10% stop-loss policy could have turned his overall profits into gains rather than losses, demonstrating the importance of discipline in trading.

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8.Question

What mistake did Dom make when buying shares of a company with a negative statement?

Answer:Dom's mistake was believing he was getting a bargain without verifying the company's fundamentals. His 'mental' stop loss failed him, showing the necessity of setting firm stop losses with brokers.

9.Question

What cautionary lesson can be drawn from Tim's experience with cold calling and trading systems?

Answer:Tim's tale illustrates the risks of being drawn into scams and the importance of skepticism toward unsolicited offers. He learned to always research thoroughly before investing and to be wary of high-pressure sales tactics.

10.Question

What crucial lesson did Rebecca learn after losing money in spread betting?

Answer:Rebecca learned that spread betting can be extremely risky, especially without proper risk management strategies like guaranteed stops. She found that entering such bets

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without safeguards can lead to catastrophic losses.

11.Question

What key principle did Andy overlook when transitioning from a demo account to real trading?

Answer:Andy overlooked that real trading involves emotional and psychological factors that are not present in a demo environment. It is vital to respect market volatility and always use stop losses to mitigate potential losses.

12.Question

What does Delia's experience highlight about trusting information on bulletin boards?

Answer:Delia's story shows the perils of relying on gossip and advice from bulletin boards without conducting personal due diligence, which can lead to disastrous investment choices.

13.Question

What did Emma learn about investing in biotech companies?

Answer:Emma learned the risks associated with investing in biotech companies, especially regarding clinical trials. She

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realized the importance of assessing the market peak and having a solid exit strategy in place.

14.Question

What critical caution does Robin's story convey about risky financial practices?

Answer:Robin's experience serves as a stark warning against trading with funds you cannot afford to lose and engaging in complex financial derivatives without fully understanding the associated risks. He highlights the need for financial prudence.

Chapter 30 | 27. The Naked Trader Rules| Q&A

1.Question

What is the significance of following trading rules, according to 'The Naked Trader'?

Answer:Following trading rules is crucial for successful investing as they provide a framework and guidelines that have stood the test of time. They serve as a summary of vital concepts to keep traders focused and prevent emotional decisions that could

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lead to significant losses.

2.Question

Why is it advised to only play with money you can afford to lose?

Answer:Investing involves risks, and not every decision will result in profit. By only using money you can afford to lose, you minimize financial distress and make more rational decisions, free from the emotional burden of losing crucial funds.

3.Question

What does 'never catch a falling knife' mean in the context of trading?

Answer:This phrase advises against purchasing shares that are rapidly declining in value just because they seem like a bargain. It suggests that these shares could continue to fall and may end up costing the investor more in the long run.

4.Question

How should a trader react to a profit warning from a company?

Answer:A trader should be cautious and consider avoiding

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the stock after a profit warning, as such warnings often come in multiples. This indicates deeper issues, and the first warning could be just the beginning of further bad news.

5.Question

What role do stop losses play in trading strategies?

Answer:Stop losses are crucial for managing risk by automatically selling a stock once it reaches a certain price threshold. This limits potential losses and protects capital, helping investors to maintain a disciplined trading approach.

6.Question

Why is it important to do thorough research before investing in a company?

Answer:Understanding a company's fundamentals, performance history, market position, and risks is essential. This knowledge helps investors make informed decisions rather than acting on tips or market buzz, which can often be misleading or incorrect.

7.Question

What does it mean to 'run your winners' in trading?

Answer:'Running your winners' means to hold onto stocks

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that are performing well for a longer period to maximize gains, while being cautious not to sell them too quickly just for a temporary profit.

8.Question

Why should new investors avoid trading indices like the FTSE 100 or Dow?

Answer:New investors are advised against trading indices because it resembles gambling rather than calculated investing. It requires experience to navigate the complexities and risks associated with trading these financial products.

9.Question

What does it mean to monitor ex-dividend dates and their significance?

Answer:Ex-dividend dates are crucial because a stock’s price typically drops by the dividend amount once it goes ex-dividend. Investors should be aware of these dates to avoid confusion over unexpected price drops after they own the shares.

10.Question

How can staying calm help in trading?

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Answer:Staying calm allows investors to make rational decisions without succumbing to panic or emotional reactions in volatile markets. This composure helps in assessing situations carefully and acting strategically rather than impulsively.

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Chapter 31 | 28. Trading FAQs| Q&A

1.Question

What is the validity of shorting a share on ex-dividend day?

Answer:Shorting a share on ex-dividend day is not a valid strategy because spread betting and CFD accounts take into account the expected drop in price due to the dividend. Therefore, there are no free benefits to be had on that day.

2.Question

How can I pursue a career as a trader in the City?

Answer:Becoming a trader can be quite difficult and stressful with long hours. The author admits they do not have contacts in the industry, so it might be helpful to seek internships or opportunities to network with professionals within financial firms.

3.Question

What should I do if I'm losing money in the market?

Answer:It’s important to revise your strategies. If you're struggling, consider stepping away from trading temporarily

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to reassess your approach.

4.Question

Are the trades on your website the only ones you make?

Answer:No, the website only lists select trades, primarily due to time constraints. The author engages in more spread betting and trades not declared on the website.

5.Question

Is it worth investing in the stock market if I only have a small amount of capital (£500 to £1,000)?

Answer:It is challenging to make a significant impact with that amount due to commission and fee eating into profits. It's generally advisable to wait until you have at least £3,000 to allow for diversification.

6.Question

Can I actively trade in an ISA and grow my profits tax-free?

Answer:Yes, you can trade freely within an ISA, making profits tax-free. However, there are limits on how much new cash you can contribute each year.

7.Question

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How can I find out about new stock issues?
Answer:Check news reports early in the morning, as companies typically announce intentions to list at that time. Following financial news from reliable sources can also help you spot new issues.

8.Question

What signals do you use to decide when to sell a share?
Answer:Look for signs such as achieving a 20% profit to take partial profits. Also, reevaluate the share as if you had never bought it to determine if it’s still a worthwhile investment.

9.Question

Why do you focus only on UK shares for trading?
Answer:Focusing on UK shares allows for a concentrated strategy in a market the author knows well, and it avoids the complexities of adjusting to different time zones and markets.

10.Question

Why are you not on social media?

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Answer:The author does not engage with social media as they prefer not to promote blind following or turn trading insights into a social media spectacle.

Chapter 32 | 29. Useful Information Sources| Q&A

1.Question

What is the value of accessing premium financial information sites as you become more experienced in trading?

Answer:Accessing premium financial information websites, such as ADVFN or Level 2 services, equips you with real-time data and advanced research tools critical for making informed trading decisions, ultimately leading to better investment outcomes.

2.Question

How can reading investment books contribute to a trader's success?

Answer:Reading investment books exposes traders to various strategies, psychological insights, and common pitfalls, enhancing their knowledge and emotional resilience, enabling them to navigate the stock market more effectively.

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3.Question

What are some recommendations for must-read trading books?

Answer:Some essential trading books include:

- 'The Disciplined Trader' by Mark Douglas - focuses on trading psychology.

- 'Your Money and Your Brain' by Jason Zweig - discusses how psychology impacts investing decisions.

- 'The Harriman Book of Investing Rules' - offers wisdom from top investors.

4.Question

Why is it beneficial to use multiple financial websites for trading?

Answer:Using multiple financial websites provides a broader range of perspectives and data, ensuring that you're not reliant on a single source, which can lead to more well-rounded and informed trading decisions.

5.Question

What is the importance of market psychology in trading?

Answer:Market psychology is crucial as it influences traders'

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emotions, decisions, and ultimately their performance. Understanding psychological triggers like fear and greed can help traders manage their reactions and improve their trading strategies.

6.Question

How does ADVFN stand out among other financial websites?

Answer:ADVFN stands out due to its comprehensive live pricing, robust research tools, and a vibrant community forum where traders can connect and exchange insights, enhancing the overall trading experience.

7.Question

What can traders learn from the book 'Investment Madness' by John R. Nofsinger?

Answer:In 'Investment Madness,' traders can learn about psychological traits that affect investing, such as overconfidence and the tendency to avoid regret. Identifying these traits can help traders avoid common mistakes and develop more disciplined trading habits.

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8.Question

Why should new traders start with free resources before investing in premium services?

Answer:New traders should start with free resources to build their foundational knowledge without financial commitment. This approach allows them to gauge their interest and understanding before investing in premium services that offer real-time data and deeper analysis.

9.Question

What is the benefit of participating in discussion forums on financial websites?

Answer:Participating in discussion forums allows traders to share experiences, gain insights from different perspectives, ask questions, and stay updated on market trends, fostering a collaborative learning environment.

10.Question

What is the overall message regarding continuous learning in trading?

Answer:The overarching message is that continuous learning through various resources—be it websites or books—is

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essential for traders to adapt, grow, and ultimately thrive in the ever-changing landscape of the financial markets.

Chapter 33 | 30. The Naked Trader| Q&A

1.Question

What does the quiz reveal about your potential as an investor?

Answer:The quiz offers a scoring system to assess your understanding of investment principles. A score of 40 or more indicates you are a master investor with a solid grasp of the market, while scores under 25 suggest a need to revisit the fundamentals.

2.Question

How should one approach the advice given by others on trading shares?

Answer:Instead of immediately acting on recommendations from bulletin boards or casual acquaintances, it's vital to conduct thorough research. A well-informed decision caters to the unique characteristics of each investment opportunity.

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3.Question

What is the importance of using stop losses in trading?

Answer:Stop losses are crucial for risk management; they ensure that you limit your losses on a trade to a specified percentage, safeguarding your capital from significant downturns.

4.Question

How can market conditions influence investment strategies?

Answer:Understanding market conditions allows investors to adapt strategies—such as short selling during downturns or buying strong companies during corrections—to capitalize on opportunities and mitigate losses.

5.Question

What is the significance of knowing the types of shares that yield long-term gains?

Answer:Identifying shares that consistently raise dividends and exhibit strong fundamentals is essential for building a sustainable investment portfolio that can weather market volatility.

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6.Question

Why is it recommended to consider the market's demand for a share before investing?

Answer:Testing the demand through Level 2 insights or observing buy and sell patterns helps investors gauge potential price movements and ensure they are not purchasing into a declining market.

7.Question

What attitude should one maintain when faced with potential losses in trading?

Answer:A balanced mindset involves accepting losses as part of the trading journey, learning from them, and adjusting strategies rather than succumbing to panic or frustration.

8.Question

How can personal experiences and humor from the author enhance learning about trading?

Answer:Humor and personal anecdotes humanize the investment discussion, making complex themes more relatable and memorable, as illustrated by the author's amusing interactions at the races and Sainsbury’s.

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9.Question

How does understanding one's own trading style contribute to investment success?

Answer:Recognizing whether you prefer high-risk trades or steady, long-term investments helps tailor your approach, aligning your strategies with your risk tolerance and market understanding.

10.Question

What key takeaway should one have about investment education from the seminar description?

Answer:Seminars emphasize practical learning through live examples, fostering a straightforward and supportive environment where beginners can confidently grasp critical concepts and techniques in trading.

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Chapter 34 | 31. Finally …| Q&A

1.Question

What is a tipping point in trading, and how can it affect an investor's mindset?

Answer:A tipping point in trading is the moment when an investor transitions from being a rational trader to making irrational decisions, often as a response to emotional triggers such as frustration or loss. This can lead to overtrading, increasing stakes beyond reason, and ultimately significant financial losses. Recognizing this tipping point is crucial for maintaining control and making sound investment decisions.

2.Question

How can one recognize they are approaching a tipping point in their trading?

Answer:Signs of approaching a tipping point include feeling out of control with investments, the urge to over-trade, and emotional reactions like irritability or excitement that

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temporarily ease only through trading actions. These sensations can serve as red flags that signal the need to pause and reassess one’s trading strategies.

3.Question

What advice does the author give to avoid reaching a tipping point?

Answer:The author advises to cut stakes dramatically or completely get out of a problematic investment once a tipping point is recognized. It’s essential to halt activities that contribute to this feeling of loss of control and to stick to planned strategies without succumbing to impulsive reactions.

4.Question

What does the author say about overanalyzing investments?

Answer:The author warns against overanalyzing stocks, illustrating through an example of an accountant who became paralyzed by excessive scrutiny and couldn't make trades due to fear of missing details. The key takeaway is that simplicity

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in investment analysis can be just as effective, if not more so, than complex calculations.

5.Question

How should one balance intuition and analysis when investing, according to the author?

Answer:While the author emphasizes that gut instinct can be misleading, he also acknowledges the importance of intuition. Investors should adhere to fundamental principles and rules while allowing some room for instinct. The balance lies in not blindly following gut feelings, especially when they contradict sound advice, yet being open to insights based on personal research and understanding.

6.Question

What are some rules highlighted in the book that investors should avoid breaking?

Answer:Key rules include avoiding investments in commodity companies due to unpredictability, not relying solely on trends seen in bulletin boards, steering clear of penny stocks and companies with high debt, and not acting

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on gut instincts without solid justification. The author emphasizes adherence to these rules to safeguard investments.

7.Question

What final piece of advice does the author give to readers who wish to succeed in trading?

Answer:The author advises traders to aim for steady gains over time rather than quick riches, suggesting patience and diligence in selecting investments. He encourages readers to pick stocks wisely and to seek gradual growth, underscoring that sustainable success in trading is built over time rather than through impulsive high-stakes gambles.

Chapter 35 | Cheers!| Q&A

1.Question

What are some key principles for successful trading according to 'The Naked Trader'?

Answer:Successful trading hinges on understanding your own psychology, managing risks effectively, and consistently researching shares before making

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decisions. It's also crucial to have a strategy and stick to it, while being prepared for market fluctuations.

2.Question

How can traders manage their emotions while trading?

Answer:Traders can manage their emotions by having a solid plan that includes stop losses and profit targets. This provides a framework that helps mitigate emotional decision-making, especially during volatile market periods.

3.Question

What common mistakes do traders make that lead to losses?

Answer:Common mistakes include over-trading, failing to plan trades, succumbing to market hype, and not conducting thorough research. Many traders also fall into the gambling mindset, treating trading like a lottery rather than a disciplined investment strategy.

4.Question

How can one stay informed about the market and potential investment opportunities?

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Answer:Staying informed can be achieved through various sources such as financial news, investment publications, and company announcements. Tools like ADVFN Toplists and engaging with trading communities can also provide insights and ideas.

5.Question

What does the book imply about long-term investment strategies?

Answer:The book emphasizes that long-term investing involves patience and understanding of market cycles. Successful investors often accumulate wealth over time, focusing on sound fundamentals and growth potential rather than quick gains.

6.Question

What role does mental discipline play in trading according to Robbie Burns?

Answer:Mental discipline is paramount in trading. It helps traders to stick to their strategies, avoid impulsive decisions, and cope with the psychological pressures of trading. Staying

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calm and focused is essential for long-term success.

7.Question

What does the Naked Trader suggest about market trends?

Answer:The Naked Trader suggests that identifying market trends is crucial for making informed decisions. Traders should look for patterns and signals that indicate bullish or bearish trends, and adapt their strategies accordingly.

8.Question

How do personal stories from traders in the book contribute to its message?

Answer:Personal stories from traders serve as cautionary tales and learning experiences that illustrate the ups and downs of trading. They emphasize the importance of learning from mistakes, developing resilience, and cultivating a strategic approach to investing.

9.Question

What advice does the book offer regarding new share issues?

Answer:When investing in new share issues, the book

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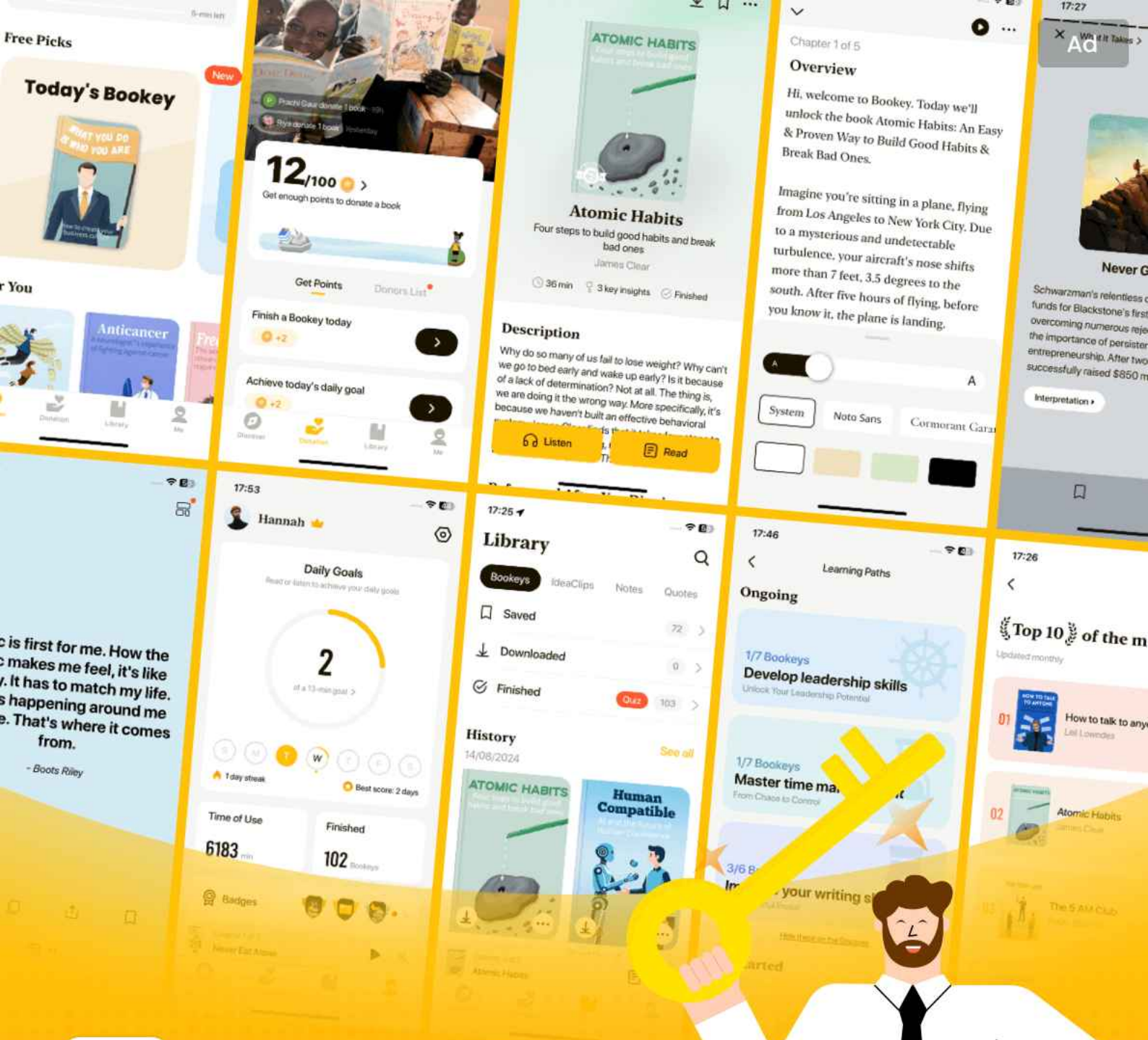
advises thorough evaluation of the company's fundamentals and market position, as well as caution due to the inherent risks involved with new ventures.

10.Question

How can one summarize 'The Naked Trader's overall philosophy on trading?

Answer:The overall philosophy of 'The Naked Trader' is to approach trading with a blend of informed strategy, emotional resilience, and continuous education; treating trading as a serious endeavor rather than a gamble, while remaining adaptable to market changes.

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The Naked Trader Quiz and Test

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Chapter 1 | Is this book for you?| Quiz and Test

1. The Naked Trader is only suitable for experienced traders and not for beginners.
2. The author emphasizes that trading can be both enjoyable and profitable.
3. The fourth edition of The Naked Trader includes new content that is not valuable for previous readers.

Chapter 2 | Why a fourth edition?| Quiz and Test

1. The author has achieved over £2 million in profits due to enhanced trading techniques.
2. AIM shares are no longer included in tax-free ISAs, impacting trading strategies.
3. The fourth edition of 'The Naked Trader' introduces no new strategies or trading techniques.

Chapter 3 | This is not a get-rich-quick book (sorry!)| Quiz and Test

1. The author of 'The Naked Trader' offers complex

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trading jargon that may confuse readers.

2. Building wealth through trading is possible, but it requires patience and time according to the book.

3. The book promotes get-rich-quick schemes as a way to succeed in trading.

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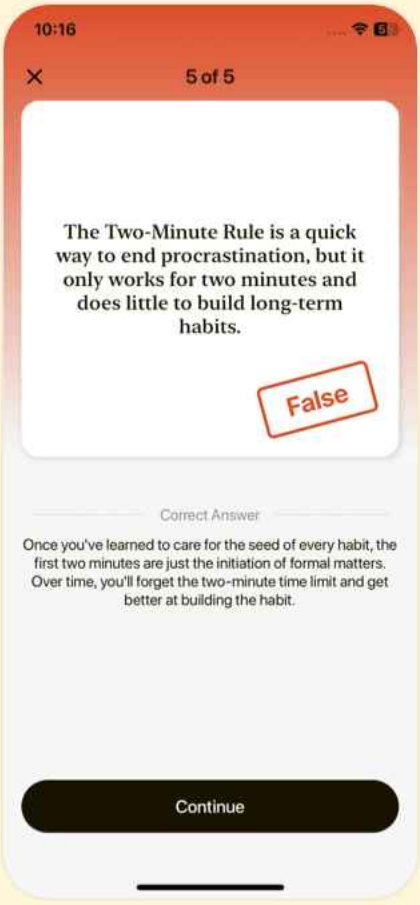
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Chapter 4 | 1. Escaping the Rat Race| Quiz and Test

1. The author found happiness working in a corporate office and decided to stay in that job.
2. The author created additional income streams that included a phone line providing updates on Buffy the Vampire Slayer.
3. The author considers himself a day trader who enjoys a frenzied lifestyle.

Chapter 5 | 2. A Day in the Life of a Naked Trader| Quiz and Test

1. The author wakes up early every day, as he used to before having children.
2. The author avoids trading during the initial market volatility after 8am.
3. He spends time during the day updating his website and managing email correspondence.

Chapter 6 | 3. Is Trading Right for You?| Quiz and Test

1. You should consider your motivations and goals before starting trading.

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2.It is advisable to rely solely on trading as your main source of income.

3.To realistically invest in the market, you should start with at least £3,000.

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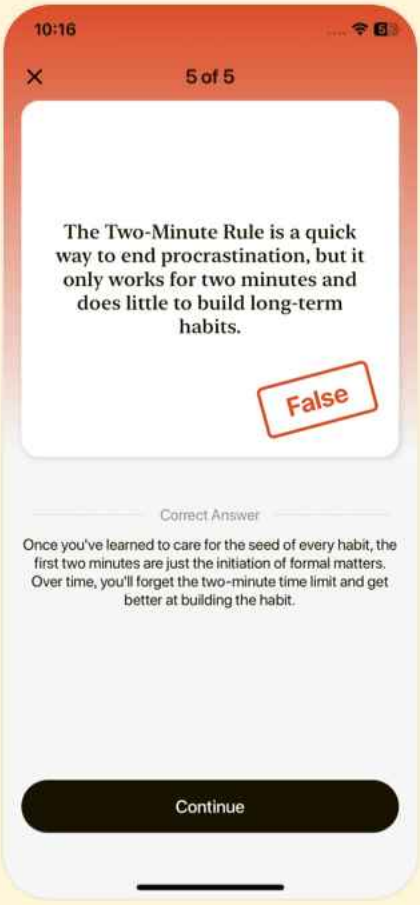
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Chapter 7 | 4. The Trader’s Toolkit| Quiz and Test

1. A computer with broadband is necessary for online trading.
2. You should primarily use tablets for online trading due to their convenience.
3. Using a Stocks and Shares ISA allows you to avoid capital gains tax on profits from trading.

Chapter 8 | 5. What You Need to Know About Shares| Quiz and Test

1. The spread is the difference between the bid price and the offer price of shares.
2. Broker commissions are not considered trading costs when buying shares.
3. The London Stock Exchange operates from 08:00 to 16:30, Monday to Friday.

Chapter 9 | 6. Why People Lose At Trading| Quiz and Test

1. Trading psychology is not a significant factor in the success of traders.
2. Fear can lead to premature selling and prevent traders from

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executing trades altogether.

3.Corporal Jones represents traders who panic and make poor decisions.

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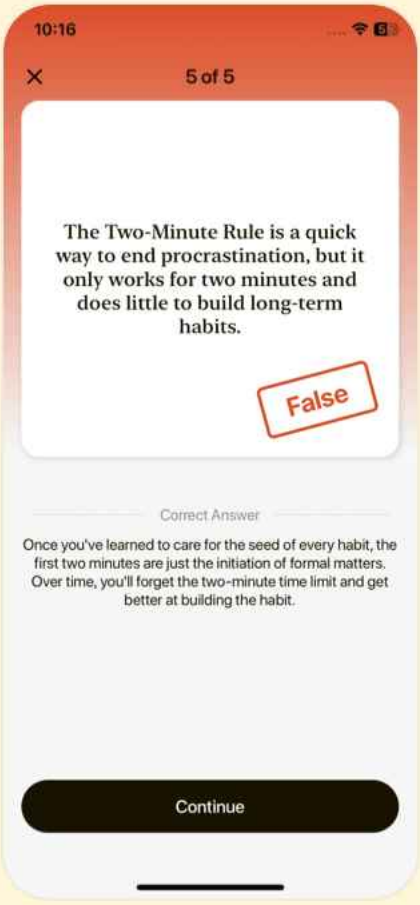
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Chapter 10 | 7. Confirmation Bias and the Most Important Lesson| Quiz and Test

1. Confirmation bias allows traders to make well-informed decisions by considering all evidence, both supporting and opposing their beliefs.
2. Cutting losses quickly and allowing profits to run is an essential strategy for maximizing gains in trading.
3. Successful trading depends solely on a higher percentage of winning trades compared to losing trades.

Chapter 11 | 8. The Market Can See You Coming| Quiz and Test

1. Trading often involves individuals trying to take advantage of inexperienced traders.
2. All phone calls offering high-return stocks are legitimate investment opportunities.
3. It is advisable to make trades impulsively based on tips from tipsters.

Chapter 12 | 9. Bulletin Boards| Quiz and Test

1. Bulletin boards (BBs) are reliable sources of

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investment advice for serious investors.

2.Contributors to bulletin boards may promote specific shares to increase their prices.

3.Participating investors should trust all discussions on bulletin boards, especially about small companies.

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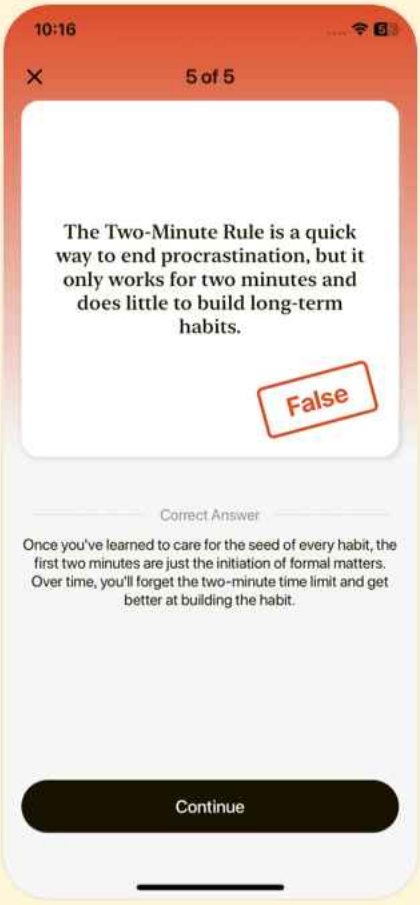
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Chapter 13 | 10. How Do I Find Shares Worth Looking At?| Quiz and Test

1. According to "The Naked Trader," it is recommended to avoid investing based on tips from internet tipsters and tipsheets.
2. The book suggests checking investment columns from well-known investment gurus as a reliable source for stock ideas.
3. Investing in shares requires both strategy and luck, as mentioned in the final thoughts of the book.

Chapter 14 | 11. How to Choose Good Shares| Quiz and Test

1. It is important to conduct thorough research before buying shares instead of relying solely on tipsters.
2. The P/E ratio indicates the time it would take for earnings to cover the share price; a high P/E always means a share is a bad investment.
3. Monitoring a company's net debt should be avoided as it does not impact the risk of bankruptcy.

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Chapter 15 | 12. How to Plan, Manage and Close Trades (Without Going Mad)| Quiz and Test

1. Having a solid trading plan is crucial when buying shares.
2. A good profit target should always be set at least 30% above your purchase price.
3. Trailing stop losses automatically adjust downward when the stock price decreases.

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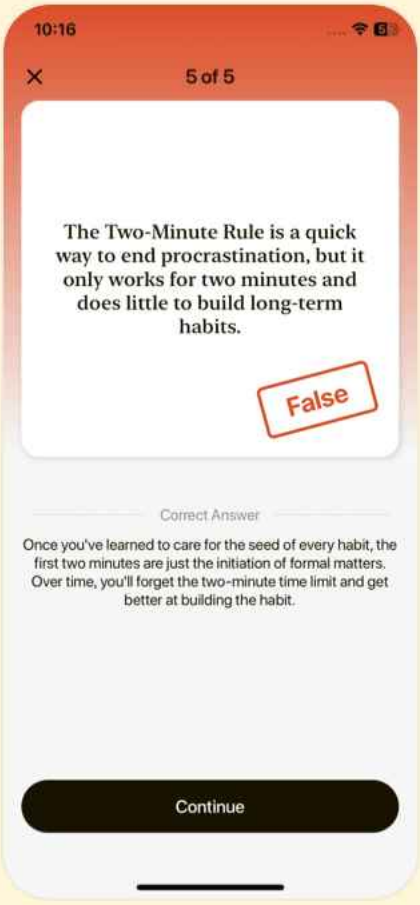
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Chapter 16 | 13. Trading Times of the Year| Quiz and Test

1. February and March are historically average months for stock performance, suggesting it is advisable to hold some cash during this period.
2. April is historically considered a weak month for stock trading, with a high likelihood of price decreases.
3. December is one of the best months for stock performance due to the holiday season leading to upward price movements.

Chapter 17 | 14. Winning Strategies| Quiz and Test

1. Investing in shares nearing a £4 billion market cap is a strategy likely to lead to promotion to the FTSE 100.
2. It is advisable to invest blindly in newly listed companies without monitoring market reactions.
3. Investing in 'boring' companies is considered a poor strategy due to their lack of growth potential.

Chapter 18 | 15. New Issues| Quiz and Test

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1. Investing in IPOs can yield returns of 400-500%.
2. All IPOs are worth investing in, regardless of the company's potential or industry competitiveness.
3. To track new IPOs, one should rely solely on financial news outlets without doing additional research.

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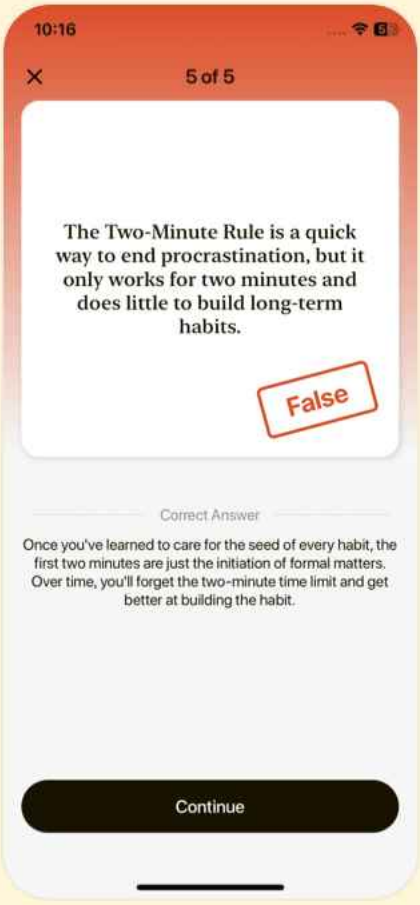
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Chapter 19 | 16. Building a Portfolio Gently| Quiz and Test

1. Building a portfolio gently is necessary for successful trading without risking a market collapse.
2. Frequent trading is essential for making profits in the stock market.
3. Successful traders take breaks and minimize trading frequency for better portfolio management.

Chapter 20 | 17. Terrible Trading Mistakes| Quiz and Test

1. Traders should impulsively invest in companies with exaggerated promises without doing proper research.
2. Setting stop losses too tight can result in frequent stoppages in volatile markets.
3. Buying small pharmaceutical firms is considered a safe investment strategy.

Chapter 21 | 18. When Markets Go Down| Quiz and Test

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1. Bull markets generally produce gains, while bear markets can lead to significant losses.
2. The 2010 'Flash Crash' was caused solely by economic factors without any influence from automated trading systems.
3. During market downturns, investors should liquidate all their assets immediately to prevent further losses.

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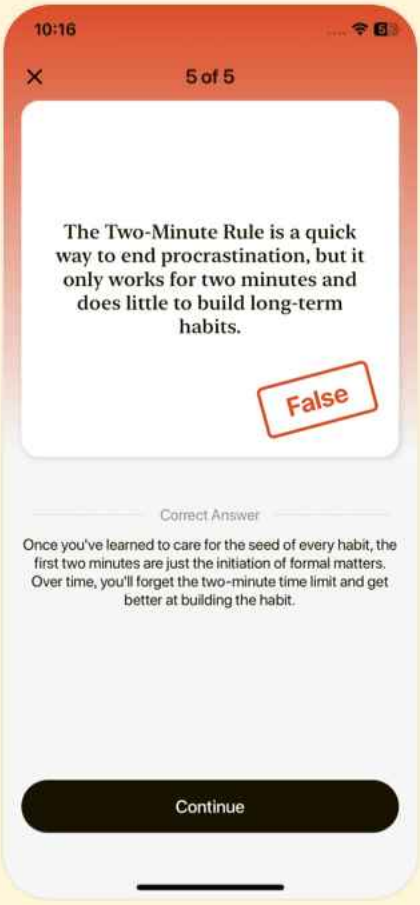
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Chapter 22 | 19. Spread Betting| Quiz and Test

1. Spread betting allows traders to own the shares they bet on.
2. Profits from spread betting are currently tax-free, providing an advantage over regular share trading.
3. Keeping bets open for extended periods is generally less expensive than other trading methods.

Chapter 23 | 20. CFDs and Other Stuff| Quiz and Test

1. CFDs allow trading without owning the underlying shares, enabling easy short selling.
2. CFDs are suitable for long-term investments and can be held for over a year.
3. Investment trusts (ITs) have no correlation with the net asset value (NAV) of the fund's holdings.

Chapter 24 | 21. Shorting| Quiz and Test

1. Shorting is a strategy that can only be used during bullish market conditions to maximize profits.
2. Investors can use shorting as a hedging strategy without

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incurring high costs from selling shares.

3.Key indicators for finding shorts include looking for overvalued stocks and companies in an upward trend.

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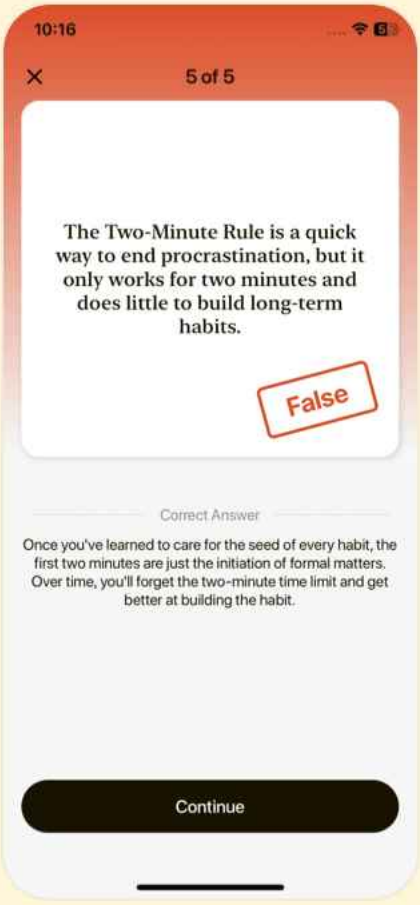
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Chapter 25 | 22. Market Timing: Level 2 and DMA| Quiz and Test

1. Level 2 provides only basic bid and offer prices for stocks.
2. Direct Market Access (DMA) allows traders to input their own buy and sell orders directly into the market.
3. Understanding Level 2 data is unimportant for interpreting market dynamics and can be ignored by traders.

Chapter 26 | 23. Charts and How I Use Them| Quiz and Test

1. Charts should be the sole basis for trading decisions.
2. Understanding resistance and support levels can guide stop-loss orders.
3. Longer-term charts often yield less reliable trends than shorter-term charts.

Chapter 27 | 24. Buybacks, AGMs and Perks| Quiz and Test

1. Share buybacks are always effective in driving significant price increases for company's shares.

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2.Attending annual general meetings (AGMs) can provide valuable insights into a company's operations.

3.Investors should prioritize share perks as the main reason to invest in a company's shares.

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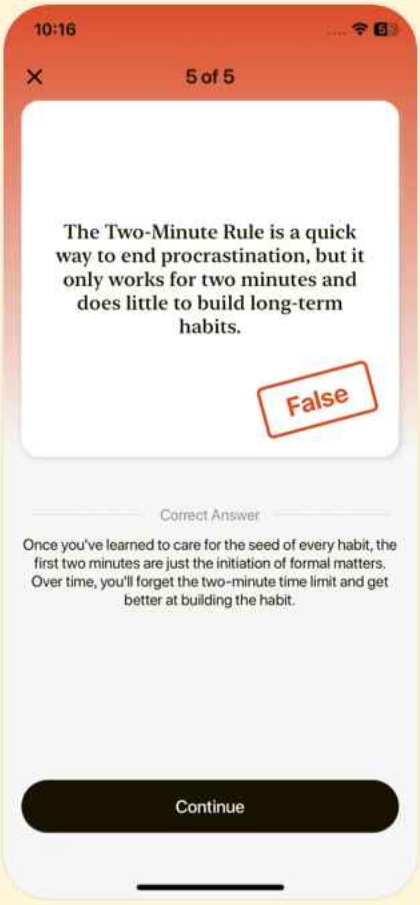
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Chapter 28 | 25. Your Pension| Quiz and Test

1. Self-invested personal pensions (SIPPs) allow complete control over your pension fund and can potentially outperform traditional fund managers.
2. The maximum annual contribution limit for SIPPs is £40,000 regardless of salary.
3. SIPPs allow for high-risk short-term trading strategies to maximize returns.

Chapter 29 | 26. Traders' Tales| Quiz and Test

1. Thomas learned the importance of setting a stop loss after losing money by selling shares too soon.
2. Eliza had a positive experience with penny shares and continued investing in them without issue.
3. Rebecca's tale emphasizes the benefits of spread betting without using stop losses.

Chapter 30 | 27. The Naked Trader Rules| Quiz and Test

1. Investors should use all their savings for trading to maximize returns.

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2.It is advisable to rely on hearsay or bulletin board advice for making investment decisions.

3.Timing does not play a significant role in trading; early morning trades are often the best.

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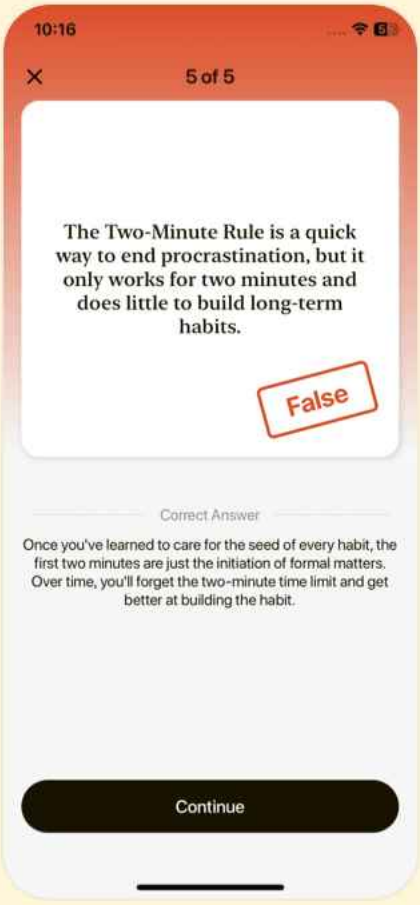
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Chapter 31 | 28. Trading FAQs| Quiz and Test

1. Shorting shares on Ex-Dividend Day is a valid trading strategy.
2. The author predicts market movements to help traders make informed decisions.
3. A minimum trading amount of £3,000 is recommended for a balanced portfolio to manage risk.

Chapter 32 | 29. Useful Information Sources| Quiz and Test

1. Most reputable financial websites require a subscription fee of around £40-£50 per month for accessing real-time share prices.
2. Reading is not essential for stock market success according to 'The Naked Trader'.
3. The Naked Trader's Guide to Spread Betting by Robbie Burns focuses on trading psychology and profitable practices.

Chapter 33 | 30. The Naked Trader| Quiz and Test

1. The best way to test demand for a share is by using

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Level 2 data.

2.Researching a share should be done from the perspective of fictional characters.

3.To ensure no more than 20% loss on a trade, one should use stop losses.

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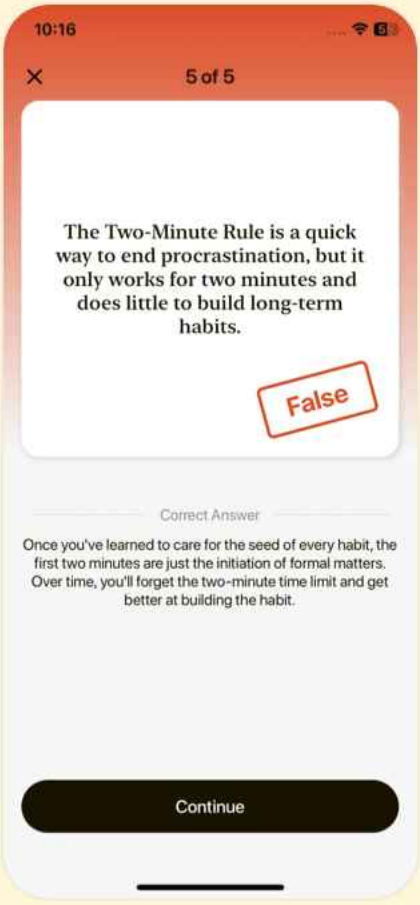
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Chapter 34 | 31. Finally …| Quiz and Test

1. The chapter discusses the idea of a 'tipping point' in trading which leads to rational behavior.
2. Traders experiencing small losses may respond by over-trading as a way to recover profits.
3. The author suggests that excessive analysis often results in better trading opportunities.

Chapter 35 | Cheers!| Quiz and Test

1. The Naked Trader encourages readers to avoid engaging with the book's authors through feedback or reviews.
2. Harriman House suggests exploring additional investment literature and resources for further learning.
3. The chapter includes detailed strategies specifically for day trading only, without covering other trading concepts.

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